Ola Electric (OLAELEC)

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Call: Aug 2024

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Call: Nov 2024

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)

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Bengaluru – 560095, Karnataka, India | Landline: 080 35440050 | companysecretary@olaelectric.com | www.olaelectric.com

Date: November 10, 2024

To,
National Stock Exchange of India Limited
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051 To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225

Subject: Transcript of the Earnings Conference Call with Analyst/Investors held on November 08, 2024

Dear Sir/ Ma'am,

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of transcript of the earnings conference call held on Friday, November 08, 2024 on the unaudited financial results (standalone and consolidated) of the Company for the quarter and half year ended September 30, 2024.

The transcript of the earnings conference call is also available on the website of the Company at https://www.olaelectric.com/investor-relations/financials .

Kindly take the same on record.

Thanking You,

For Ola Electric Mobility Limited

Harish Abichandani
Chief Financial Officer

Encl.: As above
Ola
Electric
Mobility
Limited
Q2
FY'25
Earnings
Conference
Call
November
08,
2024
Management
of
Ola
Electric
Mobility
Limited:

Mr. Bhavish Aggarwal – Chairman & Managing Director

Mr. Harish Abichandani – Group CFO

Mr. Abhishek Chauhan – Director, Corporate Communications & PR

Moderator: Ladies and gentlemen, good day and welcome to Ola Electric Q2 FY25 Earnings Conference Call. As a reminder, all participants’ lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on a touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Abhishek Chauhan from Ola Electric Mobility Limited. Thank you and all to you Mr. John.

Abhishek Chauhan: Thank you and good

evening to everyone and thank you for joining the Earnings Conference Call of Ola Electric Mobility Limited for the 2nd Quarter of Financial Year 2025. To begin with, I would like to request Bhavish Aggarwal – Chairman and Managing Director. Ola and Harish Abichandani – Group CFO of the Company to take us through the Results, but we will take 5 minutes before we start. So, I will give everyone a heads up and then we will start the call. Good evening once again and thank you everyone for your patience. I hope you have gone through the Shareholders Letter now once again to begin with, I would like to request Bhavish Aggarwal – Chairman and Managing Director of Electric, and Harish Abichandani – Group CFO of the company to take you through the Results. Over to Bhavish and Harish.

Bhavish Aggarwal: Hi everybody. Good to speak again after a quarter and this is this is Bhavish. This is practically I think our ■rst quarter in the public markets that we are giving you an update on. Before that actually in the last quarter we had done the IPO and in just three days after that, we had quarterly results. We have also changed our format of how we are updating all of you. We have also changed the way some financial metrics are being told or more around how industry standards are on revenue, etc. I am assuming most of you would have gone through the Shareholders' Letter that we have tried to capture all the financials and some operating commentary also in it. W hat I will do is I will just give you some highlights and my remarks will be very short and then we will get into questions directly. This quarter actually has been a good quarter compared to last year. If you see our revenues have grown about 40% over last year - 38.5%. Deliveries also almost touching 1 lakhs (+98,000) and gross margin, especially for the auto segment is 20.6% which is flat quarter-on-quarter whereas year-on-year it's about 12 points up and this is

despite the much more enhanced competitive dynamics in the industry, which I will talk about in my remarks. The key highlights for us in Q2 have been that we have maintained our market leadership. Our market share is around 33%

and this is also a quarter where competitive action got aggressive, and we will comment a bit on that. One key area of focus for us going forward on the market is to expand distribution. We have about 780 odd stores right now. And we are in the process of expanding the company-owned stores to about 2000 by March, which is just about four months away.

And in addition, we have also in September launched our Network Partner Program under which third parties like multi-brand outlets, other people who are already in the auto ecosystem from a retail perspective, can also sell our products. We have about 1000 such partners live with our products now. The front-end distribution is a is an important focus. We continue to scale. And as you will

■nd in the document, for us each store does almost about 130 sales per quarter. And that's almost 2x to 3x of industry average. So, we have much higher productivity per store than the industry and we are expanding our store network so we actually hope that we will be fairly competitive in terms of depth of distribution with about 2000 stores of ours. In addition to that the Network Partner Program will amplify the distribution network. Second, I think more on the industry commentary – for a few quarters there have been questions that how is EV penetration doing? Now actually if you see this quarter and even then after that October last month, we have seen EV penetration start to hit a bit of an inflection point, especially if you see the Scooter EV penetration because when you see overall it kind of gets averaged out due to the motorbikes. But when you see Scooter EV penetration in June to September this year itself it's gone from 16% to 21.5%. And even from September last year to September this year, it's gone from 13.5% to 21.5%. A very significant increase in EV penetration despite the

FAME subsidies and all tapering off significantly. We believe that the EV scooter penetration is actually at an inflection point now. And if you also look at it regionally, many states like Rajasthan, UP, Maharashtra, the big states are around between 30% to 45% EV scooter penetration. In fact, Rajasthan is actually 47% so this shows while some states are racing ahead, eventually all states will get here. It's a question of just adding distribution. So, that's a very good encouraging sign in the industry.

And in many ways, while on a daily, monthly level, there's a lot of operating noise, the fundamentals of the EV transition of India remain very strong. And as the leader of that transition, we actually feel very con■dent of this in■ection point. Another point which played out in this quarter is as we had launched our Mass market portfolio a couple of quarters back, this quarter is where it really came into its own. We were able to supply at almost full demand. Quarter-on-quarter our Mass market products, the S1X portfolio, grew 15% and despite the growth in Mass market, our Premium market products continue to be a majority of our revenues. We have a very good balance between the two products. And another point you will ■nd in our Shareholders' Letter as you read deeper would be that our margin pro■les across both Mass and Premium are actually not very di■erent because it's built-o■ platform architecture, so we are very easily able to control some costs as we go down the Mass ladder and hence make similar gross margins. Then I want to reiterate our strategy, which we have been consistently following over the last couple of years or ever since we started this company. And every quarter I would like to give you guys an update on how our strategy is progressing. There are three key elements of our strategy: 1. Firstly, broadening our product portfolio. In the scooter segment anyways, we have the most largest product portfolio. With six scooters from Rs. 75,000 to Rs. 1.5 lakhs and in August this year, which is in Q2, we launched our motorbike portfolio, especially the Roadster portfolio, and the first bike is on track for deliveries next quarter. So, we are on track with our motorcycle launch and execution and delivery roadmap.

- In addition to just the Roadster series, we also announced a bunch of other motorcycle products which will come out through the next year or two. As well as the Gen 3 platform on top of which more scooter products will be coming, and you will see a chart in the Shareholders' Letter where it shows you just the time view on some of these products.

- There has been some media speculation in the past about us working on 3-W heelers. So, yes, we are building 3-W heelers. The beauty is that it shares the same platform as our S1 in terms of electronics, battery architecture, powertrain, only the mechanicals are different. So, you see the 3-W heelers product road map also in that chart.
- So, net-net, very strong product line up

over the next two years, almost (+20) products to be coming over the next two years. And more than actually one per quarter. So, we are quite excited and starting next quarter itself, we will start seeing a lot of product rollouts from us across categories.

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at's strategy #1, which is broadening our product portfolio so that the EV transition, EV evolution can be more broad based across the 2-W heeler and 3-W heelers industry in India.

2. The second strategy for us is to continue to expand our distribution and service network. And like I mentioned in a previous point today that we are growing to 2000 stores. We already have 1000 network partner stores, and we will increase that also by March.

So, net-net by March, we will have more than 3000 retail points. 2000 or ours and a minimum of 1000 of network partners. Now these stores for us as you know are co-located with service infrastructure.

- So, as we are expanding our sales network, our service network is also getting expanded. Over the last quarter or so, especially in Q2, we had a bit of a capacity challenge in service. Our sales have expanded much faster than we had expanded our service network. But I would like to inform everybody that almost all of the backlog that was there because of the capacity issue has been solved now. And we have added capacity also as well as we have as one-time solved almost all of the backlog more than 90%-95%.

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And now in service our T + 1 service which is like say you give your vehicle to me to service today either today or next day I return it to you is almost 80% which is more or less at industry standard.

- We are continuing to expand both sales and service infrastructure. We have invested very solidly as well as deeply into the back-end of the business, which is the factory, manufacturing vertical integration. We are now focused on really expanding our distribution to be as close to the customer in both sales and service as we can be. So, that's strategy #2 and in the Letter you will also see some maps and how the network is densifying already. 3. The 3rd and most important in my view, is the continuing focus on technology innovation and vertical integration. So, in August this year, again just two months back, we had announced our Gen 3 platform. Now, as you all might remember, and since you all track the company closely, Gen 2 over Gen 1 had saved about 20% of BOM cost and hence gross margin for us. Now Gen 3 over Gen 2 will be a similar saving, and I am actually very happy to announce that while we had said Gen 3 will come out in August next year, we are now bringing out Gen 3 products two months from now, which is January. So, the S1 scooters on the Gen 3 platform will be coming out in January and then through the year the whole 20% of margin savings will be step-by-step coming in. So, some savings will come in in January and then many more every quarter as all of the Gen 3 technologies come into play. So, that's a very good highlight. Our engineering teams and the manufacturing teams have really executed well to bring in very significantly from August to January our timeline on Gen 3.

2024

So, three strategies like I said: #1. The broad product portfolio. #2. Very large distribution, company owned as well as partner. #3. Continuing focus on technology innovation and vertical integration. And ■nally on the vertical integration point, I would like to share with all of you that our cell project continues well on track. There's a program timeline in the Shareholders' Letter that you can

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the timeline where it will get commercial production started and then there are some images and videos for you to refer to on how the Gigafactory is shaping up as well as some products that we have. A very quick commentary on financials and then I will open it up for Q&A. On financials, you can see year-on-year gross margins have improved significantly, EBITDA margins have improved significantly. Quarter-on-quarter our gross margins are flat. Now we have had 3%-point improvement in gross margins due to BOM cost savings due to our vertical integration and technology. Part of that which is about 1% point we have invested back into discounts to grow and then 1.5% points is actually a one-time timing issue on PLI Certification of our new S1X products. All of which is now done so this quarter Q3 we have the full PLI recognition for the S1X portfolio also. And a general commentary I want to give on gross margins looking ahead also is because we have also pulled in Gen 3 and in addition to Gen 3, we have been doing a lot of other technology and manufacturing integration work. We can expect to see almost every quarter a continuous improvement on gross margins, right. And part of the margins we will keep improving the bottom line. Part of it, we will invest into growing the market or competing with the aggressive competition. And our own estimates, we have we have a chart there towards Page #8 I think where you can see how our cost structure in our own estimates versus competition's cost structure. These are two incumbent competition where we have about a 20% advantage on just BOM cost for a better featured product. Now this advantage only gets stronger because of our technology and vertical integration.

Just to summarize this point, so in terms of gross margin, we expect about a 20 point improvement as Gen 3 plays out over the next 12 months step-by-step. And then as our own cell comes in, that's another 7-8 points of gross margin improvement so you can see a nice start at the end on how even without incentives, our gross margins are looking like at a target level. That's a steady state focus we are building towards that. And every quarter you can expect to see gross margin improvements from us. Now in addition to the gross margin on ■nancials, I also want to comment on EBITDA a little. Now on EBITDA, there have been some one-o■ expenses. If you exclude that our operating expenses are actually ■at or slightly 1% lower quarter-on-quarter. And we are focused on some cost e■ciencies, and we do expect our operating expenses to actually be

■at or maybe slightly lower over the next couple of quarters. As we continue to scale distribution and hence revenue and including product portfolio, so revenue keeps growing and operating expenses will largely be ■at or probably even down over the next couple of quarters. In terms of one-o■ expenses, there is one warranty expense that we have taken in this quarter. Now, in FY24, our warranty as a percentage of revenue was about 5.5%. Now for this year in the last quarter, we are accruing about I think 2.5% of revenue as a warranty. We are still waiting for our estimation model to stabilize. There are some one-time expenses in the warranty due to this backlog, but over the next couple of quarters, we will stabilize this and if we need to increase provisions, we will but broadly through the year, I expect the warranty to be at or lower than last year's number of 5.6%. So. that's broadly the commentary and now I will actually let you guys ask your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Chandramouli Muthiya with Goldman Sachs.

Please go ahead.

Chandramouli Muthiya: My first question is just around some of the one-off that Bhavish spoke about just now. So, there seems to be a pick-up in both other expenses and wages quarter-on-quarter in spite of having flattish or slightly better gross margin performance quarter-on-quarter. So, just trying to understand around the IPO, were there any flotation costs, were there any appraisal costs and also if you could size out maybe in, in rupees crores, what those expenses were and also just the warranty one-off that you might have taken this quarter, what the size of that would be?

Bhavish Aggarwal: Sure, Chandra, I will take a first attempt and then maybe Harish can add some specifics. So, there were actually two or three one-off costs. Obviously, there was an

IPO linked cost. Then there was this annual launch event that we do. There were some costs linked to that. And then thirdly, obviously our annual appraisal which happened in this quarter. So, all included I think these three added up to about Rs. 36 crores. Then in addition, the warranty was the one-o■ that we did was about

Rs. 64 crores. And like I said, I think my commentary on that is we are provisioning 2.5% of revenue. Over the next couple of quarters, we will watch that. Last year, like I said, the warranty was about 5.6%. We do expect the warranty to be lower than last year across this year if we need to increase our provisions after a quarter or so we might do that.

Chandramouli Muthiya: Second question is just around the motorcycle launches you mentioned, we will start next quarter. I am just trying to understand we have done the launch in August so do we have any order backlog color or any sort of demand color that we are able to share around the Roadster portfolio which might start getting delivered in the March quarter?

Bhavish Aggarwal: The Roadster series has generated a lot of interest and there are three products there – the Roadster. X, the Roadster, and the Roadster Pro. And these three are coming in sequence. The first Roadster X is coming, most likely around the March timeline. Then Roadster will happen most likely around the May timeline. And then Roadster Pro towards the end of the year. Now interest is very high. Today I won't be sharing any specifics around reservations or orders and all, by the time the next call comes around, I will definitely share that. But there has been very significant interest on social media, on our stores, on our website for really understanding about this product as well as a lot of people booking reservations for this. Chandramouli

Muthiya: And my last question is just on the points that you made around efforts to bridge the service network gaps. So, there are a lot of numbers floating around. I think there are some press articles which have spoken about 85,000 to 90,000 incoming service requests per month. I think our installed base of vehicles is close to 8,00,000 to 8,50,000 vehicles at this stage, so if you could just give us some clarity on what are the run rates that we have on a monthly incoming vehicle service request.

Bhavish Aggarwal: There are a lot of numbers floating around. So, even if you take the 80,000 number from the press so if you think of any typical OEM product, it has one to two scheduled maintenance per year, right? So,

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loose, or the guy actually doesn't understand how his software works, so he comes in and then we explain to him. More than 2/3 are actually around these kind of minor issues where no part is actually changed. Then there are some where there are accident cases which is nothing to do with the product. And then there are some which are product warranty cases, right? So, between these three, 80,000 number per month is not bad for an 8 lakhs unit in operation if you assume a lot of it is just scheduled or minor queries.

Moderator: Thank you. The next question is from the line of Gunjan Prithyani with Bank of America. Please go ahead.

Gunjan Prithyani: Bhavish I just wanted to go back to the point that you made initially that EVs are at an in■ection and market is growing. W hen I look at the numbers for Ola, of course this is a business i n nascent stages I would ideally think that the base of volume sold every quarter should consistently go up, right? So, when I look at Quarter 2 volumes clearly Premium is something which is almost half from last quarter level. And I am just trying to understand, is it more to do with our focus on Mass expansion just the number Quarter 1 to Quarter 2 volume going down is something that if you can explain how are we approaching that because this is an expansion market, right? It is a very nascent market at this point of time.

Bhavish Aggarwal: See for us for seasonal as well as some regulatory reasons Q2 has always been a bit of a dip over Q1. So, if you see FY24 also Q2 was a dip over Q1 and FY25, also Q2 is a bit of a dip over Q1. Now there is a seasonality also in the industry and also generally whatever FAME reductions the government does is around the start of Q1 or the end of Q1 last two years that's been happening. So, what happened in Q1 FY25 was a lot of the deliveries which were there because March end was the FAME changeover. So, a lot of customers had ordered in March and the deliveries happened in in Q1. But hence I would actually say you should look at more broader time horizon where actually our numbers are going up. Like we had said, we sold more than 50,000 vehicles in October. Even this month, we are seeing a good growing traction. So, I feel in general penetration is going up, and our position remains strong. We do have to expand distribution that's a very clear focus for us but quarter-on-quarter, you should see growth over the next few quarters. Q2 over Q1, is always a bit of an outlier.

Gunjan Prithyani: The better way to look at it is just look at first half over first half, is that the way we should continue to expect like at least 25% to 30% growth on the base of volume?

Bhavish Aggarwal: See my expectation would be, we would year-on-year aim to grow

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Mass has obviously helped increase penetration. Our focus is to let both of our portfolios – Premium and Mass grow in the market. We are not really worried about cost cannibalization since gross margins are broadly similar and Premium like I mentioned also makes just about 52% of our revenue overall so the

majority of our revenue comes from

Premium. Now looking ahead also even after Q2 in October, we have had the generally similar ratios. The Premium continues to also grow, while Mass is really the one growing signi■cantly.

Gunjan Prithyani: The other thing that I wanted to get your thoughts on these regular schemes. Now whenever particularly BOSS when it got launched it just tends to create a lot of nervousness around how you are thinking about the margins because these are clearly very high discount schemes, right. So, how should we think about these recurring schemes coming back to the market and then we are sort of getting nervous about is it chase for market share, how should we think about margin if you can share your thoughts on this as well please?

Bhavish Aggarwal: Absolutely Gunjan. So, our directional commentary on this is we will balance between growth and pro■tability. But given the balance, gross margins will continue to improve quarter-on-quarter because you saw, even in Q2 over Q1, despite the additional discounts in Q2, we had discounts around our Sankalp event, we had discounts around our IPO period, and we had discounts in September a little bit. So, despite more discounts in

Q2, we still kind of had a flat gross margin. So, like I said, 3% went up due to BOM cost reduction and 1% we invested back into pricing and discount. Now in Q3 also while

we are investing into discounts, our general direction would be that quarter-on-quarter gross margin will incrementally go up only. So, we are seeing BOM cost savings. Even while Gen 3 will come in next quarter, there are other lot of vertical integration activities that are playing out which continue to every month actually keep improving our BOM cost and hence improving gross margins and then some of that we keep investing into pricing and discounts. Our strategy is to continue to gun for strong penetration and market leadership and like I said, we have a very signi■cant BOM cost advantage over competition, which is only increasing. So, while we are investing from our margins, I think at some point competition will actually have to see how they invest from balance sheet versus their gross margins from this product. So, to summarize, you can expect increasing gross margins despite the discounts.

Gunjan Prityhani: And is it fair to assume that the savings that you will get from the Gen 3 as well as the battery vertical integration, around 25 is I think what you have quantified at least 30% to 40% of that goes in terms of reinvesting in terms making the pricing better, enhancing the adoption is that a broader way from a mid-term perspective to think of it.

Bhavish Aggarwal: Our focus is to have a gross margin of about (+/-30%), right? And that's where the ICE industry also broadly operates. So, at that level with a much more efficient front-end due to the B2C nature of it, we actually believe our EBITDA margins will be in the mid-teens at a certain volume scale. Right now, we are almost at that volume scale and that's why quarter-on-quarter you see are segment EBITDA in the negative single digits roughly. So, if there is a higher competitive intensity in the quarter, we might invest a

little bit more, but we will keep focusing on growing the headroom on the gross margin so that we can invest out of gross margin. So, so that's the overall direction I would share.

Gunjan Prityhani: Thirty by when

Bhavish, is there a timeline around that?

Bhavish Aggarwal: No, not a timeline, but specifically if you see Gen 3 like I said is starting January, not all savings will be in January, but as all the ideas on January roll out through the next calendar year, we will get about 20 points savings from today's gross margin. And then on top of that, the cell starts in Q1 FY'26, again, not all of our vehicles will start with our own cell on day one, but there will be a 1-2 year period when step-by-step different vehicles will come on to our own step. So, that's a step-by-step journey. It will take a couple of years, and I am not giving any timeline on it. And also there is an open market dynamic which as market competitive dynamics evolve we have the wherewithal to continue to be aggressive while maintaining a certain level of profitability.

Gunjan Prityhani: Harish, I think I just want to get a sense on what part of the portfolio got PLI in this quarter, maybe if you can quantify that as a percentage of revenue in Q2?

Harish Abichandani: So, on the PLI front, last year we got our Air PLI certified and Pro certified in February. And in this quarter, the entire X portfolio, 2, 3, 4, we all got PLI certified during the course of the quarter, three of them happened in August and one or two happened in September. So, as of now this quarter we will have obviously the entire PLI and across the fourth quarter.

Bhavish Aggarwal: I think in Q2 there was about a 5% as PLI. So, PLI is about 5% of revenue, which is accounted for in the gross margins.

Moderator: The next question comes from the line of Yogesh Agarwal from HSBC. Please go ahead.

Yogesh Agarwal: Couple of questions. Bhavish, ■rstly on Gen 1 versus Gen 2 and Gen 3, you talk about cost advantage, but what's your views on general quality improvement, were you negatively surprised with Gen 2 issues and are there any learnings when the Gen 3 comes, are you expecting lower iss

ues, so what are your views on that? Bhavish Aggarwal: If you think of our product quality, our product quality is actually in terms of number of defects per hundred vehicles or amount of warranty replacements, etc., broadly in line with industry within India and even globally. Gen 2 is actually better than Gen 1. That's why I said in FY'24 we had a certain warranty cost, in FY'25 we will have slightly lower than that and that's because of the Gen 2 transition. In Gen 3, we have also focused on

further making

many reliability, quality, serviceability improvements in the product, fairly signi■cant ones actually. For example, one thing the hub motor is actually a very higher prone to quality issues. So, we're actually in Gen 3 moving to a complete mid mount motor across the platform which actually helps reduce cost also as well as helps improve quality signi■cantly. There's almost a factor of 10 just in the motor quality over there. So, many such things which have helped improve quality in Gen 2 and then further in Gen. 3. So, we do expect a further reduction in warranty costs on Gen 2.

Yogesh Agarwal: And then the other thing is, just curious to know your views on the long-term brand and the product positioning strategy, the ASPs have been falling, right, and it's probably in line with your COGS, but we are still falling in the last many quarters now and this is led by all these ■at, discounting and mass market products. And we have seen in the past, once you go down that curve, it's very tough to upgrade the portfolio as well. So, is it something you worry your volumes and cost of that amount here?

Bhavish Aggarwal: See, we think of firstly product and then volumes and brand is an outcome of product experience of the ownership experience and obviously at the scale at which you do it. So, that's how we think of this. See, our premium products are holding very good. Our market share in the premium, let's say the S1 Pro or the S1 Air segment is fairly high, and even the product is much better than what anybody has been able to build so far in competition and there are very strong loyalist customers, many of them have brought multiple S1 Pro, S1 Air, etc., So, I personally don't worry about the brand going down. One of the reasons for ASP is going down and ASP is actually probably a wrong proxy to think of in terms of brand because ASP is going down for two reasons; one is a mix which you rightly said; second is actually just as FAME is reducing over the last two years that FAME has come out of revenue. So, for the whole EV industry FAME would be falling and hence ASPs would be falling.

Moderator: The next question is from the line of Rishi Vora with Kotak Securities. Please go ahead.

Rishi Vora: Just on the mass market portfolio, right? Obviously on a sequential basis, we have seen a double digit volume growth. But now, given that wherever pricing is versus the ICE scooters, when will that next leg of growth as per you will come through because I think our models are there in the market for last two, three quarters. So, what is stopping the customers to now shift from ICE to EVs even now the upfront cost is maybe similar or in lower in some cases?

Bhavish Aggarwal: So, Rishi, like I mentioned in my opening remarks, we actually believe there is a EV penetration in■ection that is happening already in the scooter industry. There were two or three key drivers for this and many of them have come in place over the last couple of quarters and some still have to be done over the next couple of quarters. Firstly, purchase price parity. Now that is all done more or less especially for our portfolio, and

a better cost of ownership for EVs with the purchase price parity is a very compelling proposition and customers are starting to recognize that. Second is distribution penetration. Now, while we have 800 stores or so, competition is now selling in more stores, about 3,000 to 4,

000 each of them tell in their analyst commentary. But our stores sell much more because we have the best product at the best price. Now, as we expand our stores

to 2,000, we actually believe we will be much closer to customers for them to truly experience the best EV product and at the best price and the best overall package. So, that's #2. And third is also the expansion of the service infrastructure for us. Service infrastructure in EV is also not just an Ola problem, it's an industry problem because training the mechanics in

EV, EV battery maintenance, motors, electronics, software, all these are new things. So, we are investing e■ort into doing this, which I believe is probably the last leg of con■dence the customer needs. We don't see any major concerns or questions around charging in this ecosystem because 2-W heelers are not very dependent on public charging. All of these things are coming together. In many states, for example, I told Rajasthan, actually, Rajasthan has 47% EV scooter penetration, and this is basis our estimates of the scooterization of the Rajasthan market. UP. Madhya Pradesh are around I think 35%-odd, Maharashtra, Karnataka around 25%, 30%. But these are the states which are large enough states and yet have high scooter EV penetration and this penetration has actually happened in the last 6 to 9 months as our mass market portfolio has come on. So, as now we have almost a million units in operations, 8.5 lakh or so, more people are seeing their friends, so more people are getting more confident. So, it's a matter of again just all these things falling in place and these all-different themes actually compound on each other, right? So, that's where you are seeing already an inflection in EV penetration. I have a chart in my shareholder Letter on page 5. If you see it'll show you how in the last one year we have grown, the industry has grown EV penetration despite in the same time FAME subsidies falling from almost 60,000 to 10,000. It just shows how industry and the penetration has grown.

Rishi Vora: Just on the

premium portfolio, right? Well, I do understand the seasonality part, but even on a YoY basis our volumes are down 26% and this is despite I think our pricing being lower than what it was a year back. So, is there something which we need to be concerned about or is something which you think is a very quarterly phenomenon that should start normalizing in the subsequent quarters?

Bhavish Aggarwal: This is a quarterly phenomenon. I wouldn't be too concerned about it. There will always be some cannibalization when we launch mass products which we have. From our vantage point, like I said, my commentary to all of you would also be that, don't assume mass products have lower margin. That's why if you see even though the ratio in Q1 FY'25 and Q2 FY'25 has changed, yet the gross margin is actually flat. And that's because broadly the gross margins are in the same zone for us broadly few points here

and there. For us many customers were buying premium EVs earlier, but they wanted a product for TCO. So, now there's mass market products for them. But parallelly what's also happening is many customers who are buying let's say 125 to 150CC motorbikes, slightly mid-market motorbikes are actually buying the premium EV scooters now, because better performance, better torque, better functionality of a scooter versus a motorbike in urban areas. So, there are many market dynamics which are very hard to forecast beyond a point and that's why our strategy and e■ort is to just

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Rishi

Vora: And just the last question is on the distribution side, right. Before our IPO, our experience centers were at I think around 935, currently we are at 782 and in our RHP we had guided that we will have 300 experience centers by FY'26. Why there is a change in strategies more because of pressures or is this -?

Bhavish Aggarwal: See, the 900

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incrementally, a few hundred, but we're now seeing that the EV penetration is actually at this in■ection point. So, we now actually want to go deep into many markets. For example, let's say while in urban centers, we have enough stores, but let's say in a city like Bangalore we have about 25, 30 stores, whereas an incumbent 2-W heeler company might have 70, 80 100 stores.

So, we will do some densification. We don't need to be 1:1 because our productivity per store is much higher. And then even if you think of other tier 2 cities, let's take my hometown, Ludhiana, the whole district, we have only about one to two stores in the whole district, an incumbent ICE company will have about 7 to 10 stores in the whole district.

So, there are places where the closest OLA store is about 50, 60 kilometers away, yet these are towns with a 1-2 lakh population, there is enough 2-W heeler cells over there. And as our motorbikes are also coming in, we feel we have the product portfolio to now go into up country in terms of distribution. So, that's the overall thinking and hence we decided to allocate some more capital to a faster expansion.

Moderator : The next question is from the line of Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: Couple of questions from my side. One is we have talked about 20 percentage point reduction in cost due to Gen. 3. Would it be possible to get some breakdown how do we come to that 20% number, where are the savings coming from within the Gen. 3?

Bhavish Aggarwal: Jinesh, there's actually a very nice video in the Shareholders' Letter which maybe o■ine, you can see if you haven't seen already, it'll give you a very good conceptual architecture of the Gen 3 platform, but some highlights are, we're doing rearchitecture of the motor platform which

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cost, we're doing more automation in the factory, we're doing more vertical integration, some things which we were outsourced to suppliers like for example, the motor tier twos, we might bring some of those things also into our own manufacturing, because we see a very quick return on capital on those things. So, all of these added up, get you the 20% savings. More speci■cs we won't be sharing each idea, but you can assume each of these broad categories of mechanicals, electronics, powertrain, etc., all of them add up.

Jinesh Gandhi: And e■ectively by next quarter 3Q our PLI should go up from 5% to 14% given all our products have been approved which are there in the market today. Is that the right way to think about PLI?

Harish Abichandani:

See, the entire quarter we will have PLI accrual for all the products in Q3 and Q4. There is also slabs in PLI like actually can go higher than 13% based on which slab you are on the top line, etc., So, I think but minimum 13% on the product is given.

Jinesh Gandhi: W ith respect to the cell ma

nufacturing, which will come from 1Q

FY26, what kind of savings do we expect, I mean, where are we in terms of our current cell cost, which has been imported and what would be the cost of manufacturing for us for the upcoming cells?

Bhavish Aggarwal: See, on cell, I will actually comment first on the segment P&L because you'll have to look at the cell segment P&L differently and the automotive segment P&L differently at that point. But if I give you right now a consolidated number, see, the cell at a gross margin level will be much more profitable on day one versus procuring from outside, but there will be some costs we will be incurring for scale, which we will grow into that as the cell production scale. So, roughly about 5 GwH is when our own cell production will be much cheaper than procuring from outside. And that's the seven to eight points of savings further. So, that will happen by the time we get to between 3 to 5 GwH.

Jinesh Gandhi: Lastly, can you talk about the CAPEX plan for FY'25 and FY'26?

Harish Abichandani: So, on the CAPEX plan, what we have also highlighted in our book and continue to engage on that is that a), there is a cell project which is currently happening. You will note that we have completed 1A, 1B's in progress, then that will be followed by scaling up from 5 GwH onwards, for which around 1,200 crores as we already raised in the IPO. That's the current road map from now for FY'25 and FY'26 and then beyond ■ve later. The auto side, there is obviously new product launch which are happening at the motorcycles and the 3-W heelers we spoke about. That will require a certain level of CAPEX followed by capacity expansion from a current 1 million onwards to 2 million. These are the largely broad buckets of CAPEX is where the investment will go into the coming couple of years.

Bhavish Aggarwal: If I add to that, Harish, on the product development CAPEX, there are two things. One is factory expansion and the second is actually the R&D or the investments on the tooling, etc., which is more on the product things. Since the factory is already built out for much larger scale, factory expansion CAPEX will not be similar to what we have done so far. So, that will be much more tapered down even as we increase volumes. But for each new product we build, there will be some capital expense across tooling and testing and some homologation, etc.,

Jinesh Gandhi: So, first half we invested roughly about 280 crores, there should be close to 800 to 1,000 crores given that investment will also culminate in terms of the cash flow cell? Harish Abichandani: On the cell side, the rough math is roughly around USD 45 to USD 50 million per GwH, it continues to taper down as we scale up, and in the going up from 1B project itself we have got around 1,800 crores of debt facility from SBI and already invested our 400-odd crores that takes us to five and then beyond. So, that's the rough math on the cell side.

Moderator: The next question comes from the line of Pramod Amte with InCred Equities. Please go ahead.

Pramod Amte: So, first question is with regard to your group presence. Looking at you are expanding from scooter to motorcycles and if I look at your peers where you had an advantage of product launch earlier in scooters versus motorcycle, do you see ■nancing as a big enabler for EVs, and in that context, does it make sense to have captive ■nancing? Bhavish Aggarwal: See, ■nancing is a very important thing for 2-W heeler customers. But even if you look at our scooter ■nancing percentage, it's I think in the early 60s percentage of products being ■nanced. It doesn't feel like it's a constraint for penetration right now. Banks and all are very comfortable lending to EVs now compared to three years ago. And we have

our group company, Ola Financial Services, which distributes the loan. We keep a very large part of the margin. So, in that sense, we are actually

generating margin without using any balance sheet.

So, we are able to monetize some of the lending and insurance commissions without having to deploy our balance sheet.

Pramod Amte: And what proportion of your sales are funded through this entity, right, if you can just support it?

Bhavish Aggarwal: There's no funding of sales. This entity is also just a platform. This entity doesn't take any balance sheet also. It's just banks like

IDFC, HDFC, Axis or other NBFCs which do the loans actually.

Pramod Amte: And the second one is with regard to the pricing action in the EV space. Considering that you come from a completely different background as compared to a typical automaker who are very sacrosanct about the selling price and the way the brands are positioned, so how do you look at a product

-- is it more like a consumer durable where the price points are very drastically to make it more a■ordable at any given point of time? Second, where you can play around with a much wider scope of variants and all to keep the consumer excitement alive?

Bhavish Aggarwal: Interesting question. See, on pricing, if you look at current -

Pramod Amte: In terms of pricing,

right, the way conventional autos are designed, similarly –

Bhavish Aggarwal: So, we think very first principles about these things. So, we think of a pricing basis whatever is required for penetration as well as whatever our margin structure can afford us. I don't believe the modern customer really holds a brand and pricing interplay. Brand is built by product, not by pricing. And if you

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capability to truly sustain some of these at scale, whereas we have really deeply invested in those. So, that gives us the ability to price aggressively, and we will always continue to be more innovative on pricing.

Pramod Amte: But do you feel it's more inclined as the EV space evolves in India too, like globally the pricing can't be sacrosanct considering technology curve is very steep, right?

Bhavish Aggarwal: See, I don't think pricing and brand are linked. I think product and brand are linked. That's the question.

Pramod Amte: But does technology also play a substantial role, right, when you look at costing versus pricing?

Bhavish Aggarwal: Absolutely. 100%. See, the reason we are able to grow our margins, and all the while also pass on some benefit to consumers is because all of this is through technology development. Technology enables better margins because it brings cost down. Pramod Amte: The third question is with regard to the cell plant. W hat is the update in terms of technology development drive process and how far you have gone in terms of stabilization of the same if you can update? Bhavish

Aggarwal: Our cell process has actually evolved a lot. There are two steps in the cell process. First is in the lab, we call that the R&D step. Second is in the factory, we call that the manufacturing process validation step. So, our R&D and link certifications were all done last quarter itself. And since over the last I think three to four months, we have been focusing on the factory process stabilization, now we have developed both Wet and Dry electrodes, the Dry is a bit of a moon shot, we have very good progress on the Dry electrode also. The Dry electrode will be cheaper than the Wet electrode, but our Wet electrode also is actually fairly advanced and if you recall, maybe if we spoke earlier, I would have shared that the first cell, actually the generation one cell that we developed was the Wet electrode cell and then we continued to evolve the Wet electrode technology for us as well as we added our Dry electrode as an Experiment. So, we have both options. Wet is obviously very mature. We have that cell system ready, the giga factory is being tested, all production systems you can see image of all these, the mixing, the electrode formation, the cell assembly and winding, the electrolyte as well as the formation stage. All of them are going through very rigorous design of experiments. The Dry one also the only thing that changes the electrode manufacturing, everything else downstream remains exactly the same. So, as we are developing Dry technology, once it matures, we might actually change over to Dry. The Wet is anyways mature for us.

Moderator: The next question comes from Kapil Singh from Nomura. Please go ahead.

Kapil Singh: I am curious to understand, some of the states have seen very good EV penetration. Any thoughts you have what has gone right in these states, what are the enabling factors that are helping us much faster EV penetration?

Bhavish Aggarwal: See, states which have had very sharp rise in penetration in the last six to nine months like Rajasthan, UP, etc., are the states which are actually more price-sensitive. So, the mass market portfolio has really taken o■ over there. And now we are also doubling down with increasing our distribution in those states. Our distribution was actually South and West heavy. And now we are increasing in the North as well as the

Northwest part of India. So, we feel as our S1X product goes even beyond into deeper upcountry, there'll be a very strong demand for it. In the South and West markets also, if you look at, urban markets are more penetrated, deeper rural markets need a little bit more distribution access from us, which also over the next 2-3 months as we add, we feel confident that those markets will also grow and even the premium portfolio will I feel that in rural areas in these South and West regions, the premium portfolio will also sell. Kapil Singh: And anything on electricity availability as well you feel is making a difference in some of the states?

Bhavish Aggarwal: No, I don't think electricity availability is a challenge anywhere. I don't know which states are low on electricity, but I haven't heard that from the ground.

Kapil Singh: Just one more question was on cell chemistry. You guys are doing NMC and also 4680. Any thoughts whether there will be a need for LFP because some of the OEMs globally as well as in India are also exploring LFP. So, just your thoughts on that?

Bhavish Aggarwal: So, we are actually working on both. The first cell that will come out in Q1 FY'26 will be an NMC cell, but the same platform of the cell which is the 4680 platform can do LFP also and we have an experimental project working on LFP, we have cell systems which are undergoing testing on LFP, although we are still maybe a year and a half or two away from productionizing it. So, the first step is actually to get the NMC cell up and going, and then in the same cell system, the same manufacturing facility we can do LFP also.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question for today. I now hand the conference over to Abhishek for closing comments.

Abhishek Chauhan : Thank you so much, everyone for your time and all your questions during the call today and once again, thank you so much for joining us and we look forward to meeting you all during our next earnings conference. Thank you.

Moderator : On behalf of

Ola Electric, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2025

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)

Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Benga luru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
Date: February 10, 2025

To,
National Stock Exchange of India Ltd.,
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225

SUBJ ECT: TRANSCRIPT OF THE CONFERENCE CALL WITH ANALYST/INV ESTORS CONDUCTED ON FEBRUARY 07, 2025.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are enclosing herewith a copy of transcript of the conference c all w ith a nalyst/Investors conducted o n Friday, February 07, 2025 .

The same is also hosted on the website of the Company a t
https://cdn.olaelectric.com/sites/evdp/pages/investor/financials/OlaElectric -Earnings_Transcript_Q3FY2025.pdf

We request you t o take the above on your record.

Thanking You,
Yours faithfully,
For and on behalf of OLA ELECTRIC MOBILITY LIMITED

Pritam Das Mohapatra
Company Secretary & Compliance Officer
M. No.: A24685
Place: Bengaluru

Ola

Electric

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Limited

Q3

FY25

Earnings

Conference

Call

February

07,

2025

Management:

Mr.

Bhavish

Aggarwal

–

Founder,

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited

Mr.

Harish

Abichandani

–

Chief

Financial

O■cer,

Ola

Electric

Mobility

Limited

Mr.

Abhishek

Chauhan

–

Director
-
Corporate
Communications
&
PR,
Ola
Electric
Mobility
Limited

February
07,
2025
Moderator:
Ladies
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Ola

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Earnings
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the
presentation

concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the

conference
over
to
Mr.
Abhishek
Chauhan
from
Ola
Electric
Mobility
Limited.
Thank
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Mr.
Chauhan.
Abhishek
Chauhan:
Thank
you.
Good
evening,
and
thank
you
for
joining
the
earnings
conference

call of Ola Electric Mobility Limited for Q3 FY25. Before we begin a few quick announcements for the attendees. Anything said on this call, which reflects our outlook for the future or which could be construed as a forward-looking statement may involve risks and uncertainties. Such statements or comments are not guarantee of future performance, and actual results may di■er from those statements.

To begin

with, I would like to request Shri Bhavish Aggarwal, Chairman and Managing Director of Ola; and Harish Abichandani, CFO of the company, to take you through the results.

Bhavish Aggarwal: Thank you, Abhishek.

This is Bhavish. I think what we will do is we have anyways published a shareholder letter. So and I'm assuming all of you have gone through it. This time unlike last time,

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directly jump into questions.

This quarter was an important quarter in terms of many transformation things happening. We faced a much more intense, tougher competitive environment. And we saw through the quarter, despite that competition, we were number one. But obviously, as the quarter progressed, we -- our market share reduced. Now in January and continuing into February, we've actually been able to turn that around signi■cantly. And that's because we've been focused a lot through last quarter and ongoing on the network transformation, which is expanding our network to about 4,000 touch points as well as transforming our service experience and service time lines.

Most of these initiatives are actually done, and there, we are seeing good outcomes from both the sales network as well as the service transformation. And that has resulted in this turnaround in terms of our market share as well as volumes in January.

Another important theme last quarter was product launches and product announcements. We announced a few products in the entry-level segment, the Gig, Gig+, Gen 3, as well as we had mentioned that our Gen 3 products will be pulled ahead. And you saw we actually launched and we are now delivering Gen 3 products this month, and they have been met with very strong response. In addition to

that, our motorcycles are also on track. This month itself, we launched them and next month,

deliveries start for the Roadster X product range. So that's another key takeaway that I want to share with everybody on last quarter and going into this quarter and ahead.

We have the ■nancial numbers also. A few key themes on the ■nancial numbers is a continued focus on gross margin improvement. And you can see while revenue dipped in Q3, our gross margin as a percentage actually slightly grew. And looking ahead, actually, January, our gross margin was significantly expanded, and

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we scale up our motorcycle products across the country given that motorcycles sell a lot in rural market, sub-country markets and smaller towns.

Thirdly, in the last quarter, we had a negative impact of operating leverage because volumes came down. In our report, we've also highlighted that given our gross margin expansion as well as operational cost control, we can expect auto segment EBITDA breakeven at

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50,000

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50,000 monthly sales, which takes us to an auto segment EBITDA positive.

Finally, I want to just round up my opening remarks with just a reiteration of our strategy. There are three growth pillars of our strategy, and we remain committed to it, and we are executing on that strategy. First is product expansion to increase EV penetration across different product segments of the 2-

and
3-wheeler
market.
Scooters,
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entry-level
motorbikes.
We'll
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mid-segment
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Obviously, it will take a few months of being in the market for those stores to get to their optimal store

sales

count

levels.

And

we

expect

that

through

this

quarter

and

next

quarter

the

sales

from

these

stores

will

continue

to

increase.

In

addition

to

sales,

service,

also,

like

I

mentioned,

has

been
a
big
focus.
We
have
used
a
lot
of
technology.
We've
scaled
up
our
people
numbers,
our
processes
have
been
tightened.

And
as
a
result,
our
average
service
time,
the
TAT
of

service,

has

come

down

from

almost

2.5,

3

days

at

the

--

in

October,

which

is

when

our

service

issues

were

the

highest

down

to

1.1

days.

And

actually,

the

trend

is

continuing

downward. So we -- our service experience and SLAs are now pretty much best in class in the OEM industry.

The final part of our strategy is technology innovation and vertical integration.

And
you've
seen
us
in
the
last
quarter
and
in
the
last
month,
January
and
February,
continue
to
move
along
on
this
journey.
Our
Gen
3
platform,
which
was
launched
about
10
days

back,
delivers
a
much
higher
performance
at
a
much
lower
cost.
And
we've
also
showcased
very
--
a
few
interesting
technologies
like
Brake
By
Wire,
which
is
a
patented
technology.
yours
truly
was

also
a
little
involved
in
that,
as
well
as
unique
wiring
harness
all
of
that
reduces
cost,
wage,
etcetera,
and
improves
performance.

So
Gen
3
really
denotes
in
a
sense,
the
future
of

2-wheeler technology platforms for India. And we believe this really strengthens and enhances our lead in terms of technology as well as gross margin pro■le compared to our peers. Another key pillar of

our
technology
and
vertical
integration
is
our
cell.
Our
cell,
we've
guided
before
is
on
track
for
commercialization
into
our
products
by
Q1
of
next
year,
which
is
about
the
April
to
June

timeline,

and

we

are

on

track

for

that.

We

are

seeing

very

good

ramp-up

of

the

testing.

The

testing

results

are

coming

out

very

well.

We've

already

started

testing

our

own

cells

in

our

own

vehicle

battery

packs

and

vehicles.

And

you

saw

that

we

also

announced

2

vehicles

in

our

Gen

3

and

our

Roadster

X

portfolio

at

the

top

end,

which

worked

with

the 4680 cell. And the benefit of the cell, obviously, is lower cost, which is our own production. But also because it's the next generation of cell, you can see that we're able to pack more energy and battery capacity into the vehicle. For example, the S1 Pro+ takes the battery capacity to 5.3 kilowatt hour, unthinkable in scooters before this.

And in Roadster X, the

top end actually goes to 9.1 kilowatt hour. With the traditional 2170 cell, both these 2 levels were not possible. So our 4680 cell gives us a functional advantage also in addition to

a
cost
advantage.
And
we've
got
very
strong
feedback
from
customers
about
our
range
in
both
the
Gen
3
products
as
well
as
the
Roadster
X
products.
And
it
further
sets
Ola
Electric

apart in terms of product

performance and technology. That's pretty much it what the document covers. Happy to have questions.

Abhishek Chauhan: Thank you so much, Bhavish. With that, now we are ready to take the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is

from
the
line
of
Arun
from
Kejriwal
Research.
Arun:
So
just
wanted
to
understand,
we
had
a
robust
January
in
terms
of
vehicle
sales.
Looking
at
that,
could
you
use
a
crystal
ball

and
tell
us
how
the
quarter
--
the
remaining
2
months
of
the
quarter
and
a
sense
of
coming
quarters
could
look
like?
Bhavish
Aggarwal:
Sure,
sir.
January
was
robust.
We
reclaimed
our

number
1
position
immediately,
and
momentum
into
February
looks
strong.
Actually,
the
2
new
products
that
have
launched
after
January
ended
are
Gen
3
and
the
Roadster
X.
So
all
of
the
January

performance
is
actually
on
the
Gen
2
product.
And
now
with
the
new
products,
we
are
seeing
a
much
more
stronger
demand
across
our
network
of
both
Gen
3
as
well
as
Roadster

X

products.

In

terms

of

ramp-up,

I

do

believe

as

we

get

into

a

little

bit

of

the

festive

season

towards

the

end

of

this

quarter

or

early

next

quarter,

we,

with

our

new products of motor bikes as well as Gen 3, these numbers will continue to ramp up. Another vector which will take numbers higher is just the maturity of the new stores that

we've

opened.

These

stores

are

right

now

--

typically,

it

takes

us

about

4

to

6

months

for

our

store

to

get

to

its

ideal

operating

conditions

in

terms

of

sales

per

month

per
store.
So
these
new
stores,
which
were
opened
in
end
of
December
pretty
much
are
still
in
their
second
month.
So
we
are
seeing
good
walk-ins.
We're
seeing
good
interest
in
the

new

products

also,

especially

the

motorbike

in

these

new

stores.

So

I

do

expect

over

the

next

2,

3

months,

that

vector

to

also

amplify.

Another

point

I

want

to

highlight

given

this

opportunity
is
actually
our
Gen
3
and
Gen
2
coexistence
strategy,
which
was
new
and
we
had
not
shared
that
before
in
the
market
before.
So
we
have
decided
to
keep
the
Gen

3 and Gen 2 products together in the market for the future. Gen 3 is a very aspirational product, and we have priced it also slightly higher than our Gen 2 yet in

the

same

range

as

a

market

product,

whereas

its

performance

is

much

better

than

peer

products.

And

we

have

a

lot

of

brand

pull,

product

pull

for

the

Gen

3

products,

and

it

also delivers a very good margin for us. Gen 2, we have used to now focus on increasing penetration as well as gaining market share. And hence, this kind of pincer strategy allows

us

to

both

increase

volumes

as

well

as

increase

margins.

So

all

these

things

put

together,

sir,

we

do

expect

the

market

share

for

us

to

trend

upwards

towards

30%

to

35%

over

the
course
of
this
quarter.
Arun:
One
other
question,
Bhavish.
You
have
given
us
a
number
that
at
around
50,000
vehicles
a
month
you
would
breakeven
and
move
towards
EBITDA
positive.
Sometime
in

Q1 of FY26, you would also be launching your battery cells. Would that change this

number of 50,000 to something lower

because
contribution
from
the
battery,
not
in
terms
of
revenue
because
on
a
consol
basis,
it's
not
going
to
make
a
big
change,
but
total
contribution
to
the
company's
sales
would
become
signi■cantly

higher?
If
you
could
give
us
some
thought.
Bhavish
Aggarwal:
So
you're
absolutely
right.
At
a
consolidated
level,
when
our
battery
cell
comes
in,
we
will
actually
have
an
expansion
of
margin.
The

50,000
is
actually
for
auto
EBITDA.
We
have
2
segments,
auto
and
cell.
So
the
auto
segment
EBITDA
will
achieve
breakeven
at
that
50,000
unit
level.
The
cell
margins
are
booked
in
the

cell segment. But at a consol level, actually, that will add to the overall benefit and that number might come in a little bit.

Moderator: The next question is from Gunjan Prithyani from

Bank
of
America.
Gunjan
Prithyani:
I
just
wanted
to
follow
up
on
the
50,000
breakeven
number.
Bhavish,
I'm
not
sure
--
I
mean
is
it
that
we're
expecting
this
to
be
breakeven
when

Gen 3 kicks in and battery localization benefit kicks in? Because as of now, certainly, at a volume level, which is higher than 50,000, we are -- the losses just seem very wide.

So
I'm
just
trying
to
make
sense
of
this
number,
please?
Bhavish
Aggarwal:
So
Gunjan,
this
is
not
a
quarterly
number,
this
is
monthly
number,
50,000
sales
a
month.
The
number
you
would

have seen in the shareholders, that is a quarterly number. So just for benchmarking, in January, I think we had about 25,000 sales in the month of January. So when we get to

50,000, at a gross margin level at where we are today, about 25-odd percent that you saw in January, we will be auto segment EBITDA positive.

Gunjan Prithyani: And these factors in Gen

3
not
the
battery
localization,
to
be
clear,
right?
Bhavish
Aggarwal:
The
gross
margin
to
achieve
this
is
at
that
25-odd
percent.
So
gross
margin
remains
at
around
the
25-odd
percent.
50,000
is

the EBITDA breakeven number. But that doesn't factor in the cell benefit. The cell benefit is on top of that.

Gunjan Prithyani: Okay. Got it. That is clear enough. I think Bhavish, I

just
also
wanted
to
understand,
when
you
look
at
the
PLI
benefit
or
PLI
accruals,
if
you
can
quantify
how
much
will
that
be?
And
just
a
little
bit
more
direction
on
the

Gen

3

because

if

I

read

the

press

release,

it

spoke

about

some

11%

reduction

in

the

core.

Are

there

more

cost

reductions

to

be

expected

because

I

thought

the

number

was

--

because when this -- you've spoken about it last year or more clarity on that? Bhavish Aggarwal: Sure. So let me answer the Gen 3 stu■ ■rst, and then Harish can take the

PLI. See, on Gen 3, the press release, the 11% is a BOM cost reduction. That will happen over the course of this year. What we have launched with Gen 3 is the starting point of the Gen 3 platform, and there are many more cost reduction activities planned for over the

course of

this year. When all of those activities are complete, there will be about a 15- to 20-point gross margin benefit, which is in that 11% BOM cost reduction range. Gunjan Prithyani: Okay. Got it. And on the PLI?

Harish Abichandani: Hi, Gunjan, Harish here. So on the PLI, this is the first quarter where all our products are covered under PLI. We had the X series getting PLI certified in the preceding quarter. And this quarter, we had all the entire range getting PLI approvals from this period. The total quantum of PLI approximately accrued in this quarter was

around
INR120
crores
for
all
the
range,
both
Pro,
Air
and
the
entire
X
series.
Gunjan
Prithyani:
Okay.
Got
it.
And
last
question
from
my
side,
Bhavish,
will
be
on
the
industry
as

a
whole.
If
I
look
at
last
maybe
few
months,
the
adoption
level
has
been
at
6.5%
or
in
that
range
of
sub-6%.
And
it's
not
like
they're
in
lack
of
products
in

the
market
now.
There
is
a
fairly
large
set
of
products
available
from
yourselves
as
well
as
from
the
industry
as
a
whole,
and
at
price
points,
which
are
now
fairly
very
competitive.

Then what is it that is the crumbling drop on the adoption? What is it that you pick up the ground? Is it no con■dence on the product performance or some thoughts around

that?
Bhavish
Aggarwal:
See,
like
I
always
remarked,
Gunjan,
the
6.5%
needs
to
be
split
into
motorbikes
and
scooters.
Motorbikes
is
two-thirds
of
the
market,
and
there
is
no
product
there.
Ours
is

the
first
product
there,
right?
So
let's
keep
aside
motorbikes.
In
scooters,
the
penetration
has
been
growing
steadily.
Right
now,
the
EV
penetration
in
scooters
will
be
slightly
higher
than
20%.
And
if

you see, we put a chart in our market commentary in the shareholder's letter, that shows that actually quarter-on-quarter, with a few blips here and there, the EV market is growing.

And if

you

take

--

see,

sometimes

what

happens

is

we

see

only

this

month

versus

2

months

ago.

There

are

enough

seasonalities,

there

are

enough

pain

changes

in

amounts

and

all

that

keep

moving

it

a

few

-

a

little

--

a

few

points

up

and

down

on

a

monthly

level.

But

if

you

see

--

if

you

zoom

out,

you

see

year-on-year,

calendar

year

'24

over

calendar year '23, the scooter EV penetration has gone up from about 12%, 13% to about 17% to 20%, right? And we are seeing continuous similar trends of penetration increase in scooters. So my feeling is in calendar year '25, we will go from about 20% to about a 25% to 30% penetration. This number can be slightly higher or slightly lower depending on how competitors also play. If competitors are more aggressive, it actually bene■ts penetration, and hence, in a strategic sense, it bene■ts us because we have the strongest play in electric.

As we have expanded

distribution, for the first time, actually, these customers have a good product at a reasonable price. Before that they had our peer products, which were maybe not priced well or not as good in terms of functionality. And our

distribution expansion will further increase scooter EV penetration. So anywhere between 25% to 30% is where

I
think
towards
the
end
of
this
year,
we
can
be.
But
there's
another
blip
possible
because
FAME
is
reducing
in
April
from
10,000
to
5,000.
There
might
be,
again,
a
2,
3

month
blip
because
of
that.
But
generally,
on
a
year-on-year
basis,
you
should
assume
EV
penetration
growth
of
about
5
to
10
bps
--
5
to
10
percentage
points.
On
the
other
hand,

I'll

just

complete

my

answer

on

the

scooter

commentary.

On

motorcycles,

we

actually

expect

a

faster

uptake

compared

to

the

scooter

journey.

The

scooter

journey,

if

you

see

started

3.5

years

ago

with

us,

then

penetration

was

sub-1%

in

scooters.

Now

it

is

20%

--

it's

taken

3.5

years

to

get

here.

In

motorbikes,

we

actually

expect

to

traverse

the

same

journey

in

about

half

or

two-third of the time. And that's because there's generally more awareness about EVs. The basic foundations of the sales service network have already been laid out. Products have already improved 3 generations for us. Our motorcycles start from our Gen 3 platform. So all of those benefits already are into the starting point of motorcycles. And motorcycles, as we all know, is about 2x the scooter

market.
So
we
are
actually
very,
very
encouraged
by
the
response
and
interest
we
are
getting
on
our
motorbikes,
and
we
actually
feel
this
is
going
to
be
the
real
in■ection
point
for

the
EV
2-wheeler,
3-wheeler
industry
in
India,
which
is
motorbikes
gaining
EV
penetration,
and
it's
all
going
to
happen
in
the
next
couple
of
quarters.
Gunjan
Prithyani:
Okay.
Got
it.
That's
pretty
useful.

I
think
just
last
question,
if
I
can
squeeze
in.
Harish,
I
just
wanted
to
get
your
cost
from
these
expenses,
which
has
been
seeing
a
pretty
big
jump
over
the
last
2

quarters.
And
last
quarter,
you
did
speak
about
the
warranty
costs
being
higher.
And
this
quarter,
again,
that
number
has
gone
up.
So
if
you
can
give
us
some
sense
on
what's
really

driving
the
increase
there
both
in
terms
of
where
are
you
on
warranty
costs?
And
secondly,
what
led
to
the
step
up
in
this
quarter?
Bhavish
Aggarwal:
So
Gunjan,
I'll
set
some
context

and then Harish can be more speci■c on it. See, on warranty, the warranty and service related costs, so you see a onetime exceptional cost in this Q3. There will also be another

one
in
Q4.
This
is
largely
linked
to
the
service
backlog
we
had.
It
is
not
all
warranty.
Part
of
it
is
also
no
questions
asked
goodwill
that
we
did,
given
that
we

had
a
bad
issue
on
service.
All
of
that
is
now
behind
us.
In
terms
of
actual
warranty
cost
in
the
product,
we
so
far
booked
about
3,200,
Harish?
Harish
Abichandani:
3,250.
Bhavish

Aggarwal: 3,250. Now we might revise this number in the next financial year as we just learned from our experience. The steady state actual warranty costs for us are not much higher than this 3200 number. Slightly higher, but not much higher. It is the one-o■s which we

had to solve for, which

was linked to lower network scale and some goodwill that we had to do. So this should end in the next quarter or two in the one-o■s. And going forward, we might revise

our
provisioning
on
warranty
to
the
new
level
from
this
data.
Harish
Abichandani:
Just
to
add,
Gunjan,
I
think
if
you
look
at
the
annualized
level,
last
year
we
had
a
warranty
cost

of approximately 5% to 6% of our revenue. This year, we will be slightly higher, going into the closure of this year consequent to this one-o■, and the last two quarters end in

Q4,

some

part

of

it.

But

going

ahead

into

FY26,

as

we

review

our

provisions

and

with

Gen

3

and

other

technology

improvements,

and

with

our

investment

and

service

side

of

it,

these

are
expected
to
then
start
trending
closer
to
the
industry
standards.
Bhavish
Aggarwal:
Actually,
on
that,
with
our
Gen
3
platform,
our
forecast
actually
is
that
the
warranty
as
a
percentage
of
revenue

might
be
around
2%.
Yes,
that's
what
we
have
tested
for
and
planned
for,
and
that's
where
Gen
3
is
coming
out
in
the
testing
also.
So,
we've
done
a
lot
of
work

on making sure Gen 3 is actually much lower on warranty costs.

So, 2% is where we are targeting with Gen 3. We might actually be slightly lower on that too. But we will still have a lot of this Gen 2, Gen 1 products, which will continue to have some level of warranty higher than this 2%, 2.5%. So the blended might be slightly higher

for
another
year
or
two.
Moderator:
Thank
you.
Next
question
is
from
Chandramouli
Muthiah
from
Goldman
Sachs.
Please
go
ahead.
Chandramouli
Muthiah:
Hi,
good
evening
and
thank
you
for
taking
my
question.
I

have

two

questions

and

I'll

ask

them

upfront.

First

one

is,

just

around

the

motorcycle

launch,

congratulations

on

that.

I

just

want

to

understand

at

what

stage

will

you

potentially

start

sharing

the

team's
numbers
to
the
motorcycle
community
on
the
motorcycle
product?
And
the
second
question
is
just
around
your
battery
strategy.

What
sort
of
yields
are
we
at
at
this
stage
as
we

approach the June sort of in-house battery usage in some of our products? And when do we expect the battery strategy to be accretive to our close margin pro■le versus buying sales externally?

Bhavish Aggarwal: So, on motorcycles, Chandru, we've had a very strong response to our launches. We are, you know, actually across all our stores now people are buying the motorcycles. We will not

be

sharing

any

numbers

today.

Many

people

are

also

saying

they've

reserved

it.

Tens

of

thousands

of

people

have

reserved

the

bike,

but

they

want

to

see

the

bike

in

the

stores

before

they ■nally order, which will also happen in the month of March. So, motorcycles actually in terms of volumes will start re■ecting in Q1 in a material way in our registrations as well as our revenues.

There will be some in this quarter, which will be towards the end of March. But in terms

of
volumes
and
revenue
and
registrations,
it
will
come
in
in
Q1.
But
the
interest
is
very,
very
strong.
And
the
product
proposition
also
is
obviously
as
good
as
it
gets
in
EVs

for this category. So, that's on motorbikes. And what we've launched right now is the Roadster X, which is the entry-level motorbikes.

We have a bunch of other motorcycle products lined up

for
the
course
of
this
year.
We
have
the
Roadster,
then
the
Sportster
and
Arrowhead,
which
are
sporty
mid-segment
bikes.
And
then
later
this
year,
we
will
have
our
premium
segment
bikes
also.

So, all of that is lined up. So, we feel fairly good and con■dent about our motorcycle product lineup. On the battery, see, we are right now scaling up the entire production. Our yields

are

already

up

to

about

70-odd

percent.

And

we

want

to

get

to

about

80-plus

percent

when

we

commence

production

next

quarter.

And

each

of

these

steps

are

being

optimized

for

the

right
yield,
as
well
as
the
right
safety,
quality,
etc.

And
all
the
testing
that
we're
doing
on
the
cells
is
to
make
sure
whatever
we
are
producing
is
at
a
certain

safety standard. And also, the yields and the cost is also trending towards a high yield number. We will start our commercialization at around 80% yield.

And through the course of this year,

get
it
to
about
90-odd
percent.
The
target
eventually
is
a
mid-90s
percent.
We
have
the
best-in-class
Giga
factories
run
in
the
world,
which
will
be
somewhere
early
to
mid-next
year.

In

terms of margins, at a BOM cost level, the cell is going to be on day one cheaper than buying it from outside. So the BOM cost of the cell, as well as the cost of production for us, including yield losses from the first quarter of commercial production itself, will be lesser than the cost of procuring cells from outside. And as we improve yields, as we get to a higher scale, our BOM will and the cost of production of the cell will further reduce.

At about a five gigawatt-hour level, the cell business will be also segment EBITDA positive directionally, about a ■ve gigawatt-hour scale, which should happen by early next year. And so that's where the cell business will be at a consol level, EBITDA margin accretive. At a contribution margin, etc., it might happen earlier.

Chandramouli Muthiah: Got it. Thank you very much and all the best.

Bhavish Aggarwal: Another point, Chandru, I want to make here is, I don't know

whether

you

all

noticed

that

it

was

a

small

line

in

the

end

of

our

shareholder's

letter,

that

what

we

are

producing

right

now

in

the

Giga

factory

is

the

Gen

1,

Ola
Gen
1
NMC
cell.
We
are
already
working
on
our
Gen
2
NMC
cell,
which
will
be
out
early
next
year.
So
that
will
be
a
better
energy
density
than
what
we

have with this one.

This one is about the 275 watt-hour per kg mark. That one will be slightly higher, which

actually
means
every
product
of
ours
just
gets
10%
extra
or
5%
to
10%
extra
energy
right
out
of
the
box
without
the
vehicle
changing
anything.
Another
big
thing
here,
which
was
again

a

small

point,

maybe

you

guys

missed

it,

is

we've

also

started

commercializing

LFP

cells.

So

we

are

making

two

LFP

cells,

one

for

our

vehicles

on

the

same

4680

format

and

one
for
battery
storage
applications.
And
we
will
be
entering
the
battery
storage
industry
also
with
a
mega-pack
kind
of
a
product,
which
will
be
a
container-sized
battery.
And
in
India,
the
battery

storage
market
with
all
the
government
bids
and
all
is
just
starting
to
ramp
up.

And
today,
all
the
players
in
India
import
from
outside.
So
we
will
be
building
these
container-scale
batteries

within this calendar year through our own LFP cells, fully vertically integrated, and selling it to all these EPC companies instead of procuring from China, they can buy from us.

Chandramouli Muthiah: Got

it. That's helpful. I'll call back.

Moderator: Thank you. Next question is from Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Hi. Thank you for the opportunity. My first question is just a clarification. Bhavish, you made a comment that by early next year, you expect the Gigafactory production to reach 5 gigawatt-hour, right? Is that correct?

Bhavish Aggarwal: Yes.

Rishi Vora: So

essentially,

what

you

are

implying

is

that,

you

know,

we'll

roughly

produce

around

one

and

a

half

million

vehicles.

And

if

you

look

at

current

run

rate,

you

know,

we

are,

let's

say,

roughly around 400,000-500,000 vehicles. So what you're implying is, we'll 3X our volumes in one year?

Bhavish Aggarwal: No, I'm not implying that. Let me unpack this for you, Rishi. There are two

or

three

things

here.

Firstly,

we

will

have

installed

capacity

of

5

or

above

gigawatt-hour

in

the

Giga

factory.

And

the

factory

can

produce

that

much.

Second

is

how

much

automotive

volumes

will

we have? From our two-wheeler business, we do expect getting last year was 400K.

Now this year, we are seeing again a bump in volumes turnaround of our volumes, motorcycles, etcetera. So maybe

that
400
will
through
this
year
become
500,
600,
700
in
that
zone.
I
don't
want
to
give
a
concrete
forecast
on
that.
But
I
do
expect
strong
two-wheeler
volume
growths
this
year.

And on top of that, we have our three-wheelers coming towards the second half of this year, which will actually have much higher battery capacity.

February

07,

2025

So

all

in

all,

let's

say

we

have

about

700,

800

kind

of

volumes

towards

run

rate

basis

towards

the

end

of

this

year.

That

means

if

I

use

a
factor
of
4
kilowatt
to
5
kilowatt-hour
per
product,
so
that'll
be
about
a
3
to
3.5
gigawatt-hour
requirement
by
end
of
this
year
or
early
next
year.
And
our
Giga
factory

will

be

ready

to

produce

all

of

that.

Then

on

top

of

this,

we

will

also

like

I

mentioned

be

making

LFP

cells

for

battery

energy

storage.

So

there

will

be

a

new

segment

that

we

will

start

working

towards

in

the

next,

maybe

in

the

next

quarter

or

so,

you'll

start

hearing

more

about

it

from

us,

which

is

this

container

scale

batteries.

So

now

that,
again,
is
an
early
market
in
India,
but
we
will
have
the
capacity
in
our
Giga
factory
to
supply
for
that
as
the
market
scales
up.
Rishi
Vora:
And
have
we
started

negotiation or like discussion with the customers for these LFP batteries or maybe you'll start from next quarter? Bhavish Aggarwal: No, we've started some discussions. I don't want to share specifics today, but there are many discussions. And we are also really from an engineering standpoint, the containerized batteries also being made and discussions are being had with all types of customers across the value chain.

Rishi
Vora:
Understood.
And
if
you
look
at
keeping
aside
the
market
share
trends
which
has
been
volatile.
Our
absolute
volumes
in
3Q
were
down
almost
3%,
roughly
and
even
in
January,
the

absolute

volumes

are

around

25,000.

So,

despite

us

having

in

the

scooter

segment

all

the

o■erings

across

majority

of

the

price

points,

what

is

it

that

is

not

resulting

in

the

sharp

uptick

in volumes, because now TCOs is favorable, everything is there. Why we are still for the industry and for us the volumes are not significantly scaling up despite all the positives in terms

of
pricing,
product
availability
and
distribution?
Bhavish
Aggarwal:
See,
you'll
have
to
give
it
some
time,
Rishi.
We
just
expanded
our
distribution.
Still
then,
we
were
only
at
about
750
stores.
We've
just

expanded
to
be
able
to
address
almost
every
part
of
India.
And
it'll
take
4
months,
5
months
for
that
distribution
to
mature.
And
as
that
matures,
you
will
see
our
volumes
rise

in those hinterland markets or new markets. Secondly, there is de■nitely higher competition. So, while the market has grown there are the top three players are kind of ■ghting aggressively for it. The other two are losing money in their ■ght. We are actually growing our gross margin, expanding our gross margin. So, part of that competitive intensity also re■ects in our market share. Market share

in
January
was
about
25%,
26%.
And
like
I've
guided
before
in
this
call,
we
will
aim
to
have
a
scooter
EV
market
share
of
about
30%
35%.
And
we
believe
we
can

get there with our Gen 3 product as well as Gen 2 coexisting. The network expansion that we've done as well as the service issues

February 07, 2025 that we have now solved and the brand image that had been that the issue that was there. Actually, customer expectation, customer anecdotal feedback is all very positive now. So,

that
also
we
expect
a
positive
tailwind
to
increase
our
market
share.
So,
I
expect
our
scooter
EV
market
share
to
be
around
30%,
35%.
And
the
rate
of
growth
of
EV
scooter

like I said, right now penetration is 20. It might get to 30 by the end of this year. And that means if we have one-third of that market, we'll have 10% of

the
overall
scooter
market.
And
that's
how
we
are
looking
to
play.
The
gross
margin
headroom
that
we
have
allows
us
to
be
more
aggressive
if
competition
is
throwing
money.
And
that's
how

we've been able to expand margins as well as expand market share.

Rishi Vora: Understood, Bhavish. And just one last question for Harish. What would be the cash out■ow during this quarter and what would be the net cash on our balance sheet at the end of December? Harish Abichandani: So, in the course of this quarter, you'll see EBITDA numbers in that. The overall cash balance at the end of the quarter would be around INR5000 crores plus on the balance sheet at our end. That will be the cash in hand at the end of the quarter.

Rishi Vora: As in hand what would be net cash number?

Harish Abichandani: Net cash number would be around 8% to 10% lower because of certain cash which are blocked in terms of bank guarantees, etcetera that would be the net cash.

Rishi Vora: Understood. Okay.

Moderator: Thank you. Next question is from Jinesh Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: My question pertains

to
our
product
quality.
So,
we
have
addressed
our
service
quality
quite
considerably
in
the
last
few
months.
However,
given
we
have
several
new
product
launches
lined
up
between
current
month
and
2Q

and
beyond,
what
are
we
doing
to
ensure
that
there
are
no
teething
troubles
with
our
upcoming
product
launches
and
strengthen
our
brand
equity?
Bhavish
Aggarwal:
See,
the
Gen
3
platform
like
I

mentioned,
already
improves
product
quality
by
a
very
large
degree.
And
there
are
a
bunch
of
things
we
have
done
on
the
engineering
side
like
moving
away
from
hub
motors.
Hub
motors
was

a major challenge in product quality before in the Gen 2 platform. Now, with Gen 3, it's all our in-house made mid-mount motors which are much more, almost a logarithmic scale better in terms of product quality. We've also re-engineered the electronics, reduced the number of components in Gen 3. So, if you see the

2025
number
of
ECUs
are
all
down
to
largely
two,
one
in
the
head
unit
and
one
in
the
motor
controller
and
one
in
the
battery.
So,
three,
much
more
well-integrated,
lesser
number

of
parts
that
improves
quality.
In
Gen
2,
again,
one
of
the
major
areas
of
quality
issues
was
the
motor
controller
where
water
used
to
leak
in
and
these
are
all
not
our

manufactured

or

designed

parts.

This

was

procured

from

suppliers.

So,

now

we

have

engineered

these

things

ourselves,

integrated

them

better

into

the

vehicle.

So,

Gen

3,

actually

our

own

estimate

like

I

said,

is

warranty

as

a

percentage

of

revenue

will

be

below

2%.

And

in

addition

to

this

engineering,

we've

also

thoroughly

tested

this

with

lakhs

of

kilometers

of

riding

these

Gen

3

prototypes

and

early
products.
And
after
that
is
only
when
these
are
coming
into
market.
Jinesh
Gandhi:
Okay,
got
it.
So,
the
testing
side
has
also
been
far
higher
than
the
Gen
2
and
Gen

1?

Bhavish Aggarwal: Yes, absolutely. Testing at both a vehicle level and a component level.

Jinesh Gandhi: Got it. And secondly the sta■ cost has seen reduction because of moderation in the count, but should we expect it to increase as we're going forward given the expansion of network or that won't be re■ecting on our roles as such?

Bhavish Aggarwal: No, the network people will re■ect in our P&L in a sense. They're not on rolls for us, they're o■-roll, but they do re■ect in our P&L, but in terms of people cost, if you think of on-role people that will actually, I don't know the specific number, but it would have reduced in Q3 over Q2 as well as Q4 over Q3 will be trending downwards. But if I even

add
the
network
people
cost
as
a
broader
people
umbrella
cost,
we
will
still
generally
hold
steady
because
in
network,
we
are
adding,
but
in
other
places,
we
found
a
lot
of
efficiencies

to commonized roles or use AI in our business processes and really reduce…

Jinesh Gandhi: Got it. And lastly, with respect to our capex guidance for this year, FY '25 and FY '26,

how
much
do
you
plan
to
invest
in
both
capacity
and
sales?
Moderator:
Participants,
please
stay
connected.
We
seem
to
have
lost
the
line
for
the
management.
Please
stay
connected
while
we
reconnect

the
line.
Management:
Do
you
want
to
go
ahead
with
your
question…
Moderator:
Next
question
is
from
the
line
of
Ajox
Frederick.
Ajox
Frederick:
Sir,
I
was
asking
about
the
distribution
stores.
So

how many are active right now and...

Bhavish Aggarwal: Who is this? is this Ajox?

Ajox Frederick: Yes, this is Ajox

from
Sundaram
Mutual.
So
I
wanted
to
understand
the
distribution.
So
what
is
the
current
state
of
stores
opened
right
now?
And
where
are
we
focusing
on?
And
incrementally,
what
is
the
per

store
count
you
are
targeting
more
from
a
distribution
strategy
and
status?
Bhavish
Aggarwal:
See,
we
are
focused
on
the
whole
breadth
of
the
country,
Tier
1,
Tier
2,
Tier
3,
rural,
all

of
those
because
as
let's
call
it,
a
multi-
category
general-purpose
OEM.
We
want
to
be
across
all
kind
of
customer
segments.
So
that's
why
we
initially
until
we
announced
and
did
this

store expansion. We were only 750 stores, which was largely Tier 1, Tier 2 markets. Now we are across pretty much every district and taluk of India. We don't expect us to have

another
store
expansion
in
the
near
term,
maybe
towards
the
end
of
this
year
or
early
next
year.
There
is
still
another
scope
of
adding
another
couple
of
thousand
stores
to
get
to

an
equal
level
where
ICE
industry
is.
But
for
now,
we
feel
this
is
enough
to
scale
up
the
products
that
we
have.
And
in
terms
of
customer
base,
also,
our
focus
is

across the segment, many of our products find resonance with different levels of customers. With our motorbikes especially, up country markets, we feel will be very relevant with our premium scooters, urban cities

and
slightly
more
upwardly
mobile
customers
■nd
it
relevant.
And
with
our
mass
market
scooters,
it's
more
a
broader
horizontal
cut
across
peers.
Ajox
Frederick:
Okay,
sir.
And
we
saw
your
expenses
go

up,

so

can

you

help

us

on

how

much

was

spent

in

this

network

expansion

costs?

I'm

assuming

that's

sitting

in

other

expenses,

right?

Bhavish

Aggarwal:

Network

expansion

is

not

in

other

expenses,

Harish, right?

Harish Abichandani: The network expansion, which has happened over, say, December, and the signi■cant cost actually will start coming in this quarter. It will be normal rentals, etcetera, are all lease, properties, etcetera. They will -- given the accounting standards, some of it actually goes below the EBITDA line because of the way the lease of these finances are accounted. That's the normal cost.

Otherwise,

cost

--

incremental

costs

are

fairly

minimal

on

these

network

expansion.

Ajox

Frederick:

Okay.

I

was

just

looking

at

the

other

expenses

spiking

up.

So

I

wanted

some

clarity

on

that

on

a Q-o-Q basis.

Harish Abichandani: Yes. So on the other expenses, which as I discussed earlier was on the call, some of these one-o■s, which have been taken in this quarter towards warranty towards – rationalization etcetera, which is what we have taken. And that's why the spike you see in the quarter-on-quarter.

Ajox Frederick:

Okay. Okay. Just a ■nal question. You mentioned that Jan's gross margins are 25%. And for the last few quarters, we were hovering around 18%-odd or 19%. So what changed in Jan to deliver a 25% gross margins?

Bhavish Aggarwal: See, on Jan gross margins, there are 2 things. Firstly, our BOM cost has been reducing continuously. If you see, even in Q3 over Q2, we had,

in

our

shareholder's

said

that

has

said

that

1

point

BOM

cost

reduction

is

contributing

to

gross

margin.

Same

in

Jan,

another

1

point

of

gross

margin

improvement

happened

through

BOM

cost

reductions. Then on top of that, there was about a 3.5%-odd point improvement from no discounting because last quarter was the festive quarter so January was less intense in terms of discounting. But

despite
that,
we
actually
gained
market
share
back.
So
in
that
sense,
we
were
able
to
gain
by
discounting
lesser.
Now
going
ahead,
we
will
see
an
expansion
from
further
BOM
cost
reduction,

thanks

to

the

Gen

3

platform

as

well

as

margin

expansion,

thanks

to

the

Gen

3

and

Gen

2

products

coexisting.

Moderator:

Next

question

is

from

Shirish

Guthe

from

Nippon

India

Mutual

Fund.

Shirish
Guthe:
Sir,
is
it
possible
to
share
what
capex
we
did
in
Q3
on
tangibles
and
intangibles?
Harish
Abichandani:
See,
the
total
capex,
what
we
did
around
in
Q3
was
around
INR300-odd

crores.
This
is
across
both
cell
and
auto.
And
the
intangibles
was
R&D,
etcetera,
would
be
around
INR60
crores
to
INR70
crores
in
that
number.
Shirish
Guthe:
I'm
trying
to
understand
how
much

PLI we have recognized in this quarter as a percentage of revenue?

Harish Abichandani: So in this quarter, we recognized around INR120 crores of PLI for across all our product lineups.

Shirish Guthe:

Okay. And, sir, I just want to get a clarification on the other income. The Q-o-Q cash has fallen, but other income is up. Is there any exceptional gains or anything in the other income? Or is it a normal run rate that we should expect?

Harish Abichandani: This is fairly normalized. There is no exception item as part of the other income.

Shirish Guthe: Understood.

Thank
you
very
much.
I'll
fall
back
in
queue.
Thank
you,
sir.
Moderator:
Thank
you.
Next
question
is
from
Nikhil
Kale
from
Invesco.
Please
go
ahead.
Nikhil
Kale:
Yes,
so
I
think,
thanks

for the opportunity. One question is on the sta■ side. I think you made a comment about 17% kind of an optimization. So, just wanted to understand, is that kind of the workforce percentage that you have kind of reduced? Or what is it? What is that number exactly?

Bhavish Aggarwal: That is the

cost
of
the
workforce.
A
number
of
people.
Yes,
that's
the
number
of
people
we
have
reduced.
Nikhil
Kale:
Okay.
And
possible
to
highlight
in
what
work
areas
have
kind
of
the
major

reductions
been
done?
Is
it
like
marketing?
Bhavish
Aggarwal:
Sure,
I'll
take
that
up.
Yes,
so
a
lot
of
these
are
actually
broad-based.
Some
in
corporate
functions
also.
We
were
fairly,
because
this

company grew so fast in the last 3 years, there were many pockets of the company that were oversta■ed because, we were in growth mode only. So, think of this as a one-time consolidation we are doing on our costs, removing inefficiencies in terms of structures of roles as well as, unfortunately, some people who might not be measuring up. So, this is mostly on that.

So, cross-corporate functions, even in ■eld, some in the factory, but largely all the technology muscle, engineering muscle, manufacturing muscle is all fully intact. In fact, I would say the lean mass has

gone
up.
Nikhil
Kale:
Understood.
And
just
wanted
to
get
more
clarity
on
the
distribution
model
now.
So,
when
we
had
like
750
stores,
those
were
all
our
stores,
right?
So,
now
with

this 4,000, I mean, where does that number stand? And now are we kind of looking closer to a dealer model? How is the distribution model now different versus when we were at

750?

Bhavish

Aggarwal:

Sure.

See,

our

model

still

has

the

two

things.

First

is

our

own

stores.

We

now

have

about

3,000

plus

our

own

stores

and

partner

stores,

which

are

not

dealers,

but
think
of
them
as
agents,
partners,
multi-brand
outlets.
So,
we
have
about
1,000
touchpoints
through
them.
So,
that's
the
4,000
total.
Nikhil
Kale:
Understood.
Thank
you.
Moderator:
Next
question
is
from
Jinesh

Gandhi from Ambit Capital. Please go ahead.

Jinesh Gandhi: My question was on the capex side. So, what kind of capex do we expect to invest, including R&D in both autos and cell

for
FY
'25
and
FY
'26?
Bhavish
Aggarwal:
So,
I'll
give
you
a
directional
commentary
on
that,
Jinesh.
I'll
start
with
the
cell.
So,
the
cell
capex,
for
the
one
and
a
half

gigawatt hour, which is phase 1A, that's all largely invested. Maybe some tail end part of that is continuing in terms of cash ■ows. We will expand to ■ve gigawatt hour, and that capex investment will come in into FY26. Now, that would mean about, let's say, maybe INR500 crores to INR1,000 crores, thereabouts.

The final negotiations are still happening, but thereabouts in terms of capex, closer to INR1,000 crores for the cell expansion. On the auto side, we will expand our factory as

all these new

products come in. Our factory production currently is about a million units a year.

But as we are bringing the 4680 cell, we will expand towards the 4680 battery pack investments, as

well

as

take

that

1

million

upwards

to

2

million

to

3

million,

especially

as

we

bring

our

three-wheeler

products

online.

So,

that

will

have

some

capex

again

in

the

INR500-odd

crores

number,

maybe slightly higher through the year.

Some of these will be actually backloaded in FY '26, not in the beginning. On top of this, the final intangible capex is the R&D. R&D continues

at
the
same
rate
at
which
we
are
doing
right
now.
No
major
changes
there.
Maybe
incrementally,
it
will
keep
growing
as
our
revenue
grows.
Jinesh
Gandhi:
Got
it.
And
with
respect
to

-- you mentioned about warranty cost of 3250. What was that you're referring to? Just a clari■cation on that.

Bhavish Aggarwal: See, 3250 is the warranty provision we take right now on every

product
that
we
sell.
But
the
actual
cost
this
year
was
higher
because
of
these
one-time
warranty
and
goodwill
actions
that
we
had
to
do
last
quarter.
Going
ahead,
we
are
forecasting
that

with Gen 3 product, we might actually end up being lower than the 3250, closer to around 2% of product value as provision. And maybe for the current product, we might revise the current provisions upwards once we ■nish the ■nancial year.

Jinesh Gandhi: Got it. That's all from my side. Thanks.

Moderator: Thank you very much. We'll take that as the last question. I would

now
like
to
hand
the
conference
back
to
Mr.
Chauhan
for
closing
comments.
Abhishek
Chauhan:
Thank
you.
We
appreciate
your
time
and
all
of
your
questions
during
the
call
today.
Thank
you
so

much for joining us. And we look forward to meeting you all during our next earnings conference. Thank you. Have a good day.

Moderator: Thank you very much. On behalf of Ola Electric, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2025

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)

Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Benga luru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
Date: May 30, 2025

To,
National Stock Exchange of India Ltd.,
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225

SUBJECT: T RANSCRIPT OF THE EARNINGS CONFERENCE CALL WITH ANALYST S/INV ESTORS HELD ON MAY 29, 2025.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("SEBI Listing Regulations") we are enclosing herewith a copy of transcrip t of the earnings conference call with Ana lysts / Investors held on Thursday, May 29, 2025 .

This intimation will also be made available on the website of the Company and can be accessed using the below link: https://www.olaelectric.com/investor -relations/announcements .

We request you t o take the above on your record.

Thanking You,
Yours faithfully,
For and on behalf of OLA ELECTRIC MOBILITY LIMITED

Pritam Das Mohapatra
Company Secretary & Compliance Officer
M. No.: A24685
Place: Bengaluru

Encl: A.A.

Ola

Electric

Mobility

Limited

Q4

FY25

Earnings

Conference

Call

May

29,

2025

Management:

Mr.

Bhavish

Aggarwal

–

Founder,

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited

Mr.

Harish

Abichandani

–

Chief

Financial

O■cer,

Ola

Electric

Mobility

Limited

Mr.

Ankur

Agrawal

-

VP

and

Head

of

Business

Finance,

Ola

Electric

Mobility

Limited

Mr.

Abhishek

Chauhan

–

Director,

Corporate

Communications

&

PR,

Ola

Electric

Mobility

Limited

Ola

Electric Mobility Limited

May 29, 2025

-

Moderator:

-

Good evening! Hi, good evening. Ladies and gentlemen, good day and welcome to Ola Electric Q4 and FY25 earnings conference call. As

a
reminder,
all
participants
will
be
on
listen-only
mode
and
there
will
be
an
opportunity
for
you
to
ask
questions
after
the
presentation
concludes.
Please
note
that
this
conference
is
being
recorded.
Before

we begin, a few quick announcements for the attendees. Anything said on the call which re■ects our outlook for the future or which could be construed as a forward-looking statement may involve risks and uncertainties. Such statements or comments are not a guarantee of future performance and actual results may di■er from those statements. To begin with, I would like to request Bhavish Aggarwal, Chairman and

Managing

Director

of

Ola

Electric,

Harish

Abichandani,

CFO

of

the

company

and

Ankur

Agrawal,

VP

and

Head

of

Business

Finance,

to

take

you

through

the

results.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing
Director,
Ola
Electric
Mobility
Limited:

-
Thank
you,
Abhishek.
Hello,
everybody.
Good
to
see
everybody.
This
quarter
is
a
little
interesting
and
as
well
as
fairly
nuanced
and
detailed.
So
this

is Bhavish by the way. I am not going to make very detailed opening remarks because I am assuming there will be a lot of questions amongst the audience about different things. So

I

want

to

leave

enough

time

for

Q&A.

And

we

have

also

published

our

shareholders'

letter

for

Q4.

I

am

assuming

most

of

you

would

have

gone

through

it.

But

in

a

headline,

it

has

been

a

quarter

of

a

major

transformation

for

us

at

Ola

Electric.

Obviously,

if

you

see

at

a

headline

level,

revenue

and

margins

as

we've

mentioned

in

our

shareholders

letter,

came

in

at

about

649

crores

adjusted

revenue

as

well

as

19.2%

auto

gross

margin.

Now

these

numbers

were

impacted

by

a

one-time

issue

with

our

registration

process,

which

we

had

highlighted

during

the

course

of

the

quarter

itself.

And

that

subsequently

got

resolved

in

Q1,

which

is

this

quarter.

So

the

revenue

as

we

all

know,

we

book

only

when

we

deliver,

not

when

we

sell.

So

while

sales

were

higher,

deliveries

were

lower.

And

in

Q1,

as

a

result,

some

of

that

catch-up

has

been

completed.

But

as

that

may

be,

revenue

came

in

where

it

came

in.

This time for our results as a one-time activity, we are also giving a bit of an outlook for Q1 because firstly, like I said, Q4 has been a bit of a complex

quarter
with
a
lot
of
moving
parts.
Hence,
we
know
that
people
have
many
questions.
And
secondly,
given
that
we
are
at
the
end
of
May,
Q1
has
anyways
majorly
been
completed.
So

we
have
a
very
fair
understanding
of
where
Q1
is
ending
up.
And
if
you
look
at
our
Q1
outlook,
we
are
sharing
a
revenue
forecast
of
about
800-
850
crores,
about
65,000

deliveries and a gross margin of about 28 to 30%, which is much higher than Q4. So as we have been saying in our previous quarterly calls, our gross margin is trending upwards,

especially
with
the
introduction
of
our
Gen
3
platform.
And
that
is
one
of
the
highlights
that
we
will
talk
about
on
our
call
today.
Now
just
to
highlight
a
few
things
in

the shareholders letter, we have also given a detailed operational commentary on a few key topics.

- There are two important projects that we've been executing as part of our work over the last couple of quarters. One has been the scale-up of our network. We call that Project Vistaar. So it is obviously scaling up our network but also improving cost efficiencies, as well

as

customer

experience

across

the

front-end

touch

points

of

sales,

service,

registration,

delivery

for

the

customer.

And

on

that

front,

while

in

the

last

two

quarters,

we

have

had

a

bit

of

operational

challenges, ■rst with service and then with registrations but we've also signi■cantly improved the

bar on both. On service, for example, we have now brought our service TAT down to 1.1 days, which is industry leading as well as on deliveries. Once the registration process was brought in-house, our delivery timelines have signi■cantly reduced. In addition, we have expanded to about a total of 3,200 odd company-owned stores and a total of 4,000 stores where we sell. Ou r focus now is to increase productivity, sales productivity, as well as sales

per

store

of

these

stores

that

we

have

opened

up.

That

is

the

focus

for

this

quarter

Q1,

as

well

as

the

next

couple

of

quarters.

And

this

becomes

increasingly

relevant

as

the

key
highlight
for
us
in
this
quarter,
which
is
our
bike,
comes
into
the
markets.
And
as
we
get
our
bikes
into
stores,
we
are
seeing
a
lot
of
interest
in
the
bikes

from

everybody.

So

that's

one

of

the

key

projects

which

I

will

be

really

happy

to

answer

about,

which

is

Project

Vistaar.

-

Then

the

second

point,

again,

in

the

last

quarter

we

spoke

a

little

bit

about

is

our

Project

Lakshya,

which

is

our

cost

reduction

project.

Now

on

cost

reduction,

we

had

last

quarter

given

a

walk

of

where

our

cost

will

be.

And then, I think, maybe a couple of months back, we had also shared an interim update in some context with the street. We are largely on track for all those cost reductions, as you can see in the chart in that section. And that savings, that benefit is already, hence, accruing to us in our Q1 outlook, as we have shared with you. So cost savings are on track. And as a result of both the cost savings as well as our network project, Vistaar, both together, our break-even point for our auto business segment EBITDA has now come

down

to

almost

25,000

units

from

earlier

what

we

had

communicated

to

you.

And

this

is

because

the

gross

margin

is

expanding

on

one

side,

and

then

our

cost

is

reducing

on

the
other
side.
So
those
are
two
important
highlights.

-
Another
point
I
want
to
just
call
out
is
in
Q4,
as
a
one-time
activity,
we
have
increased
our
warranty
provisions.
Now

there's
detail
in
that
section
over
there
for
those
of
you
who
want
to
read
the
details.
But
at
a
headline
level,
our
Gen
1
and
Gen
2
products,
especially
Gen
1
products,

had higher warranty costs because that was the first generation of our platform. And we were, in the last financial year FY25, adding every quarter some kind of exceptional one-time costs. Now, to

do
away
with
that
every
quarter
exceptional
cost,
we
have
taken
a
one-time
warranty
provision
of
250
crores
in
Q4.
That
will
provide
for
all
the
warranty
needs
for
our
existing
Gen
1

and Gen 2 vehicles for their warranty lifetime remaining. So we don't expect to have any one-time exceptional costs added going ahead in the future quarters. That said, there's also another positive highlight

in
that,
that
our
Gen
2
warranty
costs
are
roughly
half
of
Gen
1
and
our
Gen
3
warranty
costs
and
failure
rates
are
roughly
half
of
Gen
2.
So
we
are
seeing

every subsequent iteration of our platform getting significantly better on quality and hence warranty. And on Gen 3, we actually feel our quality metrics are by far industry leading. And when we compare

it
to
our
own
previous
generations,
they
are,
like
I
said,
half
of
Gen
2
and
Gen
2
was
half
of
Gen
1.
So
that's
another
important
highlight
that
we
wanted
to
share

on the operating level to summarize Project Vistaar, which is to really bring the bene■t of our direct-to-customer business model for our customers as well as for our capital.Second is to really focus

on
getting
to
pro■tability
sooner,
which
your
company
is
close
to
achieving.
And
thirdly,
just
as
a
calling
out
of
the
warranty
treatment.

-
Now,
while
Q4
has
been
a
tough
quarter,

it

has

been

a

quarter

where

we

have

had

higher

losses

due

to

this

one-time

provisioning

as

well

as

due

to

lower

revenues.

The

company's

strategy

and

the

company's

fundamentals

remain

very,

very

strong.
Our
strategy
of
focusing
on
vertical
integration
remains
consistent.
And
we
very
strongly
believe
this
is
a
winning
strategy
given
that
globally
the
only
EV
companies
who
make
money,
Tesla
and
BYD,

follow a very strong vertical

integration strategy. And in the shareholders letter, we've actually given some metrics for those of you interested to understand

our
vertical
integration.
So
if
you
see
the
value
addition
on
in-house
engineering
is
now
almost
90%
in
the
Gen
3
platform.
That
includes
our
own
4680
cell.
Even
if
you
see
without

that, it's almost 65-66%. So very strong in-house value addition on engineering as well as more and more in-house manufacturing of key differentiated proprietary components. And that leads to a very strong gross margin advantage to us as well as a very strong product di■erentiation, product features advantage. So our fundamentals on strategy remains strong.

- We are focused on the three core strategies, like

I said, ■rstly vertical integration. Second is continuing to build strong product franchises. We have communicated our product roadmap to the street in the last few quarters. And you see a nice image

there

in

our

shareholders

letter

also

of

the

future

products

we

are

envisioning.

But

what

we

have

done

is

we

have

actually

decided

to

sequence

out

product

launches

to

give

every

new

product

time

to

breathe

and

to

grow

in

the

market.

So

over

the

last

three

years,

we

have

built

a

very

strong

S1

franchise.

Even

till

date,

we

have

sold

almost

equal

to

the

next

two

OEMs

put

together

in

terms

of

EV

scooters.

Maybe

in

this

quarter,

we

will

touch

almost

a

million

S1s

delivered

to

customers.

The

next

two

put

together

is

equal

to

us.

So that shows a very strong consumer franchise of S1, which is now in the third generation. Customers are loving the experience of Gen 3, very strong feedback of Gen 3. And as

a

result,

the

franchise

has

broadened

from

three

years

ago

when

it

was

just

one

product

to

now

where

within

Gen

3,

we

have

the

Pro

+,

which

is

a

premium

product,

the

Pro,

then

the

X

+

and

the

X.

We

have

four

tiers

of

the

product

now

available.

And

Gen

3

is

now

selling

majority

of

our

volumes.

And

we

still

have

Gen

2

live for those customers who see a more value proposition. So S1's franchise has been established strongly with our project Vistaar. As our network productivity, sales productivity improves, we do feel very con■dent of continuing to hold and gain market share. In the last quarter or two, we have lost market share as market penetration grew slower than we expected and competitive intensity increased significantly across

all
levers
of
distribution,
product
and
pricing.
But
industry
is
today
at
a
state
where
roughly
the
top
three
players
are
equal,
give
or
take
here
and
there
a
little
bit.
And
now

I believe the industry, the scooter EV industry is going to enter a phase where genuine product and innovation will start winning as well as balancing on pro■tability and growth. And we feel

we

are

very

strongly

positioned

on

that

front

with

the

S1

franchise

and

our

technology

capabilities.

-

The

next

phase

for

our

company

is

to

really

build

a

roadster

franchise.

And

we're

all

very

excited.

The

bike

started

getting

delivered

late

last

week.

We've

seen

very

strong

interest

levels.

You

have

some

data

on

how

many

social

media

interests

and

the

kind

of

impressions

and

the kind of engagement our content on Roadster is getting. We have a lot of queries, a lot of walk-ins in our 4,000 plus sales touch points. People are loving the product. If

I
may
say
so
myself,
it
looks
quite
good.
You
can
see
it
on
the
cover
of
the
shareholder
letter.
So
the
Roadster
franchise
is
our
next
big
focus.
And
the
Roadster
franchise

starts with the Roadster X, which is the mass market variant. The Roadster as well as two more products, the Sportster and the Arrowhead are all built on the same platform. These will come

sequentially

as

each

one

gets

established

and

scaled

up

in

the

market.

So

that's

the

big

focus

for

the

company

ahead

in

the

coming

quarters.

And

we

will

keep

sharing

updates

frequently

on
that.

-
Finally,
in
the
strategic
priorities
comes
the
Cell
project.
Now
again
here,
we
have
added
some
more
operating
KPIs
on
yields.
That's
been
one
of
the
questions
you
all
have

asked us. So if you

see our yields have continued to improve and these are commercial production yields, we had said that we will bring

the

Cell

into

our

vehicles

this

quarter.

Now

we

have

delayed

that

a

few

months

because

while

our

vehicles

are

ready

with

our

own

Cells,

we

want

to

stabilize

the

Roadster

as

well
as
the
Gen
3
platform
in
the
market.
And
then
also
in
that
period,
get
the
Cell
commercial
production
yields
from
60-odd
percent
to
80-odd
percent.
And
as
we
get
there,
sometime

in

the

next

few

months,

we

will

start

a

transition

of

moving

our

own

vehicles

onto

the

4680

Cell.

So

to

summarize

on

that

point,

the

Cell

is

coming

along

well.

The

product

is

very

stable.

The

vehicle

is

tested

with

our

own

Cell.

The

transition

to

our

own

Cell

will

be

over

the

next

few

months.

So

we

are

delaying

it

a

bit

just

to

make sure the operating risk or the operating pro■le of the auto business is ■rst prioritized and then we add on the Cell integration to that.

- Finally, you have a section

in the shareholders’ letter on path to pro■tability. In that, you will see two main themes. Firstly, gross margin. And as we've been highlighting, our gross margin has been going up, Q4 was roughly ■at over Q3. But Q1 is looking much better already. Our outlook is about 28 to 30 percent of gross margin. And interestingly, you will note in Q1, PLI contribution is very

low
because
for
Gen
3
products,
PLI
is
still
awaited.
It
will
come
most
likely
in
July.
So
in
Q2
of
this
year,
our
gross
margin
will
further
increase
as
we
get
the

PLI bene■t. So as you can see, a lot of our advantage of vertical integration is starting to play out in our gross margin already from Q1 onwards. And hence, what we had

shared

that

we

expect

to

get

to

auto

segment

EBITDA

positive

within

some

time

in

Q1.

We

are

more

or

less

on

track

on

that.

Maybe

June,

July,

sometime

there,

we

will

have

our auto segment EBITDA will be positive. So that's what we are tracking towards and just a final comment on Auto Capex. In FY25, our Auto CapEx, which includes both manufacturing as well

as

R&D,

which

is

capitalized,

was

about

400

odd

crores.

Harish,Are

you

sure

roughly?

Which

includes

the

R&D?

-

Harish

Abichandani

-

CFO,

Ola

Electric

Mobility

Limited

-

Yes.

-

Mr.

Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Now for this ■nancial year, we don't expect any material CapEx in the auto business since the factory as well as

the
network
distribution
network
is
all
built
up
now.
As
well
as
on
R&D,
we
have
the
S1
Gen
3
as
well
as
the
Roadster
platforms,
all
engineered.
So
the
CapEx
will
be

more,

maybe

between

150

to

200

crores

only

for

the

whole

FY26,

which

includes

both

manufacturing

as

well

as

R&D

CapEx

for

the

auto

segment.

So

in

that

sense,

the

auto

segment

should

see as volumes reach the 25,000 levels with the bike, as well as the network scale up, we should see pro■tability ■rst and then strong operating cash ■ows in the auto segment. With

that,

I

will

pause

and

open

up

to

questions.

-

Moderator:

-

Thank

you

so

much,

Bhavish.

We

will

now

begin

with

the

question

and

answer

session.

Anyone

who

wishes

to

ask

a
question
may
use
the
raise
hand
option.
If
you
wish
to
remove
yourself
from
the
question
queue,
you
may
press
the
raise
hand
option
once
again.
Participants
are
requested
to
unmute
themselves

before asking the question. We will now wait for a moment while the questions

queue assembles. Now we take the first question from Chandramouli

Muthaiya of Goldman Sachs. Please unmute yourself and ask your question.

- Mr. Chandramouli Muthaiya – Goldman Sachs:

- Hi, good evening and thank you for taking my questions. My ■rst question

is

just

on

the

motorcycle

deliveries

which

have

started

late

last

week.

So

just

trying

to

understand,

is

this

going

to

be

a

phased

delivery

ramp

up?

And

I

think

you

've

shared

some

data

points

on

social

media

engagement

and

so

on.

Is

there,

similar

to

the

kind

of

guidance

you've

given

us

for

1Q,

is

there

sort

of

an

order

backlog

that

you're

able

to

share

on

the

motorcycles?

Just

■rst

to

get

some

idea

as

to

how

much

of

a

market

share

booster

this

could

be

in

the

coming

months

for

the

company.

-

Mr.

Bhavish

Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Chandru, hi, this is Bhavish. So there is a bit of a phased rollout. Yes, you're correct. We're starting with, we

have

two

models

which

have

the

Roadster

X

and

the

Roadster

X+.

The

Roadster

X+

has

begun

deliveries.

Roadster

X

will

begin

maybe

in

a

week

or

so.

And

even

geographically,

we

are

taking

it

in

a

sequential

way

because

we

are

making

sure

the

production

and

the

quality

ramp

up

is

in

sync

with

a

high

bar

on

quality

and

just

the

level

of

quality

that

one

expects.

So

we

are

making

sure

the

ramp

up

remains

high

quality.

So

hence

it

will

be

a

little

phased.

There

is

a

very

strong

interest

levels.

We

will

not

be

sharing the backlog of bookings but as we are delivering the vehicles to customers, there has been very positive feedback, very strong level of interest and frankly, a very significant increase in the walk-ins coming to the stores where the vehicles have already reached. So on a day-on-day basis, we've actually been seeing a very significant part of our overall sales volumes becoming motorbike as the motorbike gets to newer and newer parts of the geography. We're also expecting the motorbike to really give us significant benefit from smaller towns and rural areas. That's where we had expanded our

network
to
in
the
last
quarter.
So
with
that
network
expansion,
primarily
the
motorbike
is
the
product
which
will
be
sold
in
those
new
stores
which
are
in
the
smaller
towns.
And
as

we

all

know,

the

motorbike

is

very

relevant

for

upcountry

markets.

So

already

the

sales

of

motorbikes

are

much

higher

in

UP

for

us

than

in

Bangalore,

for

example.

Hi,

are

you

audible?

-

Mr.

Chandramouli

Muthaiya

–

Goldman

Sachs:

-

Yeah,

thanks

for

that.

I

think

I

was

just

struggling

to

re-unmute

myself.

So

that's

helpful.

My

second

question

is

just

on

the

warranty

costs.
So
after
this
one-time
250
crore
warranty
cost
that
you've
taken
for
4Q,
I
just
want
to
understand,
what
would
be
the
rough
FY25
warranty
cost
as
a
percentage
of
revenue
on

the
backward-looking
basis
for
Gen
1
and
Gen
2?
And
on
a
forward-looking
basis
for
FY26,
what
do
you
anticipate
the
warranty
cost
is
likely
to
be
after
this
upward
shift
that
you've

taken in your warranty policy on the Gen 3 and Gen 2 sales that are likely in FY26?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Chandru, we won't be calling out the specific generation-wise percentage of revenue as warranty costs because the current cost, as you would imagine, is a blend of everything. So like I said,

Gen

6

Ol
a

Electric

Mobility

Limited

May

29,

2025

3

is

roughly

half

of

Gen

2

and

Gen

2

is

roughly

half

of

Gen

1

in

terms

of

warranty

costs

as

a

percentage of revenue. And Gen 1, as you can imagine now, is also coming out of the warranty period. It's a 3-year warranty period and the first products we sold were in 2022 beginning.

So

increasingly,

Gen

1

will

get

phased

out

in

terms

of

the

warranty

that

we

are

carrying

and

Gen

2

and

Gen

3

will

remain

and

the

sales

are

increasingly

Gen

3.

So
we
don't
expect
any
more
provisions
to
be
created
for
Gen
1
and
Gen
2
warranties
going
forward.
So
you
can
do
a
calculation
of
the
revenue
sold
and
the
warranty
provisioned

from the past history. So it will give you a high single-digit percentage of revenue as a combination of Gen 1 and Gen 2. Gen 3 is looking signi■cantly better, yet still we have increased the provisioning for Gen 3 also just to be a little conservative on warranty going forward.

- Mr. Chandramouli Muthaiya – Goldman Sachs:

- Got it. That's helpful. And my

last
question
is
just
around
the
EBITDA
break-even
guidance
for
the
auto
business.
I
think
earlier
we
thought
it
would
be
a
1Q
event.
I
think
when
I
just
do
the
quick
math

on the numbers you've shared for 1Q directionally, it looks like it might be on a full quarter basis more like a 2Q FY26 event. Maybe one month in 1Q or the ■rst

month

of

2Q

is

when

you

hit

EBITDA

break-even

on

the

automotive

business.

Just

want

to

understand

if

that

understanding

is

fair

or

if

there's

anything

else

that

you'd

like

to

add

there.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Yes.

The

kind

of

variables

that

are

easier

for

us

to

forecast

are

gross

margins

and

our

operating
costs.
Volumes
are
a
function
of
market
and
the
market
has
a
lot
of
macro
as
well
as
competitive
variables
which
are
not
in
a
stable
normalized
state
right
now.
So
that's

why
we
are
giving
not
a
time
horizon,
let's
say
two
quarters,
one
year,
etc.
but
a
volume
horizon
to
the
break-even
which
is
roughly
25,000
for
EBITDA.
And
Q1,
as
a
whole

quarter,
you've
seen
our
outlook.
It
is
going
to
be
around
a
negative
10%
auto
EBITDA
margin.
And
like
we
said,
Q1
has
very
little
amount
of
PLI
because
the
Gen3
doesn't
have

PLI. Q2 gets the PLI as well as the bike volumes get added. So it looks likely that we will cross that threshold of volumes in Q2.

- Mr. Chandramouli Muthaiya – Goldman

Sachs:

-

Got
it.
That's
helpful.
Thank
you
very
much
and
all
the
best.

-

Moderator:

-

Thank
you.
Now
we
will
take
the
next
question
from
Mr.
Vipul
Agarwal
of

HSBC. Please unmute yourself and ask a question.

- Mr. Vipul Agarwal – HSBC:

- Ya, thank you for taking my question. So first question on the, back to motorcycle thing. So given the use case for motorcycle and scooters is different, how are electric bikes are different from the scooter technically? Second is, how is the robustness of an e-bike compared to an ICE

motorcycle?
While
you
are
focusing
on
the
rural
area
more
so,
if
you
can
talk
about
that.
7
Ola
Electric
Mobility
Limited

May
29,
2025

-
Mr.
Bhavish
Aggarwal
-
Chairman
and

Managing Director, Ola Electric Mobility Limited:

- Vipul, actually to begin with, I would suggest, I'm assuming you live in Mumbai. So if you go to one of our stores, you will

get

to

test

ride

our

vehicle,

our

bike.

And

■rst

hand,

you

will

be

able

to

experience

the

robustness

as

well

as

the

strength

that

the

rider

perceives

when

he

rides

the

vehicle,

the
center
of
gravity,
the
handling,
the
dynamics,
etc.
The
engineering
answer
to
this
is,
actually
an
EV
motorbike
is
much
more
stable,
much
more
robust
than
an
ICE
motorbike.
Because
you
don't

have,

the

body

has

much

stronger

mass

centered

around

the

battery

and

the

powertrain.

Unlike

an

ICE

motorbike,

which

has

the

engine,

a

lot

of

empty

space

below

where

the

passenger

sits,

etc.

So

it

handles

better,

it

has

better

vehicle

dynamics,

as

well

as

from

a

robustness

perspective,

our

engineering

has

been

very,

very

thorough.

We

have

actually

crash

tested

our

vehicle

in

all

kinds

of scenarios. We have driven it across all kinds of roads and surfaces, especially the ones that come across in rural areas and it performs actually better than ICE vehicles. And in terms

of

range,

which

is

one

of

the

key

criteria

for

a

motorbike

customer,

a

motorbike

customer

wants

two

things,

he

wants

range

and

he

wants

a

total

cost

of

ownership

even

more

than

the scooter customer. So on both, on total cost of ownership, de■nitely EV beats ICE. And on range, if you see our vehicles have actually at the top end, 500 kilometers of range,

which
we
were
able
to
engineer
because
of
the
technical
capabilities
of
our
team.
So
at
the
upper
500
but
even
in
the
4.5
kilowatt
hour,
which
is
the
medium
selling
product,
we

have almost 250 kilometers of rated range.

- Mr. Vipul Agarwal – HSBC:

- Ya, so basically like, from like, from a rural perspective, normally, this is the case, normally people, the roads are not that great. So when you pick up, you're riding on a 4th gear, you suddenly you see a speed breaker or something, you slow down the speed, then you pick

up

like,

see

guys

sitting

over

there,

pick

up

in

second

gear

and

then

you

can

go

away

with

the

ICE

bike.

So

how

it

will

happen

in

an

EV?

Like,

do

you have a gear system? So whether I'm sorry, I'm not aware of how…..

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- So Vipul, on EVs,

the
torque
is
there,
much
higher.
Again,
I
would
suggest
experiencing
for
yourself.
But
torque
is
much
higher.
And
hence,
you
can
actually
then…
there
are
no
gears,
you
don't
need
gears
because

normally
in
an
ICE
bike,
you
need
gears
because
at
low
RPMs,
you
need
higher
torque
and
the
only
way
to
get
that
is
gears.
Right?
On
an
EV,
you
actually
have
high

torque upfront.

So customers never complain of needing a lower gear for higher torque to get out of a pothole or to get out of mud or anything. You will actually have too much torque.

- Mr. Vipul Agarwal – HSBC:

- Understood! Thanks for that. A couple of, sorry, one more question before that. On financing side, is there any subvention on interest rate

given
by
the
company?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

May
29,
2025
-
The
company
does
not
give

subvention on the, to the lenders, I presume you're talking about the ■nanciers.

- Mr. Vipul Agarwal – HSBC:

- Yes.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola

Electric
Mobility
Limited:

-
They
don't
give
any
subvention.

-
Mr.
Vipul
Agarwal
–
HSBC:

-
No,
I
mean,
okay.
Just
a
housekeeping
question
then.
Like,
what
was
the
share
of

Gen 3 vehicles sold in fourth quarter? And when are you expecting PLI for Gen 3 vehicles?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- So

Gen
3
delivery
started
towards
the
end
of
Q4.
So
in
Q4,
largely
it
was
Gen
2
by
deliveries.
You
know,
by
orders,
Gen
3
was
already
majority
in
the
month
of
March,

I

think.

And

Q1,

almost

two-thirds,

I

guess,

is

now

Gen

3.

-

Mr.

Vipul

Agarwal

–

HSBC:

-

And

when

are

you

expecting

the

PLI?

-

Mr.

Bhavish

Aggarwal

- Chairman and Managing Director, Ola Electric Mobility Limited:

- PLI will come likely in the month of July, could move up a few weeks here and there depending on government bandwidth.

-

Mr.

Vipul

Agarwal

–

HSBC:

-

Understood!

Thanks

for

that.

-

Moderator:

-

Thank

you

for

your

questions.

Now

we

will

take

the

next

question

from

Ajox

Fredrick

from

Sundaram

Mutual

Fund.

-

Mr.

Ajox

Fredrick

-

Sundaram

Mutual

Fund:

-

Hi

sir.

Thanks

for

the

opportunity.

My

questions

are

on

battery.

So

we

are

delaying

batteries

to

get

better

yields,

right? That's the objective for delaying the batteries for our vehicles?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

Ajox,

good

question.

So

we,

if

you

see

the

yield

number,

we

are

above

60%

already

now.

So

we

can

use,

we

can

scale

up

production

now

but

that

will

mean

more

yield

losses.

But

the

60%

cells

that

are

produced

are

fully

usable,

commercially

sellable

cells.

But

we,

what

we

are

doing

with

the

cells

that

we

are

producing

is

using

them

for

rigorous

testing
in
our
vehicles.
And
we
have
gotten,
we
have
done
a
lot
of
testing
with
our
S1
Pro,
with
our
motorcycles,
etc.,
with
the
4680.
We
can,
if
we
want,
put
our

4680

cell

into

our

vehicles

but

we

are

delaying

it

a

little

bit

because

of

the

yields,

you've

said

correctly.

But

also

because,

you

know,

the

company

is

also

right

now

focused

on

just
establishing
Roadster
in
the
market
and
establishing
Gen
3
in
the
market.
So
we
don't
want
to
add
another
change
in
the
vehicle
engineering
by
changing
the
cell
right
now.
Next
quarter,

once the Auto roadmap is stabilized, then we will add the 4680 cell in some of the vehicle variants.

- Mr. Ajox Fredrick - Sundaram Mutual Fund:

- Very helpful, Sir. And

on the cost savings we'll get when our cells come in, that will be on top of this 30% gross margins, right?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola

Electric

Mobility

Limited:

-

Absolutely.

This

is

just

Auto

gross

margin,

it

doesn't

include

whatever

gross

margin

there

is

in

cell.

So,

it's

Auto

segment

gross

margin

but

I

would

like

to

also highlight that the net benefit of the cell will not come from Day 1 because we have a lower scale, the a net benefit on gross margin will start coming in once it, we hit a 5 Gigawatt-hour scale of cell manufacturing, which we will get to roughly early FY27.

- Mr. Ajox Fredrick - Sundaram Mutual Fund:

- Got it, Sir. Got it.

And
how
much
CapEx
are
we
planning
for
the
cell
this
year?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
So,
for
the
cell,
there

is going to be a total CapEx of about ■ 1600 crores out of which about, you can say, ■ 1100 crores is debt ■nanced through existing lines already and ■ 400 crores or so is equity ■nanced. And the CapEx will largely go for expanding from 1.5 Gigawatt-hour currently to 5 Gigawatt-hour. We have also not yet kicked o■ this CapEx cycle on the cell yet because we are just waiting for stabilizing yields in the 1.5 Gigawatt-hour. So, whether we do full-fledged action this quarter or next quarter, we're just waiting for the final decision to kick off the full ■ 1600 crores CapEx on this.

- So, it might be so that this might be lower than the number I'm telling you.

- Mr. Ajox Fredrick - Sundaram Mutual Fund:

-

Okay-okay.

So,

at

least

this

year

we

may

get

a

deferred

implementation

of

this

CapEx

at

least?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

- Yes, because our approach on cell is to get the 1.5 Gigawatt-hour into production ■rst, which is where we are, get them into

our
vehicles,
second
step,
and
then
after
that
get
the
vehicles
on
the
road
and
then
scale
up
to
5.
It's
going
to
be
in
that
sequence.

-
Mr.
Ajox
Fredrick
-

Sundaram Mutual Fund:

- Okay-okay. And what's the targeted ROCE? I think it's too soon for that or you guys have internal…?

- Mr. Bhavish Aggarwal - Chairman and Managing Director,

Ola

Electric

Mobility

Limited:

-

I'm

assuming

you're

asking

for

the

cell.

-

Mr.

Ajox

Fredrick

-

Sundaram

Mutual

Fund:

-

Yes-yes.

Yes-yes,

cell.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Yeah.
Give
us
a
quarter
or
so.
I
can
give
you
a
number
but
I
would
like
to
have
a
much
more
like
operational

depth

on

that

when

I

answer

you.

-

Mr.

Ajox

Fredrick

-

Sundaram

Mutual

Fund:

-

Perfect,

Sir.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

- But if I give you a slightly different perspective on that, how much capital will we spend on the cell before we start making, let's say, net margin benefit to the company, to the consolidated company, this ■ 1500- ■ 1600 crores CapEx is the limit of what we will spend because that will take us to 5 Gigawatt-hour at which point making our own cell is cheaper than buying the cell from outside.

- Mr. Ajox Fredrick - Sundaram Mutual Fund:

- Okay, very clear. Just a final question on the vehicles for the quarter. Sir,

if

I

do

the

math

on

premium

to

mass

vehicles,

right,

the

mix

has

probably

dropped

from

35%

odd

to

31%.

However,

the

ASP

dip

or

the

Average

Selling

Price

dip

has

been

much more sharper. So, what's causing this QOQ decline in the Average Selling Price of the vehicle?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- See,

the volume share of premium versus mass, like you said, is about close to 30% odd and the guidance we want to share with everybody there is that we will broadly re■ect the

industry
structure
there
because
we
want
to
play
across
all
the
segments
of
EV
like
premium
mass
scooter,
bike,
right.
Now,
pricing
in
Q4
is
a
little
bit
of
an
outlier
because
of

the deliveries versus orders. So,

the deliveries are more of Gen 2 vehicles in Q4, which were generally lower priced in Gen 3 vehicles.

-
Mr.
Ajox
Fredrick
-
Sundaram
Mutual
Fund:

-
Okay-okay.
Very
helpful,
Sir,
and
all
the
best
for
your
future.
Thank
you,
thank
you.

-
Moderator:

-
Thank
you
so

much
for
your
questions.
Now,
we'll
take
the
next
question
from
Mr.
Arun
Kejriwal
of
Kejriwal
Consultancy.
Please
unmute
yourself
and
ask
your
question.

-
Mr.
Arun
Kejriwal
-
Kejriwal
Consultancy:

-

Thanks, Bhavish, for giving me this chance. Very interesting set of observations that you have made. The first question is that Q4 we had a lot of issues regulatory regarding our store launches, point of sales, etc. Is it fair to assume that whatever issues we had are now done and dusted as Q4 results are reported or we still have some issues pending?

-

Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- No, Sir, thank you for that question. You are correct, Q4 had a bunch of these issues around regulatory things. Now, those are now behind us. The network expansion, we had to have trade certificates in some areas. We are now fully in touch with all agencies, all State-level RTOs to make sure we are either compliant or have already ■led for the compliant whatever we need.

- As well as there was one theme around our February sales numbers which had made many people

confused.

There

also

with

all

regulatory

agencies

we

have

been

properly

in

touch

with

as

well

as

sharing

all

the

data.

So,

from

our

side

we

are

very

fully

engaged

as

well

as given whatever requests have come. There might be some further queries or news as they close their final whatever requests for information, etc., follow ups with us but largely from our side

we
don't
see
any
major
risk
to
the
business
on
these
regulatory
aspects.

-
But
I
would
also
like
to
add
that
last
quarter
has
also
been
a
quarter
of
important
learning

and
introspection
for
us
that
as
we
have
transitioned
from
a
private
to
a
public
company,
we
have
to
also
manage
operating
risk
in
a
slightly
more
mature
way.
So,
that
lesson
has

been

well

learnt

by

everybody

at

Ola

Electric.

And

going

forward,

hence,

you

will

see

us

be

much

more

deeper

as

well

as

thoughtful

about

capital

allocation

and

operating

risk.

And

as

a

result,
we've
actually
sequenced
our
capital
allocation
into
new
products
as
well
as
focused
a
lot
more
on
institutionalization
of
operating
processes,
especially
in
the
frontend
and
the
compliance
and
risk
aspect
of

the business.

- Mr. Arun Kejriwal - Kejriwal Consultancy:

- Right. The second question is on the new number that you have given us, Bhavish, about the breakeven factor. It's a very interesting number and if I do simple math, last year, full year, we've 12

done 3,59,000 scooters, which means we've crossed that threshold number of

25K that would get us to 300. Leaving aside the ■rst quarter, is it fair to assume that we hitting in the remaining 9 months, 8 times out of 9, this 25K, we

should
end
the
year
on
a
positive
note?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Sir,
absolutely.
I
think
last
year
when
we
were

doing

3

lakh

plus

orders,

the

cost

structure

of

the

company,

both

on

gross

margin

as

well

as

on

operating

expenses,

was

higher.

So,

as

a

result,

our

gross

margin

was

in

the

high

teens

or

maximum

20%

and

as

well

as

our

operating

expenses,

as

you

see

in

the

Shareholders'

letter,

was

almost

■
170

odd

crores

a

month.

Now,

on

both

gross

margin

as

well

as
operating
expenses,
the
company
has
made
significant
progress
and
as
our
volumes,
especially
with
the
bike
coming
in,
scale
up
beyond
the
25,000
numbers
that
we
have
already
achieved
multiple
times
in

the last couple of years, we expect that to translate into a strong pro■tability.

- Mr. Arun Kejriwal - Kejriwal Consultancy:

- So, thanks for that, Bhavish. Wishing you all the

best
and
hoping
that
next
quarter
we
have
the
positive
news.
Thank
you.

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Thank
you
so
much.

-

Moderator:

-

Thank

you.

The

next

question

we

take

from

Mr.

Siddhant.

If

you

could

just

unmute

yourself

and

ask

the

question.

-

Mr.

Siddhant

–

Participant:

-

Yeah,

hi.

Sorry.

My

question

was,

we

are

the

only

leading

EV

scooter

in

the

Indian

market

with

a

chain

drive.

So,

how

much

has

it

reduced

our

breakdowns

and

does

it

add

any

cost

bene■t? And any competitors have started using this?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Siddhant, very interesting question. Looks like you've been studying

our

product

very

closely.

That's

a

very

good

catch.

Chain

drive

has

had

a

very

positive

response

from

customers.

One

would

assume

such

a

simple

thing

will

not

have

a

very

meaningful

change

or

a

very

meaningful

mindshare

in

customer

but

customers

in

India

really

prefer

the

chain

drive

because

it

adds

durability.

And

we

have

also

engineered

the

chain

drive

in

a

way

that

the

noise
from
the
chain
drive,
which
is
the
con
of
a
chain
drive,
that
noise
versus
a
belt,
we
have
really
engineered
the
noise
to
a
very
bare
minimum.
So,
if
you
ride

our Gen 3 vehicle versus if you ride any other EV vehicle with a belt drive, our noise is actually lesser. So, as a result, customers are loving the chain drive, the durability as well as the good experience on low noise. And we get a lot of positive feedback from customers on that.

- And in

terms of absolute kilometers of durability, I don't want to hazard a guess but I think it's definitely 2-3 times.

- Mr. Siddhant – Participant:

- Okay, that's great. My second

question

is

regarding

the

attrition

at

Ola

in

this

quarter

and

for

the

year.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

On

attrition

data,

Siddhant, I don't have it handy per se but in general if I give you a thematic answer to that, I'm sure we will pair it to our ■lings but generally our attrition

at

a

management

level,

core

corporate

and

engineering

levels

is

low.

We

have

a

vertically

integrated

business

model,

especially

on

the

frontend

network,

etc.,

as

well

as

on

our

factories

where

a

lot

of junior sta■ works, so attrition over there gets counted in our overall attrition percentages. And it's not a very like to like comparison when you compare us to any other Automotive company

which

doesn't

have

a

vertically

integrated

business

model.

-

Mr.

Siddhant

–

Participant:

-

Okay,

thank

you.

-

Moderator:

-

Thank

you.

We'll

take

the

next

question

from

Mr.

Jinesh

Gandhi
from
Ambit.

-
Mr.
Jinesh
Gandhi
-
Oakland
Capital:

-
Yeah,
hi.
Yeah,
sorry,
I'm
with
Oakland
Capital,
some
mistake
there.
But
quickly
two
questions
from
my
side.
One
is,
you

have given delivery guidance of 65,000 for 1Q, this number is it conservative considering that we have addressed issues of 4th quarter as well as we'll start deliveries of motorcycle? So, how should we think about steady state deliveries, I mean, ignoring the 4th quarter, which was aberration?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- So,

Jinesh, we're new to giving this outlook stu■, so we are just getting started on this. So, you can say it's a sort of conservative but I would call it a median outlook.

If

we

surprise

on

the

upside,

you

can

give

us

a

pat

on

the

back.

-

Mr.

Jinesh

Gandhi

-

Oakland

Capital:

-

Sure.

Sorry,

I

missed

like

I

joined

in

late,

by

when

are

we

starting

e-motorcycle

deliveries?

14

Ola

Electric

Mobility

Limited

May

29,

2025

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Delivery

started late last week Jinesh.

- Mr. Jinesh Gandhi - Oakland Capital:

- Okay. And how has been the response for electric motorcycles given that it is first of its kind,

if

I

ignore

the

earlier

Chinese-made

products

which

have

been

there

in

the

market?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

So,

Jinesh,

the

response

has

been

overwhelmingly

positive.

There's

a

very

large

amount

of

interest,

if

you

see

the

number

of

media

we’ve

earned

with

our

motorbikes,

and

we

don't

do

advertising.

So,

we

don't

do

paid

media,

it's

all

free

media.

So,

a

very

large

amount

of

visibility

across

social

media

and

any

other

modern

media.

Customers

walking

in

had

a

lot

of

queries

on

the

motorbike,

we

so

far

have

not

been

able

to

have

the

vehicles

in

the

stores

for

them

to

test

drive

because

the

vehicles

were

still

in

manufacturing

and

homologation.

Now

that

that

is

done,

the

vehicles

are getting to the stores and the customer feedback is overwhelmingly positive.

- And you said it correctly, this is the ■rst major OEM electric bike. There have been a few startups here

and

there,

a

few

Chinese

kit

importers

here

and

there

but

the

■rst

major

OEM

electric

bike.

So,

in

that

sense,

the

interest

on

the

customers

is

very

high.

-

Mr.Jinesh

Gandhi - Oakland Capital:

- Got it, got it. And last question on cell manufacturing. So, we are indicating 5 Gigawatt will come by early FY27, this seems to be much delayed as compared to the timelines as indicated in PLI. So, do you expect any issues on our PLI incentives for cell because of this?

- Mr. Bhavish Aggarwal - Chairman and Managing Director,

Ola Electric Mobility Limited:

-

Yeah. So, Jinesh, you are right from the timelines that we had given in our original PLI submission a few years back. This is roughly, I would say,

1

year

or

so

delayed,

5

quarters

maybe.

We

are

being

very

methodical

and

calibrated

with

our

cell

project.

Methodical

on

capital

investment

also

phase

by

phase.

We

want

to

make

sure

the ■rst phase, which we have done, which is 1.5, succeeds and then expand to 5 Gigawatt-hour. Because this is India's ■rst Giga factory, we should all remember nobody in India has done

this

before.

So,

in

that

sense

we

also

want

to

be

very

calibrated

in

making

sure

the

product

comes

out

with

a

high

amount

of

testing

and

high

amount

of

rigorous

vehicle

and

cell

level

testing

both.

-

So,

as

far

as

the

government

is

concerned,

frankly,

we're

the

only

on
e

in

that

PLI

scheme

who

is

doing

it.

There

were

3

other,

none

of

them
have
done
it.
They've
not
even
probably
laid
a
brick
of
their
construction.
So,
the
government
is
actually
looking
at
us
as
the
bright
spot
of
this.
There
was
some
news
on

a

penalty

last

quarter

but

the

government

in

our

private

conversations

has

also

been

very

open

and

they're

very

empathetic

to

the

fact

that

it's

a

more

complex

endeavor

and

they

15

Ola

Electric Mobility Limited

May 29, 2025

might be willing to manage the penalties to a minimum. And penalties also in this, it's not a very onerous penalty clause. It's few tens of

crores.
In
that
sense,
it's
not
a
very
onerous
penalty
clause
also.
But
the
headline
there
is
the
government
is
fairly
empathetic
to
the
fact
that
we
have
invested
so
much,
we
have

constructed,

we

are

producing,

we

are

improving

our

yields

and

we

are

bringing

it

into

our

vehicles.

It's

just

that

it's

taking

a

little

longer

than

initially

planned.

-

Mr.

Jinesh

Gandhi

-
Oakland
Capital:

-
Got
it,
got
it.
Sorry,
and
lastly,
what
is
our
CapEx
guidance
for
FY26,
including
Auto
and
Cell?
Cell
we
indicated
1600
if
we
do
Giga…

-
Mr.

Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Yeah. So, I would say, Auto and Cell both included will be between 1,700-1,800 and this includes both R&D that

we

capitalize

as

well

as

manufacturing

CapEx.

So,

if

I

separate

out

the

R&D

and

manufacturing…Hold

on,

I

will

tell

you

guys.

Yeah,

so

I

would

say,

so

about

80%-85%

of

that

1,700

will

be

manufacturing

and

the

remaining

will

be

capitalized

R&D.

-

Mr.

Jinesh

Gandhi

-

Oakland

Capital:

-

Got

it.

So,

Auto

would

be

very

low

crores?

-

Mr.

Bhavish

Aggarwal

-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Auto,
it
is
up
200
crores
in
our
assessment.
Yeah.

-
Mr.
Jinesh
Gandhi
-
Oakland
Capital:

-
Got
it,

got it. Great, thanks and all the best.

- Moderator:

- Thank you so much, Mr. Gandhi, and apologies for the mix up. Now, we'll take the next question from Gunjan Prithyani.

-

Ms.

Gunjan

Prithyani

–

Participant:

-

Yeah,

hi.

Thanks

for

taking

my

questions

and

apologies

if

I'm

repetitive

because

I

was

a

little

late

to

the

call.

I

just

want

to

revisit

this

breakeven

volume

number.

There's

been

a

sharp

reduction

in

that

from

the

last

guidance

you

gave,

so

can

you

just

talk

us

through

what

are

the

real

drivers?

I

mean,

can

there

be

that

significant

gross

margin

difference

what's

led

to

that?

And

from

a

product

mix

perspective

also

as

bikes

come

through,

how

should

we

think

about

the

margin?

My

guess

would

be

bike

would

be

at

the

lower

margin

initially,

right?

So,

some

thoughts

on

what's

behind

this

breakeven

volume

reduction?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

- Gunjan, two things. You’ve mentioned gross margin, so if you look at figure 8 in the Shareholders' letter, we have given you the gross margin movement. And we've got significant gross margin movement, like I said, thanks to the Gen 3 platform. Now, the bike, while it's a new category, it's built on the Gen

3 platform. So, it has all the cost savings of the Gen 3 platform. In fact, it goes one level further on the Gen 3 platform with something, so I would call it

the Gen 3.5. So, all the bikes starts with a very similar gross margin as where our scooters are today with the Gen 3 platform. So, our gross margins have gone up significantly

from
Q4,
which
was
19%,
and
in
Q1
it's
about
28%-30%,
and
Q2,
once
the
PLI
comes
in,
we'll
add
another
5-7
points
of
margin.
So,
all
that
accounted
for
brings
the
EBITDA

breakeven point closer.

- That said, we've also reduced our operating expenses. So, it's a twin impact of gross margin improvement, signi■cant gross margin improvement, as well as operating cost reduction, which also as we call it Project Lakshya, we've been working on it and we spoke about it in the previous quarter also brie■y. We've had signi■cant savings across all aspects of our business over the last quarter or so.

- Ms. Gunjan Prithyani – Participant:

- Okay. And how would warranty fair in that context versus full of last year to this year? Any guidance

you
want
to
lay
on
that
how
directionally
as
a
percentage
of
sales
that
comes
down?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
See,

Gunjan, we covered warranty but very quickly, for your bene■t, I'll do it again. Warranty; what we have provisioned for in Q4 as a one-time activity, we'll make sure we don't have to

do
any
more
provisions
for
our
Gen
1
and
Gen
2
vehicles
that
we've
sold
so
far
because
all
of
that
will
either
already
have
been
provisioned
before
or
with
this
250
crores

will be accounted for, for the remaining life of warranty.

- Going ahead, Gen 3 products, which is largely what we are selling, and motorcycle is also based on the Gen 3 platform,

is

seeing

a

much

lower

warranty

requirement

because

of

multiple

things.

Like

Siddhanth,

I

think,

said

the

chain

drive

and

that

in

itself

reduces

warranty

cost,

no

hub

motor

reduces

warranty

cost

because it's only a mid-drive motor across all our products now, much more integrated electronics reduces warranty costs. So, very significant engineering things which have reduced component failures and much more vertical integration which reduces component failures. As a result, warranty issues or quality issues have come down significantly in Gen 3.

- But that said, we have still increased our provision that we provision for in our books for Gen 3 products compared to what we were doing for Gen 1 and Gen 2 in the past. Gen 1 and Gen 2 was about ■ 3,250 in the past,

Gen

3

we

won't

share

the

exact

number

but

we

have

increased

it

from

that

and

we

expect

no

one-time

quarterly

exceptional

charges

on

either

earlie
r

products

or

Gen

3

products

going

forward.

-

Ms.

Gunjan

Prithyani

–

Participant:

-

Okay,

got

it.

And

lastly,

just

your

thoughts

on

this

whole

LFP

versus

NMC.

I

think
NMC
has
generally
been
predominant
in
2-wheelers,
do
you
see
merit
in
LFP?
And
is
that
something
that's
part
of
the
agenda
for
future
product?
Especially
as
we're
also
sort
of
working

with the battery, so keen to hear your thoughts on that.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Absolutely, Gunjan. LFP is on our

roadmap. What we are doing is the 4680 cell is going to be both NMC and LFP plan. So, we're starting with the 4680 NMC but soon enough with the same manufacturing we

can
actually
do
4680
LFP
also.
So,
from
an
engineering
perspective,
LFP
will
be
a
drop
replacement
of
our
4680
NMC
cell.
So,
in
that
sense,
as
and
when
we
stabilize
4680
NMC,

we
will
bring
our
own
4680
LFP
into
our
own
vehicles.

-
Ms.
Gunjan
Prithyani
–
Participant:

-
And
that
could
mean
what
15%-20%
reduction
in
the
cost?
And
is
it

stable
like
is
there
any
issue
in
terms
of
integrating
that
into
2-wheelers
because
in
past
NMC
has
generally
been
preferred
so?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola

Electric Mobility Limited:

- There was no engineering issue in integrating that. There is some trade-o■ in vehicle dynamics and weight versus power and weight versus range. But that said, in some segments of the portfolio you can do it, especially for lower range products. So, our higher range products will continue to be NMC because you need that volume e■ciency which NMC brings. But on the lower side, the 3 Kilowatt-hour, the 2 Kilowatt-hour product would move to LFP as we bring our 4680 LFP cells.

- Ms. Gunjan Prithyani – Participant:

- Okay, got it.

Thank

you

so

much.

I'll

join

back

the

queue.

-

Moderator:

-

Thank

you.

We'll

take

the

next

question

from

Mr.

Arvind

Sharma.

-

Mr.

Arvind

Sharma

–

Participant:

-

Yeah, hi. Thanks for taking my question. First question would be on the gross margin difference between mass and premium vehicles once everything is stabilized. So, what is the difference out there?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Arvind, there is a difference obviously in mass and premium but it is in the single digits in terms of gross margin. It's not a very materially stark difference. And from our business strategy perspective, we're fairly agnostic to whether we're selling a premium product or a mass product

18

Ola

because we want to build a franchise across both. So, in the end, the gross margin profile will be an outcome of whatever ratio we sell and it's not very di■erent across both levels.

- Mr. Arvind Sharma – Participant:

- Thanks. Thanks, Bhavish.

- Mr. Bhavish Aggarwal - Chairman and Managing Dir ector, Ola Electric Mobility

Limited:

-

I

do

want

to

add

though,

by

the

way,

on

that

note,

Arvind,

sorry.

We

have

recently

in

Q4,

by

the

way,

you

would

have

seen

in

the

summary,

we

have

started

actually

monetizing

software

with

our

MoveOS+.

That

actually

adds

much

more

margins

on

the

premium

products.

So,

whenever

a

customer

buys

a

vehicle,

he

can

choose

to

buy

the

MoveOS+,

which

brings
a
lot
of
additional
features
which
don't
come
with
the
standard
vehicle
software
pack
which
is
free.
And
we
have
very
high
like
almost
58%
of
our
of
all
our
vehicles
now

are
sold
with
a
MoveOS+
pack
and
it's
almost
like
a
100%
gross
margin
product.
And
on
the
premium
side,
almost
70%
of
the
vehicles
are
sold
with
a
MoveOS+
and
this
number

is

only

going

up.

-

Mr.

Arvind

Sharma

–

Participant:

-

Got

it,

thanks.

Thanks,

Bhavish,

for

that.

Also,

could

you

throw

some

light

on

the

Gig

vehicle,

how

has

the

reception

been? And is it something that is contributing e■ectively to the volumes?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Arvind, the Gig vehicle is

not

yet

released

or

launched.

-

Mr.

Arvind

Sharma

–

Participant:

-

Okay.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Yes.

And

also,

like

I

said

in

today's

commentary,

we

are

going

to

phase

out

new

products

now

towards

a

more

longer

period.

So,

our

focus

right

now

is

the

Roadster

platform,

which

is

Roadster

X,

X+

and

then

the

Roadster

itself

-

Sportster

and

Arrowhead.

The

Gig,

Gig+,

Z

as

well

as

the

3-wheeler

platforms

will

be

a

little

later.

-

Mr.

Arvind

Sharma

–

Participant:

-

And

the

disruption

that

we

saw

in

February,

is

it

possible

to

share

the

cancellations,

if

any,

on

account

of

that?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric Mobility Limited:

- Yes, I thought this question will come up, so I have a bit of a number that I'll walk you

all

through.

So,

I

know

that

I

think

the

February

numbers

created

some

confusion.

We

thought

we

were

actually

being

transparent

with

everybody

but

it

looks

like

it

added

more

questions.

So,

I'll

take a minute and just walk through some of the numbers. So, total orders we received and, by the way, I want to just clarify for everybody, there are 3 di■erent KPIs here

–
orders/sales
is
when
we
receive
the
full
amount
or
almost
the
full
amount
of
the
vehicle.
The
customer
goes
into
our
store
and
says
‘I'm
buying
this
vehicle,
here
is
the
money

or here is my loan' and he gets a loan signed o■ like he puts a down payment and gets a loan. That's what an order is. It's not just a ■ 1,000 booking or a ■ 5,000 booking. An order is largely a proper sale. So, that's 25,207, 25,000 odd orders we got. Out of them, till date we have had about 3,000 cancellations. We have

about

2,000

products

for

which

we

got

orders

but

we

haven't

yet

started

deliveries

like

the

S1

Pro+

with

the

4680

cell

or

the

Roadster

series,

which

is

now

just

starting

to

get

delivered

this

week

onwards.

So,

about

2,000

orders

of

such

products.

And

almost

the

remaining

vehicles

have

been

registered.

So,

the

feb

thing

which

created

a

little

bit

of

confusion

is

all

behind

us
now.

-
There
has
been
25,000
overall
orders,
3,000
odd
cancellations,
2,000
odd
orders
for
which
deliveries
have
yet
to
start
or
have
just
started
this
week
and
the
remaining
have

all been largely registered. Arvind, does that clarify for you? I think you're on mute.

- Mr. Arvind Sharma – Participant:

- Yeah-yeah, Bhavish, it clari■es. Thank you so much for answering

the

questions.

Thank

you

so

much.

-

Moderator:

-

Thank

you.

Now,

we'll

take

the

last

question

from

Mr.

Raghavendra

Goel.

Please

unmute

yourself

and

ask

your

question.

-

Mr.

Raghavendra Goel – Participant:

- Yeah, hi. Thanks for the opportunity. I just wanted to know if you can guide directionally the stores that we have opened during 3Q, what would be the

cost

approximately

sitting

in

our

Balance

Sheet

for

those

additional

stores,

3,000

stores,

that

we

have

opened?

Any

ballpark

number

if

you

can

guide

in

that

sense?

-

Mr.

Bhavish

Aggarwal

-

Chairman and Managing Director, Ola Electric Mobility Limited:

- So, I'm assuming, Raghavendra, you're talking about the CapEx that went into the stores. So, in total we opened about 2,400 stores, new stores; our own stores, right. 800 we had, 3,200 we went to and 800 is non-company stores. 4,000. So, for these 2,400 ballpark, I would say, at least ■ 120 crores or so or lesser.

- Harish Abichandani - CFO, Ola Electric Mobility Limited

- Lesser than that. It's very e■cient because our store design and the approach is very lean and very e■cient that way. So, it will be around close to ■ 100 crores, not even ■ 120 crores.

- Mr. Raghavendra Goel – Participant:

- Okay,

thanks
for
that.

-
Moderator:

-
Thank
you.
Now,
with
this,
we
will
have
to
conclude
the
session
here.
To
all
of
you,
we
appreciate
your
time
and
all
of
your

perfect
questions
during
the
call
today.
Thank
you
so
much
for
joining
us
and
we
look
forward
to
meeting
you
all
during
our
next
Earnings
Conference.
Thank
you
for
joining
us
and
now

you may log out from the conference call. Have a good evening.

END OF TRANSCRIPT

Call: Jul 2025

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)

Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Benga luru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
Date: July 15, 2025

To,
National Stock Exchange of India Ltd.,
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225

SUBJECT: T RANSCRIPT OF THE EARNINGS CONFERENCE CALL WITH ANALYST S/INV ESTORS HELD ON JULY 14 , 2025.

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("SEBI Listing Regulations") we are enclosing herewith a copy of transcrip t of the earnings conference call with Ana lysts / Investors held on Monday, July 14 , 2025 .

This intimation will also be made available on the website of the Company and can be accessed using the below link: https://www.olaelectric.com/investor -relations/announcements .

We request you to take the above on your record.

Thanking You,
Yours faithfully,
For and on behalf of OLA ELECTRIC M OBILITY LIMITED

Harish Abichandani
Chief Financial Officer
Encl: a.a

Ola

Electric

Mobility

Limited

Q1

FY26 Earnings Conference Call

July 14, 2025

Management:

Mr. Bhavish Aggarwal – Founder, Chairman and Managing Director, Ola Electric Mobility Limited

Mr. Harish Abichandani – Chief Financial Officer, Ola Electric

Mobility

Limited

Mr.

Ankur

Agrawal

-

VP

and

Head

of

Business

Finance,

Ola

Electric

Mobility

Limited

Mr.

Abhishek

Chauhan

–

Director,

Corporate

Communications

&

PR,

Ola

Electric

Mobility

Limited

Ola

Electric

Mobility

Limited

July

14,

2025

–

Moderator

-

Mr.

Abhishek:

–

Hi,

good

day

and

welcome

to

the

Ola

Electric

Q1 FY26 Earnings Conference call. As a reminder, all participants will be on the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

–

Before we begin, a few quick announcements for the attendees. Anything said on this call which re■ects our outlook for the future or which could be construed as a forward-looking statement and may involve risks and uncertainties, such statements or comments are not a guarantee of future performance and actual results may di■er from those statements.

–

To

begin with, I would like to request Bhavish Aggarwal - Chairman and Managing Director of Ola Electric, Harish Abichandani - CFO and Ankur Agrawal - VP Business Finance of the company to take you through the results.

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Thank you, Abhishek. Hi everybody, this is Bhavish. Well, this time we have shared

a
fairly
detailed
shareholder's
letter.
So,
I
hope
all
of
you
have
had
time
to
read
through
it,
look
at
it.
You
know,
one
of
the
things
we
realized
over
the
last
couple

of

ear
nings

calls

was

that

we

had

to

share

a

little

bit

more

depth

of

our

business

details

with

all

of

you

so

that

you

can

understand

our

business

better,

and

obviously,

those

who

are

modelling

it

can

model

it

better.

–

So,

a

few

highlights

that

I

will

just

talk

you

through

in

the

report,

and

then

I'll

try

and

leave

more

time

for

Q&A

because

this

time

I'm

assuming

there'll

be

a

lot

of

questions

from

all

of

you.

I

hope

there

are

a

lot

of

good

questions

from

the

audience.

–

So,

this

has

been,

in many ways, a transformative quarter for us. As we write in the note, we have, over the last couple of quarters, transitioned our strategy from aggressive penetration, to a more balanced pro■table

growth
strategy.
And
given
where
the
industry
also
is,
after
the
initial
hyper
growth
phase,
industry
is
steady
and
consolidating
and
there
will
be
another
growth
phase
in
the
near
future.
But
till

then, it's time for players to actually consolidate their operations. And we believe we have a very strong competitive advantage in consolidating our approach on pro■table growth. And as you can see, our

gross
margins
this
quarter
have
been
quite
good.
And
as
you
can
read
in
the
note,
this
quarter's
gross
margins
are
largely
without
any
incentive.
So,
very
strong
performance
from
the
team
on

delivering these gross margins.

– Our Auto segment was actually EBITDA positive for the month of June. I think this is the first time we've ever hit this milestone. And this was delivered

by

a

bunch

of

factors,

all

of

which

we've

actually

been

highlighting

in

the

last

couple

of

calls:

Improved

gross

margin,

which

was

as

a

result

of

our

Gen

3

platform.

And

also the Project Lakshya, which helped us reduce our OpEx signi■cantly.

– Now, in addition to this EBITDA performance for the whole quarter, and speci■cally in June when we turned positive, this time,

we've

also

broken

out

our

cash

flows

for

all

of

you

by

the

segment

and

consolidated,

because

we

felt

it

was

important

for

you

to

understand

how…

because

the

Auto

business

and

the

Cell business are in different phases of investment. And the Auto business, as you can now see, is actually getting to a reasonable level of maturity on both profitability as well as cash.

And

in

the

near

term,

we

expect

the

Auto

business

to

be

operationally

cash

positive,

and

also

by

the

end

of

FY26,

to

be

free

cash

positive.

So,

that's

an

important

highlight.

– In fact, in this quarter, we were almost neutral on operational cash flows.

This is because of structural improvements that we've made, which we've called out in the report; things like working capital, inventory management, warranty claims management, all of that detail is there in the the report.

–

Another highlight I want to point out is, this was the first full quarter of our Gen 3 product in the market. And even the Gen 3 product is still

ramping up in terms of pres
ence across all our distribution stores, but it still accounts for almost 80% of our overall sales. It is a much better product in performance, in gross margins,

as
well
as
in
quality,
and
hence
warranty
claims.
Consumers
have
absolutely
loved
the
product
and
we're
getting
very
good
traction.

–
Gen
2
still
exists
in
the
market
and
we're
using

it

as

a

dual

strategy

between

Gen

2

and

Gen

3

for

penetration

and

for

performance.

–

Our

bikes

have

been

generating

a

lot

of

interest

on

the

ground,

a

lot

of

social

media interest and visibility. As we've guided before, we've been more calibrated about our bike scale-up. The bike is now almost in 200-odd stores, and through the course of this quarter, by the

time

Navratri

comes,

we

will

have

our

bike

in

almost

all

of

the

stores

across

the

country.

And

we're

getting

very

good

feedback.

–

A

couple

of

other

important

strategic

points

I

want to highlight for all of you. There have been a couple of macro risks in the industry, specifically on rare-earth magnets and the ABS mandate. Now on both, we have our own unique solution because the company is vertically integrated and does all of its technology development in-house. So on rare-earths, we actually have a dual strategy of managing through alternate suppliers for magnets, and

also

coming

out

with

a

rare-earth

free

motor,

which

is

in

the

next

quarter;

it

will

be

delivered

to

customers

in

the

next

quarter.

And

we've

been

working

on

these

technologies

for

the

last year or two. Some of you who've visited our factories would have even remembered seeing this on display at the time of our road shows.

–

And finally, the highlight, which is

I'm sure highly anticipated is this quarter, we will deliver our 4680 cell vehicles to customers by Navratri. And we'll share more details on the 15th August event, which is our annual product event. But our Cell Gigafactory is ramping up now. We are ramping up. We are producing cells to be used in our vehicles already; it's not just test cells anymore. And through

this
quarter,
we
will
see
a
ramp-up
of
that.

–

So
those
are
some
highlights.
A
few
more
things
that
I
will
just
talk
you
through
is,
in
this
report,
we
have
spoken

about how our free cash flows in our automotive business are also stabilizing. Operating cash flows are already getting to neutral. And our CapEx plans for this year, FY26, are not very large

in

the

automotive

business.

In

fact,

later

in

the

graphs,

you

will

see

a

lot

of

our

CapEx

is

actually

R&D,

which

is

capitalized.

We

don't

expect

any

major

manufacturing

CapEx

in

this

year
for
the
automotive
business.
There
will
be
some
for,
let's
say,
our
rare
earth
free
magnet,
etc.
But
beyond
that,
we
don't
expect
any
major
manufacturing
or
growth
CapEx
for
the
automotive

business.

So

the

automotive

business

to

get

to

free

cash

positive

by

the

end

of

this

year,

which

is

what

we

are

giving

in

the

outlook,

we

do

expect

it

to

consume

only

about 400-500 crores of incremental cash from here. – Even at a console level, you can see our cash flows improving significantly and profitability also improving significantly. And this trajectory will continue through the course of this year. For the whole year of FY26, we are targeting to get to around 3.25 lakh to 3.75 lakh vehicle sales driven by the festive season coming up, and our plans on our Gen 3 and our bike products through the course of this year.

– For our Cell business, there will be CapEx. We already have done the CapEx of

1.4 GWh and we will be completing the 5 GWh capacity that we have planned for, for which capital is already 3

July

14,

2025

lined

up

through

a

term

loan

facility

with

the

SBI

consortium.

Now,

after

that,

most

of

the

payments

of

that

will

also

happen

in

this

year and some will flow into next year. We don't foresee the need to expand Cell Gigafactory capacity beyond 5 GWh for the next 3 to 4 years. And there's a rule of

thumb
calculation
also
here
that
5
GWh
means
almost
1
million
to
1.2
million
units.
So
we'll
make
that
installation
of
capacity
this
year,
FY26,
and
grow
into
it
over
the
next
couple

of

years.

–

That

said,

there

is

some

more

detail

on

warranty

here

because

warranty

has

been

one

of

the

talking

points

in

the

last

quarter.

We

took

a

one-time

provision

of

250

crores. What I would like to highlight to all of you is every generation has kept on getting better for us in terms of quality and fault rates. Gen 3 is in fact the best ever for us, and by our own estimates the best in the industry. And this benefit obviously flows into the EBITDA by lower provisioning for Gen 3. – On claims also, Gen 1 claims have been higher than Gen 2 claims and that is higher than Gen 3 at a similar rating. So Gen 3 claims are actually looking fairly good. And in Gen

3 over Gen 2 itself, one of the major areas we have improved the product design and hence quality, is the hub motor, the motor controller which were in Gen 2 supplier-procured, and

in
Gen3
are
all
in-house.
And
our
in-house
motor
which
was
in
Gen
2
in
the
S1
Pro
had
a
90%
lower
failure
rate
than
the
hub
motor.
So
all
of
this
is

adding up to a very good profile on warranty.

– And a final point I want to highlight there is our Gen 1 products are already 70% out of the warranty life.

So that's also reducing the claims on a monthly level as more and more of the claims outstanding or the warranty outstanding is on Gen 2 and Gen 3. So we don't expect

any
more
major
one-time
warranty
provisions.
So
there
might
be
some
minor
learnings
as
we
go
along,
but
nothing
major
expected
over
the
next
year
or
two
on
warranty
provisions.

–
Then
in

the

note,

we

highlight

some,

beyond

just

operational

commentary,

we

give

you

progress

on

key

strategic

priorities.

And

as

we've

always

communicated

to

you,

our

strategy

in

this

business

has

been

to

bui

ld
more
manufacturing
vertical
integration,
do
more
in-house
technology
development
and
build
a
direct-to-customer
channel
for
customer
engagement
with
the
brand
directly.
And
on
all
these
three,
we
believe
we
keep
compounding
our
competitive

advantage as incumbents only continue building traditional auto business models. And that competitive advantage can be seen in the balance of volumes and profitability that we are now able to deliver.

–

And

then

we

talk

about

the

rare

earth

magnet

which

I

commented

on,

so

I'll

skip

that.

–

On

ABS

also,

we

are

ready.

We're

the

only

EV

company

which

has

an

ABS

product on sale in the market. And by the mandate timeline, we will be ready with our own in-house ABS solution, further saving margins as well as giving consumers a product di■erential.

– On the Gigafactory, like I said, more details on 15th August, but our first products will be in customers' hands by the festive season. The full budget for our 5 GW plant

is
2,800
crores,
including
both
the
CapEx
as
well
as
some
pre-operative
costs.
Now,
out
of
this,
we
have
already
invested
about
1,500
crores,
and
the
remaining
1,200
odd
crores
will
go
in

over
the
course
of
this
year
and
some
into
next
year.
But
that
will
complete
the
5
GWh.
And
like
I
said,
for
this,
we
already
have
the
SBI
consortium
facility
which
we

are drawing down on.

– In terms of unit economics, the Cell business at a free cash flow level breaks even for us at 5 GWh. And at a consolidated level, it

is
cheaper
for
us
to
manufacture
our
own
cells
than
procure
from
outside
at
the
5
GWh
level.
So,
that's
a
very
important
milestone
as
we
scale
our
Cell
business.
Through
this
year

now, starting this quarter, we are going to keep ramping up gradually the cell production to grow into the 1.4 first, and then grow into the 5 GWh after that.

–

There's some

commentary

on,

you

know…

for

those

of

you

who

don't

fully

understand

the

cell

technology

and

the

cell

cost

structures,

there's

some

commentary

here

for

you

to

appreciate

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how
the
cell
cost
leadership
works,
and
it's
very
directly
linked
to
technology,
not
just
supply
scale.
–
On

product
roadmap
again,
we
highlight
here
our
competitive
advantage
with
a
very
broad
product
portfolio
which
is
ready;
a
very
mature
stage
of
development
for
the
product
portfolio.
But
that
said,
we
are

not

allocating

manufacturing

CapEx

to

all

these

products.

We

are

going

to

be

sequential

in

capital

allocation.

We

are

letting

our

current

products

scale

and

mature

in

the

market,

and

then

one-by-one

allocating

manufacturing capital for new products. But from an R&D basis, we have many of these products under advanced stages of development. So, in that sense, as our distribution network stabilizes, as the new products step-by-step scale up in the market and as the EV industry again in■ects with the next level of customers coming in, we will again accelerate our product launch roadmap.

– Finally, in

strategic priorities on our D2C network, we have expanded our presence, but there's a lot more work to be done to institutionalize operations, consolidate operations and deliver a good customer experience and a

high
productivity.
We
are
already
seeing
gains
from
inventory
reduction
in
the
network
and
you
see
that
in
the
working
capital
movement
in
Q1
over
Q4,
and
we
will
continue
to
see
incremental

gains
on
this
going
forward.
But
there's
more
work
to
be
done
to
institutionalize
the
operations
in
the
front
end,
and
that's
a
core
management
focus
for
the
remainder
of
this
year
too.

– Finally, we have a little bit of a note on ■nancial planning. There have been some questions to us in the past on what is our cash allocation, capital allocation for di■erent aspects of the business. So, for the Auto business, like we said, nothing major on CapEx plan. We expect about 400-500 crores of free cash flow requirement for the remainder course of this year, at which point free cash ■ow should turn positive. For our Cell business, there will be a CapEx of about a 1,000 odd crores in this year and some more in next

year.
And
70%
of
that
or
roughly
two-thirds,
70%
of
that,
is
funded
through
the
existing
term
loan
that
we
have
and
the
remainder
through
equity.
The
Cell
business
will
have
some
operational

cash ■ow requirements till we achieve a certain steady production rate, but in the hundreds of crores. So, for the business on a consolidated level, we don't foresee the need for any more cash than we have. We have about 3,200 crores on the balance sheet as of end of quarter.

– We do have some debt obligations. Again, we have shown that in a graph in the note. We will be re■nancing some of that debt, not the term loans, but some of the corporate debt that we had taken before our IPO. And we have already taken a Board approval for issuing fresh NCDs to re■nance that debt.

– I guess that's it. There are some very interesting graphs in the note also. A couple of things, if I highlight on Graph 3 and 4, if you see our ASPs are ■at, but our gross pro■t per vehicle is continuing to grow. This quarter, it got to Rs. 31,000, which means in

Graph
5,
you
see
our
gross
margins,
Auto
gross
margins
with
all
incentives
and
without
incentives.
And
you
can
see
this
quarter,
actually,
we
had
very
minimal
incentives.
So,
the
business,
the
product,

the gross margin profile, all looking strong.

– And I will pause here and leave enough time for questions from all of you.

– Question & Answer Session:

– Moderator - Mr.

Abhishek:

–

Thank

you

so

much,

Bhavish.

We

will

now

begin

with

the

Question

&

Answer

session.

Anyone

who

wishes

to

ask

a

question

may

use

the

Raise-Hand

option.

If

you

wish

to

remove yourself from the question queue, you may press the option again. Participants are requested to unmute themselves before asking the questions. And before asking a question, we also

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request

you

to

introduce

yourself

-

your

name

and

your

organization.

We'll

take

a

minute

and

then

we'll

open the ■oor for Q&A.

– We'll take the ■rst question from Mr. Chandramouli Muthiah of Goldman Sachs. You may unmute yourself and ask a question.

– Mr. Chandramouli Muthiah – Goldman

Sachs: – Hi, good afternoon, and thank you for taking my questions. My first question is just on the volumes for the quarter, the 68,000 volume. Could you help us understand what the split is between the electric scooters and electric motorcycles, as well as also the Rs. 121,000 ASP? Where would the motorcycle ASP compare versus the scooter ASP?

–

Mr. Bhavish Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Chandru,

the

split

is

still

largely

scooters

because

motorcycle

deliveries

only

started

happening

early

June.

So

almost

all

of

it

is

still

scooters.

The

motorcycle deliveries are ramping up in June, and now going forward also.

– In terms of ASP, the Roadster X and X+ ASPs are broadly in the range of the S1X and X+

ASPs,

maybe

5%

higher,

5

to

10%

higher.

So

it'll

be

one

level

lower

than

the

S1

Pro

and

Pro+,

but

in

that

S1X

and

X+

range.

So

in

terms

of

it

looks

like against the Rs. 1.2 lakh, it might be Rs. 1.15 lakh as an ASP.

– Mr. Chandramouli Muthiah – Goldman Sachs: – Got it, that's helpful. My second question is just

around

the

ABS

norms

which

have

been

proposed

by

the

Government

of

India.

So,

I

understand

you

have

ABS

on

some

of

your

premium

electric

scooters

as

things

stand,

but

if

you

could

just
give
us
some
colour
on
what
the
negotiations
seem
to
be
with
the
government
and
what
the
industry
representations
are?
Is
there
something
that’s
a
done
deal
for
January
2026,
or
is

it still sort of ■uid, if you could give us some colour on that?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Chandru, our stance is that the sooner the better. We should not compromise with the customer safety.

– Mr. Chandramouli Muthiah – Goldman Sachs: – Got it. And just the additional cost here, what is your estimate of additional cost? You did mention that you are looking to do an ABS kit in-house. So if you could just give us some colour on what your estimates are on additional cost.

–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
See
for
us,
let's
say
for
industry
when
they
do
ABS,
anywhere
between
Rs.
3,000
to
Rs.
5,000
they

incur

in

terms

of

BOM

cost,

depending

on

what

kind

of

ABS

etc.

For

us,

it'll

be

a

small

fraction,

it'll

be

a

fraction

of

that,

because

these

ABS

products

as

you

can

imagine
are
high
margin
products
for
whoever
is
selling
them,
Bosch
or
Conti
or
whichever
supplier
is
selling
them.
And
we
have
our
own
engineering
capability.
In
fact,
the
way
we
have
built

the ABS is that our electronics are all combined into the same central electronics. So a lot of software defined functionality. So in that sense, the content itself is lower in our ABS, and obviously, we saved all the cross margins.

–

Actually Chandru, I would want to use this moment to highlight an important theme about our company, which, while we've been executing on it,

maybe

it

might

not

have

been

fully
6

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Electric

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appreciated

by

all

the

people

observing

us,

that

as

we

keep

doing

each

of

these

critical

components

in-house,

be

it

the

motor,

be

it

the

ABS,

electronics,

software,

cell,

one-by-one,

each

of

these

things

add

a

lot

of

gross

margin benefit, which is what you see in the end today; our gross margin is about 26% and without any incentive also 22% plus, despite not charging 20% higher than market. Right? And

this

is

a

journey,

it's

only

going

to

keep

improving

for

us.

–

For

example,

one

of

my

Finance

team

members

pointed

out

to

me

that

the

largest

motor

supplier

in

India

actually

has a gross margin of 60%. Now, we make our own motors. That's a clear saving of a large high single digit thousand rupees over there for us. Same will happen in ABS.

Same happens for us in electronics. And it's not just saving from o■-the-shelf parts, we are able to combine parts better, and hence actually reduce content itself. For example, in ABS, the electronics will actually be combined with our central electronics.

– Mr. Chandramouli Muthiah – Goldman Sachs: – Got it, got it, that's helpful. And lastly, if I can squeeze in? I just wanted

to

state…

of

the

union

update

on

net

debt.

So

you

did

mention

that

you

got

cash

of

about

3,200

crores.

I

can

see

that

the

graphs

talk

about

debt

repayment

obligations,

but

if

you

could

just

give

us

what

the

gross

debt

number

also

is,

just

in

the

context

of

what

your

quarterly

cash

investments

are.

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Sure.

I

think

excluding

short-term

debt,

which

is

largely

working

capital,

Ankur,

to

about

2,000

crores.

Yeah,

2000

crores

and

it's

getting

paid

down

over

the

next

two

years,

all

the

corporate

debt

is

getting

paid

down.

Term

loans

will

continue

long.

–

Mr.

Chandramouli

Muthiah

–

Goldman

Sachs:

–

Got

it.

Thank

you

very

much

and

all

the

best.

–

Moderator

-

Mr.

Abhishek:

–

Thank

you.

We'll

take

the

next

question

from

Mr.

Arvind

Sharma

of

Citibank.

You

may

unmute

yourself

and

ask

the

question

please.

–

Mr.

Arvind

Sharma

-

Citibank:

–

Yeah,

hi,

hi.

Thanks

for

taking

my

question

and

thanks

for

sharing

the

guidance

for

FY26.

In

the

overall

guidance

for

FY26,

what

would

be

the

exit

rate,

because

1Q

we already know the numbers, but it's a pretty steep jump from here on. So what would be the drivers for these volumes going forward?

–

Mr. Bhavish Aggarwal - Chairman and Managing

Director, Ola Electric Mobility Ltd: – Okay, Arvind, thank you for your question.

I'll start with a small nuance. It's more an outlook than a hard guidance. What we want to start doing

is

also

giving

all

of

you

a

little

bit

of

an

outlook

into

what

we

see

ahead

for

us,

and

also

call

out

the

risks

that

exist

to

achieve

that

outlook,

because

there

is
a
macro
environment
which
is
sort
of
moving
parts,
supply
chains,
etc.
So
there
are
enough
things
we
need
to
navigate
still
through
the
year,
but
we'll
keep
updating
every
quarter.

–

Now,

the

key

levers

to

deliver

these

volumes,

actually,

if

you

see

this

quarter,

we

delivered

68,000.

Now,

this

quarter

is

actually

probably

one

of

the

lowest

quarters

in

the

year

on

festive
and
just
volumes.
We
expect
industry
bump
up
on
festive,
about
50%,
40%,
50%,
whatever
the
industry
anomaly
is
for
those
couple
of
months.
Industry
itself
is
growing
at
about…
Hold
on,

I

don’t

know

what

happened

here.

I

hope,

Arvind,

you

can

still

hear

me.

Arvind,

can

you

hear

me?

Is

the

meeting

still

on?

Can

anybody

hear

me?

– Mr. Harish Abichandani – CFO, Ola Electric Mobility Ltd: – Yes, we can hear you.

– Mr.

Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Okay. So I guess the meeting, I hope, is still on. So I'll complete Arvind's answer. I don't know why Arvind dropped o■. Till then, maybe you can check if some other people can hear me beyond Harish also.

– So just to complete the point, we expect seasonal uplifts in general. Industry is going to grow at 20%. And now, given that a lot of the competitive intensity has already been played out, we do expect us to grow at or above industry rates. We also

expect
our
bike
volumes
to
increase
through
the
year.
And
a
few
more
initiatives
we
are
doing
on
the
productivity
of
our
front
end.
All
these
added
up
should
get
us
to
those

volumes. But there are some macro risks which we will navigate and keep sharing updates. – Moderator - Mr. Abhishek: – Thank you. Now we'll take the next question from Gunjan Prithyani of

Bank of America. You may unmute yourself and ask your question, please.

– Ms. Gunjan Prithyani – Bank of America: – Can you hear me now?

– Mr. Bhavish Aggarwal - Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Yes,

Gunjan,

we

can

hear

you.

–

Ms.

Gunjan

Prithyani

–

Bank

of

America:

–

Okay.

Thanks

for

taking

my

question

and

really

good

to see the significant improvement in the gross margins. A couple of questions from my side.

– I think firstly on the gross margin, I just wanted to understand on the Gen 3,

are
all
the
cost
savings
fully
realized
on
the
80%
transition
that
you
saw
in
this
quarter?
I'm
just
trying
to
understand
the
roadmap
of
this
25%
to
35-40%
that
you've
called
out

in your update.

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Yeah. Some of the gross margins are still to be realized, Gunjan. T here is an incremental goodness on some of the Gen 3 margins that will come through this ■nancial year. And on top of that, 25% gross margin this quarter didn't have any PLI. So PLI, whatever

you

guys

model,

will

also

come

on

top.

–

Ms.

Gunjan

Prithyani

–

Bank

of

America:

–

Okay.

And

this

doesn't

capture

any

of

the

savings

from

the

captive,

which

you

know,

of
course,
is
more
going
to
be
a
F27…
–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
The
cell,
you
mean?

–
Ms.
Gunjan
Prithyani
–
Bank

of

America:

–

Yes.

8

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–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

No,

this

doesn't

capture

the

cell.

The

cell

will

ramp

up

through

this

year.

They'll

have

a

small

component

of

cell

in

gross

margin,

but

the

real

cell

savings

at

scale

will

be

in

FY27.

–

Ms.

Gunjan

Prithyani

–

Bank

of

America:

–

Okay.

And

the

other

expenses

should

more

or

less

sustain

at

these

levels,

now

that

we've

gotten

to

a

level

of

stabilization

with

the

cuts

that

we

took

over

the

last

couple

of

quarters?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Yes,

OpEx is now stable. In fact, incrementally, there will be some more opportunities for efficiency and productivity through the year. But 100 odd crores of Auto OpEx and 150 odd crores of total consolidated OpEx right now. Over the next quarter or two quarters, we should be further able to reduce another 10 to 15% of OpEx at a similar volume levels. As volume grows, some of OpEx will grow with volume.

– Ms. Gunjan Prithyani – Bank of America: – Okay, got it. And the second question, a little bit on the pivot that you called out, that we're moving from aggressive penetration to a balanced pro■table growth. It just sounds to me that there has been a reset in the EV penetration expectation itself, right? I mean, if you can

sort
of
share
your
thoughts
on
how
do
we
then
think
of
EV
adoption
at
an
industry
level?
And
why
do
you
think
that
there
has
been
this
reset
of
expectation?
Because
prices,

if

at

all,

have

only

come

down,

and

it's

got

a

lot

more

competitive

in

terms

of

value

proposition

to

the

customer

when

you

compare

with

ICE

as

well.

So,

why

the

reset

in industry adoption levels?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – See, ■rstly, Gunjan, if you see EV two-wheeler industry growth versus ICE two-wheeler industry

growth,
EV
is
still
3x
of
ICE,
right?
So,
in
that
sense,
ICE
is
growing
at
6-7%,
EV
is
growing
at
20%
odd,
give
or
take
a
few
here
and
there.
So,
EV

is still growing very much faster than ICE.

– It has definitely come down from the absolute aggressive growth in FY23, FY24, and early part of FY25. A couple of reasons for that, firstly, government incentives have also come down. So, that definitely has made manufacturers, as well as some customers think about their choices in terms of pricing as well as in terms of purchase for the customer.

– Second, also, the early adopters have now largely adopted EVs. The S-curve of the penetration will go through the S-curve. So, there'll be an aggressive growth, then there'll

be
a
consolidation
phase,
and
then
there'll
be
an
aggressive
growth
again.
So,
the
middle
customer
is
now
considering
EVs
actively
in
our
own
surveys,
brand
surveys
that
we
do.
Consideration
for
EVs

is

very,

very

high,

but

they're

probably

waiting

for

their

friends

and

all

to

live

with

one

generation

of

their

EV

products,

or

waiting

for

some

of

the

anxieties

around

range,

etc.,

resale

value.
All
of
these
are
anecdotal
things,
and
actually
many
of
them
are
not
true.
It's
not
like
two-wheeler
EVs
have
range
anxiety.
It's
not
true
that
there
is
a
question
on
resale

value,

if

you

see

resale

values

are

reasonable

in

the

market.

But

it's

more

just

an

overall

feeling

that

the

cautious

customer

has

now,

that

let

me

just

wait

it

out

another

six

months,

one

year,

till

my

friends

who

were

the

early

adopters

have

been

through

their

full

cycle

experience.

And

we

see

that

now

slowly

also

turning

in

bigger

cities.

There

are

some

pockets

of increasing growth again, but it's early. So, we do expect the S-curve to play out, first high, then consolidating around 20-25% a year, and then maybe next year onwards, another aggressive growth.

– Ms. Gunjan Prithyani – Bank of America: – Okay, got it. This last

question,

if

I

can

just

get

your

thoughts

on

the

battery

plans

as

well.

We

are

now

sort

of

limiting

to

5

GW.

If

you

can

just

sort

of

share,

what

does

it mean in terms of the government PLI scheme? What does it do to the captive cost bene■t that we were thinking about? Because a lot of those captive cost savings were also premised on yields and scale that you get on that battery plant, cell plant. So if you can share, what does it mean for the overall cost improvement and PLI scheme?

–

Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – So Gunjan, at 5 GWh, we will already be saving money versus procuring from outside. At 1.4 GWh, we will

be
saving
money
at
a
gross
margin
level,
but
the
OpEx
of
the
cell
plant
will
not
be
fully
leveraged
for
the
scale
that
it
is
built
to.
And
the
unit
that
we

had
designed
was
the
5
GWh
unit
for
our
cells.
5
GWh
is
one
unit.
So
at
5
GWh
unit,
we
will
be
saving
money
versus
procuring
cell
from
outside,
so
we
don't

need to go to 20 GWh for that.

– In terms of PLI, yes, definitely, this will mean an implication on PLI. The government PLIs, our timelines on 20 were what they were and we will not need those timelines. But in our profitability case, we have not built any benefit from PLI. If there is any, it will be goodness on top. That said, Gunjan,

we're

also

the

only

company

that

has

really

put

up

a

cell

plant

and

made

it

productive.

So

we

are

and

we

will

engage

with

the

government

to

probably

relook

at

some

of these timelines. And in the broader interest and encouragement to industry, probably relook at those timelines.

– Ms. Gunjan Prithyani – Bank of America: – And there's no penalty we need to

be
really
worried
about
in
that
context,
right?
If
there's
a
change
in
the
timelines?
–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
There
is
a
maximum

of about 100 odd crores of penalty and we are actually accruing that every quarter in our P&L already.

– Ms. Gunjan Prithyani – Bank of America: – Okay, got it. All right.

Thank

you.

Thank

you

so

much.

I'll

join

back

to

queue.

–

Moderator

-

Mr.

Abhishek:

–

Thank

you.

We'll

take

the

next

question

from

Rishi

Vora

of

Kotal.

Please

unmute

yourself

and
ask
the
question,
please.

–
Mr.
Rishi
Vora
–
Kotak
Securities:
–
Hi,
Bhavish.
Congratulations
on
sharp
improvement
in
pro■tability.
–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric

Mobility Ltd: – I'm waiting to read your report. – Mr. Rishi Vora – Kotak Securities: – Yeah. Just a follow up on Gigafactory, right? One of the premises for us to set up a Gigafactory was also PLI incentives, if I remember it correctly. Our expectation was through the course of going till FY29, the capital employed will become half because 50% of it, we

were
expecting
it
10

to
come
from
PLI.
So
let's
say,
if
you're
not
able

to

get

a

PLI,

then

does

it

make

sense

for

us

to

set

up

our

own

Gigafactory,

given

that

tomorrow

the

technology

might

evolve?

We

might

be

a

little

slow

versus

the

global

giants.
So
does
it
merit
to
have
a
Gigafactory
on
our
own
given
that
a
PLI…?
–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
Yes.
Yeah.
So,

Rishi,

the

reason

to

set

up

a

Gigafactory

is

strategic

and

long

term.

Our

reason

to

set

it

up

was

never

PLI.

In

fact,

we

actually

started

our

Gigafactory

before

the

PLI

scheme

came

in.

And

that's

the

reason

we

came

into

the

scheme,

because

we're

the

only

ones

who

started

before

the

scheme

even

was

conceptualized.

–

Now,

the

reason

is

threefold,

Rishi,

and

you actually see a version of that playing out with the rare earth thing in supply chain risk. So first reason is long term strategic business continuity and control of your supply chains.

That's
not
just
an
opportunity
for
us
at
Ola
Electric,
but
also
an
opportunity
for
us
to
play
into
in
the
broader
India
context,
as
India's
lithium
cell
needs
to
scale
up.
So

in

that

sense,

it's

a

long

term

strategic

bet.

–

Second,

cell

is

not

a

commodity,

Rishi;

cell

is

a

technology

component.

And

I

write

about

that

in

the

note

also.

You

can

see that paragraph. A lot of the cost benefit is driven through technology, not through just supply coming from another country, unlike solar cells or other components where manufacturing… conversion costs are a majority of the cost of the overall component itself. Cell is not like that.

– And our technology leadership is actually now well established. The first product is 4680 cell. And we also write about our cell technology roadmap where we are leading already beyond the Version 1 of the cell. We already have Version 2 and LFP versions already under development. All of that

will
come
in
step-by-step.
And
we
now,
Rishi,
have
already
proven
this
business
model
in
our
Auto
EV
business.
Look
at
our
gross
margins
versus
look
at
all
other
companies'
gross
margins,
and

that's

a

function

of

technology

and

manufacturing

vertical

integration.

–

So

those

are

the

three

reasons

it

makes

long

term

strategic

sense

to

do

the

cell

in-house,

in

terms

of

capital

returns

purely.

Also,

you

know,

at

5

GWh

itself,

it'll

be

a

reasonable

return.

But

as

we

scale

higher,

the

return

will

only

keep

getting

better.

And

the

scale

can

be

from

our

own

internal requirements, the scale can be potentially from export opportunities that our 4680 cell opens up, the scale can be from BSS opportunities in the future that we might get into in di■erent business strategies. And in none of those cases, do you need PLI to make the business worthwhile. All of this is worthwhile if you have a strong technology leadership in the cell and

if
you
are
building
a
long
term
Indian
supply
chain,
because
the
Indian
market
long
term
is
only
going
to
grow.
So
we
take
a
very
long-term
lens
on
the
strategic
benefit
and

optionality of our cell business.

– Mr. Rishi Vora – Kotak Securities: – Yeah, thanks for that. Just on the provisions, can you just give us the absolute amount of provisions which we took

in

4Q,

and

what

would

be

that

in

the

1
st

Quarter?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Provisions

for

warranty?

–

Mr.

Rishi

Vora

–

Kotak

Securities:

–

Yeah.

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

So

in

4Q,

we

had

called

that

out,

250

crores

of

one-time

provisions.

We

won't

be…

we

can't

share

with

you

exactly

how

much

we

do

quarter-on-quarter

on

warranty

provisions.

But

as

a

one-time

thing,

last

quarter

was

250

crores.

–

Mr.

Rishi

Vora

–

Kotak

Securities:

–

Understood.

And

just

lastly,

on

the

motorcycle

launch,

can

you

just

give

us

how

has

been

the

feedback?

And

I

think

somewhere

I

read

that

we

just

started

with

around

200

touch

points.

So

is

there

a

thought

process

of

when

we'll

be

scaling
it
up
to
all
the
touch
points
which
we
have
at
this
point
in
time?

–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
Yeah.
So
Rishi,

the
feedback
has
been
overwhelmingly
positive.
You
can
yourself
go
on
social
media
and
just
search
for
Roadster
feedback.
You
will
get
all
the
views,
all
the
kind
of
feedback.
Very,
very
positive.

Customers

are

loving

the

bike.

I

myself,

by

the

way,

I

ride

around

Bangalore

on

the

Roadster

X+.

That's

become…

instead

of

a

car,

that's

become

my

major

commute

vehicle.

Almost

always

on

a

signal,

I

get

stopped

and

asked,

“Sir,

Kitne

ki

hai?

kitna

range

deti

hai?”

(“how

much

is

it?

How

much

range

does

it

give?
”)

And

I've

done

some

sales

also,

by

the
way,
on
the
roadside.

–
But
that
said,
see,
the
reason
we
are
scaling
up
a
little
more
in
a
calibrated
way
is
because
it's
a
new
category.
We
want
to
make

sure manufacturing, quality, warranties, all of those are in check as we scale. And hence our production ramp has been more calibrated and gradual. We expect by Navratri to hit the majority of

our
stores,
and
that's
when
the
bike
volumes
will
also
be
starting
to
spike.

–
Mr.
Rishi
Vora
–
Kotak
Securities:
–
And
just
one
last
question.
On
a
sequential
basis,
ASPs

have gone up by 2%, and this is despite the mass market scooter mix going up. So is there a portion of non-vehicle mix that has gone up, which is driving the ASP increase?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

It's

a

mix

of

two

things,

Rishi.

Gen

3

mix

has

gone

up.

If

you

remember

last

quarter,

Gen
3
was
very
small.
And
Gen
3
is
priced
slightly
higher.
Gen
2
is
priced
slightly
lower.
And
second,
obviously,
MoveOS+,
which
also
we
comment
on,
has
been
increasing
in
penetration.

–

In

fact,

I

actually

want

to

use

this

opportunity

to

underline

and

highlight

MoveOS+.

So

a

bunch

of

our

software

features,

especially

the

premium

software

features,

which

frankly,

we

have

the

best

in the industry, given that we do our electronics, hardware and software together in sync. A bunch of those we productize into MoveOS+, and that became subscription for customers. And the penetration rates

of
that
is
now,
actually
on
a
run
rate
basis,
almost
70%.
And
we
expect
through
this
quarter
for
that
to
rise
to
80-85%.
So
almost
everybody
is
buying
the
MoveOS+
subscription,
be

it for premium or for mass scooters. And that also brings in a certain advantage on ASPs.

– Mr. Rishi Vora – Kotak Securities: – Understood. Thank you and all the best.

– Moderator - Mr. Abhishek: – Thank you. We'll take the next question

from

Mr.

Arun

Kejriwal

of

Kejriwal

Consultancy.

Please

unmute

yourself

and

ask

the

question.

–

Mr.

Arun

Kejriwal

–

Kejriwal

Consultancy:

–

Thanks,

Bhavish,

for

giving

me

a

chance

to

ask

you

questions.

At the outset, let me congratulate you on a set of numbers which has caught quite a few of us by surprise. The turnaround witnessed has been phenomenal, to say at the least.

– My question is, sir, one of the objects of the issue was to increase the Gigafactory capacity from 5 GW to 6.4.

Now that we are scaling down the expectation of

the
Gigafactory
to
around
5,
which
would
take
care
of
about
1.2
million
scooters,
what
would
be
the
change
in
our
fundraise
that
we
have
done?
Would
the
objects
of
the
issue
be

sort of tweaked, rechanged and the funds deployed additionally, or what?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Sure, Mr. Kejriwal, thank you for your comments and for your recognition of the numbers. It's been definitely an important quarter for us. And sir, like you say, it's like we gave in our commentary, 5 GWh is what we feel

will

be

enough

through

FY29.

That

covers

roughly

1.2

million

vehicles,

and

that

should

be

enough

for

us,

or

even

if

we

have

some

non-OLA

customers

eventually

that

we

are

selling

our

cell

to.

So

we

don't

foresee

the

need

to

expand

beyond

5

GWh

over

the

next

three

years,

at

least.

–

And

you

are

right,

we

had

raised

some

money

in

anticipation

of

this
expansion
from
beyond
5GWh
in
our
IPO.
As
we
go
along,
we
might
look
to
redeploy
that
capital
into
other
productive
uses.

–
Mr.
Arun
Kejriwal
–
Kejriwal
Consultancy:
–
Right.
So

just
a
related
question
to
this.
Considering
the
fact
that
we
are
now
sort
of
scaling
our
target
for
sales
of
vehicles,
I'm
not
saying
you've
said
that
in
as
many
words,
but

1.2

million

is

what

you

believe

is

where

we

could

be,

say,

till

FY29.

Is

there

a

change

in

the

company

or

your

thinking

of

EV

penetration

going

forward?

Is

there

some

rethink

on

the

way

penetration

is

happening?

Somebody

earlier

had

also

asked

that

prices

are

softening.

Are

customers

a

bit

reluctant

to

buy

EV,

or

what?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing Director, Ola Electric Mobility Ltd: – So Mr. Kejriwal, like I had mentioned in the opening commentary also, the industry is entering a di■erent phase now. Prices are softening a bit, but if you see our ASPs, for example, it is ■at over the last four quarters. So industry is also recalibrating a little, customers are also recalibrating. The early adopters have already adopted EV in full con■dence. And now the middle mass, what we call our customers, which are a little more cautious about new technology, they are starting to consider EVs. Their consideration cycles are a

little
longer.
They
are
looking
at
their
friends
who
have
already
bought
EVs,
and
increasingly
so,
they're
also
getting
converted.
That's
why
the
EV
industry
is
still
growing
at
three
times
the
growth

rate

of

the

ICE

industry.

–

But

we

do

expect

these

next

few

quarters

to

be

a

little

bit

more

steady

in

EV

penetration

growth.

And

then

maybe

another

acceleration

will

happen

as

new products come in, as some of these next set of customers ■nally take decisions at scale to buy EVs, as our own distribution network becomes more productive in the smaller towns of

India, speci■cally on the bike, as 13

Ola Electric Mobility Limited

July 14, 2025

that un locks a new category. So all

of
these
levers
will
be
playing
a
part
in
the
next
phase
of
growth.

–
And
for
now,
the
industry
is
in
a
steady
growth
phase.
It's
still
growing
3x
of
the

ICE industry. But hence, we've also taken up sort of a manoeuvring to consolidate our product, our business, our operations to get ready for the next phase of growth. – Mr. Arun Kejriwal

–

Kejriwal

Consultancy:

–

So

thanks,

Bhavish,

for

that.

Wish

you

all

the

best

and

hope

we

have

some

more

promising

news

when

we

meet

next

quarter.

Thanks.

–

Moderator

-

Mr.

Abhishek:

– Thank you. We'll take the next question from Mr. Vipul Agrawal of HSBC.

– Mr. Vipul Agrawal – HSBC:

– Yeah, thank you. Thank you for taking my question. Sir ■rst of all, congratulations, like you delivered what you said about 68,000 per unit in the 1st Quarter and the cost saving. That's pretty commendable.

– So my ■rst question is on the COGS

side. The cost per vehicle is down from almost Rs. 100,000 to Rs. 90,000 now. The di■erence is around Rs. 10,000. Can you pinpoint certain parts and related cost saving?

– Mr. Bhavish

Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – So Vipul, I can give you a general direction on that. So Gen 3 as a platform has definitely helped. Gen 3…

and
we
had
shared
even
in
August
when
we
had
launched
Gen
3,
that
it
will
be
a
major
change
in
the
cost
structure.
And
that
is
what
has
happened.
This
was
the

■rst real quarter of full Gen 3 and that has led to improvements in the BOM cost.

– Then item-by-item also, our motor, for example, is now in-house. The motor controller is within

the

motor

itself.

All

of

these

things

save

money.

In

the

bike,

for

example,

the

wiring

harness

is

the

■at

wiring

harness,

which

is

a

unique

innovation

by

us.

Our

electronics

are

more centralized, saving some number of ECUs. So all the regular things which I keep saying every time I meet you guys, all of those things have kept on incrementally adding benefit to

us
in
the
gross
margin.

–
Mr.
Vipul
Agrawal
–
HSBC:
–
Sure.
Thanks
for
that.
One
related
question
would
be
like,
on
the
wiring
side,
how
are
you
saving?
Is
that
tech

which is globally not available, or is it something new which you have developed on that front? How does it work?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric

Mobility

Ltd:

–

So

Vipul,

it

is

our

own

in-house

IP

and

we

actually

had

shared

it

in

our

bike

launch

event

in

February.

You

can

see

the

video

references

there.

But

it's

a
much
lighter,
much
lower
cost
to
manufacture
wiring
harness
technology
which
we've
developed
in-house.
And
normally,
again,
I
will
reiterate
this
to
everybody.
Sometimes
we
can
assume
that
suppliers
will
have
better

technology,

but

almost

always

suppliers

never

have

the

leading-edge

technology,

especially

in

cutting

edge

areas

like

EVs.

It

is

OEMs

which

have

the

leading-edge

technologies,

which

over

time,

suppliers

build

slowly,

slowly,

bec

ause

the

incentive

to

build

technology

is

always

with

the

OEM,

not

with

the

supplier.

For

the

supplier,

it's

the

incentive

to

continue

old

processes

because

they're

not

customer

facing;

the

OEM

is

customer

facing.

– Now, that said, as a result, we keep doing our own

R&D,
be
it
wiring,
be
it
motors.
For
example,
our
rare
earth
free
motor
is
something
we'd
started
developing
more
than
a
year
or
two
back.
And
some
of
you
who
visited
our

factory

a

year

ago

would

have

seen

this.

In

fact,

we

were

quite

transparent

about

it.

And

tab

logo

ko

lagta

tha

ki

hum

toh

aise

hi

dikha

rahe

hai

par

ab

wo

sach

ho

raha

hai

(
then

people

thought

that

we

were

just

showing

it

like

that,

but

now

it's

happening

for

real)
.

And

I

think

that's

one

of

the

things

which

we

keep

doing

on

R&D,

and

step-by-step,

they

keep

coming

into

our

products.

–

So

actually,

internally,

in

terms

of

process,

we

have

a

very

rigorous

process

of

two

parallel

roadmaps

-

one

is

a

product

roadmap

and

one

is

a

technology

roadmap.

And

as

technologies

go

above

the

technology

maturity

ladder,

we

keep

bringing

them

into

our

product

roadmap.

So

it's

a

very

rigorous

process

that

we

run within the company of two parallel roadmaps.

– Mr. Vipul Agrawal – HSBC: – Understood. Sir, like you mentioned, OEMs have a cutting edge technology. I agree to that point. So

coming
to
the
cell
business
on
the
same
front,
you
will
be
increasing
from
1.4
GW
to
5
GW
now.
And
globally,
on
the
cell
manufacturers,
it's
tough
for
them
to
cross
15%

EBITDA margin level. Even for the small players, it is less than… it is high single digit, double digit. So how do you see pro■tability on your business? Like, maybe when you go

from

1.4

to

5

over

the

next

2

to

3

years,

how

will

cash

burn

will

go

down?

Or

maybe,

if

you

can

touch

a

bit

on

technical

part

of

it,

how

are

you different from the Chinese cell manufacturers or Korean manufacturers? If you can touch a bit on that.

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – See

Vipul, ■rstly, small correction there, it's GWh (gigawatt hour), not GW (gigawatt). Gigawatt power ka hota hai, cell ka energy hota hai (Gigawatt is for power, whereas for cell it’s energy). I just want us to be technically correct.

–

So on the cell… See, ■rstly, I would like all of you to look at us as a vertically integrated cell manufacturer, not a standalone cell manufacturer. That makes a world of difference in business model and cost structures. Firstly, I have to only build one or two cell platforms. If you think of a standalone cell company, they

build

multiple

cell

platforms

for

multiple

customers,

whereas

I

am

only

building

the

4680

platform.

Hence,

my

manufacturing

is

linked

to

that,

my

R&D

is

linked

to

that.

–

Now

I'm

building

a

platform

which

can

be

used

in

my

products

and

global

products

also

bec
ause

it's

a

fairly

industry

standard

platform.

But

I'm

not

building

pouch

cells,

I'm

not

building

prismatic

cells,

I'm

not

building

2170,

I'm

not

building

1865,

I'm

not

building

some

other

concept.

I'm

only

building

a

future

industry

standard

cell

platform.

And

hence

that

limits

my

manufacturing

and

R&D

requirements.

–

Second,

since I'm vertically integrated, I have a large anchor customer, I have less SG&A costs, as well as an immediate benefit on springing up my production basis, my internal customer. And the same

cell
will
go
into
other
non-automotive
products
also,
like
home
energy
storage,
etc.,
in
the
future.
There
are
other
verticals
where
we
can
get,
I
would
say,
revenue
without
having
to
build
new

cell platforms. So that is the essence, Vipul, what differentiates us versus a standalone cell company.

–

And good cell companies have mid-teens EBITDA margins. Our cost structure will actually, over time,

get

better

than

them

on

OpEx.

On

gross

margins

and

BOM

cost,

large

cell

companies

will

have

an

advantage

over

us

till

we

become

large

enough.

But

there's

also

an

arbitrage

on

duties,

etc. on bringing these cells into India. So all of that balances out into a balanced business model opportunity for us.

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14,
2025

–
Mr.
Vipul
Agrawal
–
HSBC:
–
Thanks.
Just
last
one
question
on
the
yield
part.
So
how
has
your
yield
improved
over
the
last
six

months?

And

second

would

be,

you

are

already

importing

cells

from

other

suppliers.

And

when

you

are

producing

by

yourself,

what

sort

of

break-even

you

would

have

at

the

cost?

What

kind

of

yield

you

would

need

at

Ola's

plant

and

what

kind

of

production

you

would

need

at

Ola's

plant

to

break

even

with

the

cost

of

import

at

this

point

in

time?

Any

math

you have done around that?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd:

– Yes, absolutely, Vipul. Good question. Our yields right now are in the 60-odd

percent
range,
which
is
what
I've
shared
about
a
month
and
a
half
ago.
We
are
ramping
up
with
a
balance
of
two
KPIs.
One
is
yield
and
one
is
output,
the
scale

of

output,

because

both

have

to

go

up

in

hand

and

we

are

in

that

ramp-up

phase.

Through

this

year,

we

are

going

to

be

in

that

ramp-up

phase.

–

The

break-even

on consolidated operational costs of building our own cell, putting it in our vehicle versus buying the cell from outside? The break-even point is around 3.5 to 4 GWh at about low 80s of yield. That's the break-even point. So at 5 GWh, we'll actually be slightly more than just break-even.

– Mr. Vipul Agrawal – HSBC: – Understood. That's all really helpful. Thanks.

– Moderator

-
Mr.
Abhishek:
–
Thank
you.
We'll
take
the
next
question
from
Amyn
Pirani
of
JPMorgan.
You
can
unmute
yourself
and
ask
a
question.

–
Mr.
Amyn
Pirani
–
JPMorgan:
–
Yes,

hi.

Thanks

for

the

opportunity

and

congrats

on

the

strong

sequential

improvement.

It’s

in

li
ne

with

what

you

highlighted

in

the

last

quarter.

I

had

a

question

on

the

ABS.

Interesting

comments

from

you.

So

I

just

want

to

understand.

So

right

now,

are

you

saying

that

you

will

be

assembling

the

ABS?

Are

you

making

some

of

the

subcomponents?

–

And

a

related

question

would

be

that,

even

right

now,

for

the

CBS

that

goes

into

most

of

the

scooters,

are

you

also

doing

a

lot

of

it

in-house?

Some

colour

on

that

will

be

helpful.

–

Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd:

– So Amyn, the CBS is a simple component. We probably do a portion of the engineering of that in-house

and
some
of
it
must
be
brought
out
by
suppliers.
But
for
the
ABS,
what
we're
doing
is,
we
are
engineering
the
whole
thing
in-house,
and
we
will
work
with
some
suppliers
to

build

some

components

of

it

and

some

we

will

build

in-house.

Because

as

you

know,

we

don't

manufacture

everything

in-house.

Some

of

the

more

traditional

processes

like

fabrication,

castings

or

others,

machining,

etc.,

we don't do those things in-house. But we'll definitely design the whole thing. Electronics, software, these are more critical components over there, which is what we will be integrating largely in-house.

Ola
Electric
Mobility
Limited

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2025

–
Mr.
Amyn
Pirani
–
JPMorgan:
–
Okay,
understood.
And
secondly,
just
slightly
on

the number's thing. I think last quarter, obviously, there was this challenge of Vahan registration not re■ecting entirely with what your numbers were. This quarter also, and please correct me if I'm wrong, it seems that there is some difference. So if you can explain the difference in your deliveries' number between and between what we can see on Vahan?

– And the related question is,

if

we

actually

take

your

deliveries'

number

and

the

industry

number

that

you

have

on

your

shareholders

letter,

your

market

share

actually

should

be

much

higher.

So

just

trying

to

understand

if

there

is

still

any

lead

lag

into

the

deliveries

and

the

registration

number.

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Yeah,

so

Amyn,

good

question.

I'll

take a minute and explain this in 2-3 levels. So ■rstly, last quarter, we had a lag on deliveries and higher Vahan. Hence, our revenue was lower, Vahan was higher. That delta is almost

the

same

delta

in

the

opposite

direction

this

quarter.

So

we

have

a

slightly

higher

delivery

number

and

a

slightly

lower

Vahan

number

than

delivery

number.

So

that's

because

of

the

covering

up
of
last
quarter
in
this
quarter.
So
Feb,
March,
April
were
the
impacted
months,
and
April
onward,
we
have
started
covering
up
that
delivery
gap.
–
Market
share,
you
can
say
is

it a function of registrations or is it a function of deliveries? Both are di■erent de■nitions. So I will leave the market share question out of this. In the end, roughly, our market share is in the high teens or 20% thereabouts right now. So

let's leave it there.

–

Speci■cally on our delivery backlogs, our business model fundamentally has… traditionally in the last 2-3 years run a backlog on deliveries. Whereas our traditional business model, automotive dealership will not run a very large backlog; they will finish off all the deliveries in 3-4 days. Whenever a customer

places
an
order,
the
order-to-delivery
cycle
is
3-5
days.
For
us,
even
now
it
is
higher
than
that.
And
that
is
actually
a
room
for
improvement
to
drive
more
volumes
itself,
because
some

of

the

customers

we

lose

because

they

say,

“aapka

gadi

mereko

10-15

din

baad

mil

raha

hai

toh

me

abhi

nhi

karidunga”

(“We

are

getting

delivery

of

your

vehicle

10-15

days

later.

So

I won't buy now.")

So, we are focused on improving that through this quarter and next. And as we improve, we do expect some incremental demand from this also.

– Mr. Amyn

Pirani

–

JPMorgan:

–

Okay,

great.

Thank

you.

Thanks

for

the

opportunity.

–

Moderator

-

Mr.

Abhishek:

–

Thank

you.

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–
By
the
way,
since
this
time
there
is…
it
seems
to
be
there
are
more
questions,
so
we
would
be
happy
to
stretch
another
15
minutes
if
anybody
would
have
any
questions.

So up to the audience, if you want to ask me questions, we are here.

– Moderator - Mr. Abhishek: – Thank you, Bavish. We'll take the next question from Mr. Raghvendra

Goyal
of
Ambit.
You
can
unmute
yourself
and
ask
the
question.
17

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–
Mr.
Raghvendra

Goyal

–

Ambit:

–

Thank

you.

Thank

you

so

much

for

the

opportunity

and

congrats

for

the

great

set

of

numbers.

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Would

you

be

a

little

louder,

please,

Raghavendra?

–

Mr.

Raghvendra

Goyal

–

Ambit:

–

Hello.

Yeah.

Is

it

better

now?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Better.

–

Mr.

Raghvendra

Goyal

–

Ambit:

–

Yeah.

So

I

just

wanted

some

sense

of

for

Cell

business,

we'll

be

commercializing

it

fully

next

year.

So

at

least

for

next

one

or

two

odd

year,

we

can

assume

we

won't

be

selling

it

to

any

third

party

or

any

third

OEMs,

in

that

sense.

We

won't

be

looking

at

that direction, right?

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Raghvendra, we are not right now focusing on selling our cell to other OEMs. But what we are exploring on a little bit of R&D stage, is de■nitely using our cell to build battery storage for homes and for grid. So not that we are doing any capital allocation to that as a business opportunity. But as an R&D, we are definitely exploring that. Over the next few quarters as our cell operations scale up and stabilize, we will definitely look to enter into those dimensions before we actually go to other OEMs.

– Mr. Raghvendra Goyal – Ambit: – Okay. Sure. And second thing on this, if you can give a quick brief

about

who

all

would

be

our

customers

for

bike?

If

we

have

gotten

any

interest.

So

are

these

the

one

who

were

preferring

a

pure

100cc

motorcycles

or

they

were

evaluating

EV

scooters
and
then
shifted
to
bike?
So
any
sense
on
cannibalisation
of
our
existing
products
or
any
qualitative?

–
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
So

Raghvendra, cannibalisation of our scooters, we are not seeing, because as you can imagine, two very di■erent audiences. In fact, we are seeing a lot of interest from semi urban or smaller towns

also
for
this
bike.
So,
what
that
would
mean
is,
we
would
be
starting
to
get
consideration
in
the
customer
cohort,
which
is
the
100-125cc
range,
100-110cc
more
or
so.
So,
but
still

early. Over the course of this quarter, we will actually see how it plays out.

–

Mr. Raghvendra Goyal – Ambit: – Sure. Thank you. That was all from my side.

–

Moderator - Mr. Abhishek: – Thank you. We'll take the next question from Mr. Pramod Amthe of InCred. You may unmute yourself and ask the question.

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– Mr. Pramod Amthe – InCred Capital: – Yeah. Thanks for the opportunity. Two questions on gross margin. If

I had to look at your gross margin versus the other two-wheeler conventional makers or ICE OEMs, it looks very near to them. And if I add on to the PLI benefit as

and
when
you
claim,
you
seem
to
be
much
nearing
to
the
same.
In
that
context,
I
wanted
to
understand
your
thought
process.
How
do
you
see
the
PLI?
Do
you
see
it

retaining

with

yourself,

or

to

drive

your

ambitious

volume

guidance,

you

think

you

need

to

pass

it

on

to

the

consumer

■rst?

Second…

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric Mobility Ltd: – Sorry, let me answer your first question and then I'll go to the next. No, that's a good question, Pramod. Firstly, you know, good that you recognized how our gross margins have improved. And like we said, we are going to actually further see improvement even before the PLI improvement; on top of that PLI will come in.

–

So our

gross
margins
for
EVs
will
actually
get
very
competitive
with
ICE
over
the
next
year
or
two.
And
we've
been
saying
this
for
the
last
year,
that
as
our
vertical
integration
strategy
scales,

as our subsequent generations of products keep coming in, we will keep getting benefit on gross margins. So that story will keep playing out for us.

– Secondly, on PLI, the way we

look
at
our
margins
is,
we
will
manoeuvre
around
industry
dynamics
as
and
how
they
evolve
and
use
our
margins
accordingly.
So
there's
nothing
that
I
want
to
share
today
in
terms
of

pricing
strategy.
But
as
industry
manoeuvres
around
it,
we
will
de■nitely
manoeuvre
around
it
too.

–
Mr.
Pramod
Amthe
–
InCred
Capital:
–
Because
the
reason
to
ask
that
is
also,
if

you

have

seen

in

case

of

some

of

the

electronic

products,

the

PLI

is

already

passed

on

in

the

highly

competitive

environment.

So

you

were

once

the

leader

and

there

is

a

possibility

to
come
back
to
leadership,
considering
your
advantage.
So
that's
the
reason
to
ask
you.

–
Second
one
is
with
regard
to
the
motorcycles
versus
scooters,
how
do
you
see
the
gross
margin

profile emerging as we progress a couple of quarters down the line as the EV penetration in motor cycles may also start to improve? – Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Promod, the gross margin pro■le for scooters and bikes for us will be very similar. The reason is the bikes are also built on the Gen 3 platform.

So in that sense, the components, the engineering, and the supply chain are all the same, and in fact, the manufacturing lines are also the same. So we don't feel any major di■erence in the gross margin pro■les.

– On motorcycles, the area we are focused on a lot as a management team is making sure the product quality in the ramp-up phase remains high quality so that potential warranty risks don’t happen. Because it’s the first generation… it’s the first product in both motorbikes. We want to make sure… and that's the reason we are being a little more calibrated in the ramp-up, and that calibration strategy seems to be paying o■ for us in terms of product quality of the bike. – Mr. Pramod Amthe – InCred Capital: – And, you see the end product pricing situation is different in the case of motorcycles versus the scooter, what it brought into the table as a value proposition?

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–

Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd:

–

The pricing is largely similar,

Promod.

The

motorbikes

for

us

start

at

Rs.

99,999

for

a

2.5

kWh

product.

I

think

the

S1

starts

at

2

kWh.

So

each

motorbike

variant

has

a

little

bit

higher

battery

for

us versus the equivalent scooter variant. So that is the real price differential—Rs. 5,000 to Rs. 10,000 over the scooter variant. – Mr. Pramod Amthe – InCred Capital: – I appreciate the pricing points, which are well discovered. I was looking at it more from a competitive dynamics of ICE versus EV, and hence your capability to get the pricing. – Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Yes. So Promod, our ability to lead with pricing is a function of our margin profile, and the margin profile in bikes will be the same as scooters. So in that sense, as the market evolves for EV bikes, we will de■nitely be competitive and aggressive. Even vis-à-vis ICE bikes, our EV pricing is already reasonably close. It's

not
exactly
the
same
but
reasonably
close.
And
with
maybe
another
generation
of
bikes
next
year
onwards,
we'll
actually
be
equal
to
or
lower
than
ICE
bikes
also
in
pricing
for
the
equivalent

product. – Mr. Pramod

Amthe – InCred Capital: – Sure. And the second, or the third one is with regard to the cell. As you are almost about to commercially productionize the cell, and I hope you are already testing it on your vehicle, what to look forward to as a customer bene■t other than as we are looking for my investor, to change the

product

positioning

much

better

in

the

marketplace?

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Pramod

the

great

point

again.

You’ve

asked

some

very

relevant

questions.

So

the customer bene■t of the cell is 2-3 things. Firstly, it’ll have a very di■erent charging performance because it is a bigger cell, more capable cell.

–

Second, it’ll allow you to pack

more energy. So, for example, the first products in which the cell is coming are the 9.1 kWh Roadster X and the 5.3 kWh S1 Pro, and these are really high-range vehicles, which for some customers, makes a lot of difference.

– And thirdly, for us, the benefit obviously is that the cost of using these cells keeps coming down. And now, once this 4680 platform

is

established,

then

every

year

as

our

cell

technology

improves,

we

keep

improving

the

energy

density,

and

hence

cost,

without

making

any

changes

to

our

manufacturing

process.

So,

you

know,

that’s

a

very
meaningful
point
for
us
and
for
the
customer.

–

So
imagine
today
the
4680
gives
you
a
5
kWh
range;
one
year
from
now,
the
same
pack
will
give
you
5.5
kWh

of

range

without

anything

changed

from

our

manufacturing

because

it’s

just

the

technology

recipe

in

the

cell

that

we

will

change.

The

speed

at

which

we

can

bring

these

iterations

in

the

market

is
much
better
than
competition
relying
on
vendor
cells.
–
Mr.
Pramod
Amthe
–
InCred
Capital:
–
Sure.
Thanks,
and
all
the
best.
–
Moderator
-
Mr.
Abhishek:
–
We'll
now
take
the

last question from Mr. Ajox Frederick. You may unmute yourself and ask the question, please.

20

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–

Mr.

Ajox

Frederick

–

Sundaram

Mutual

Fund:

–

Hi,

hi.

Thanks

again

for

taking

the

question.

Sir,

my

question

is

from

a

near-term

perspective.

Of

this

325K

vehicles

which

we

aspire

to

sell

for

the

year,

how

much

are

we

penciling

in

for

the

bikes?

Or

in

that

range?

Just

a

broader

stroke

could

give

us

some

clarity?

–

Mr.

Bhavish

Aggarwal

-

Chairman
and
Managing
Director,
Ola
Electric
Mobility
Ltd:
–
Sorry,
Ajox,
could
you
repeat?
We
lost
you
in
the
middle.
–
Mr.
Ajox
Frederick
–
Sundaram
Mutual
Fund:
–
So
I
wanted
to

understand how much of this aspired 325K or 350K vehicles for the year are we penciling in for the bikes? – Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd:

– So, Ajox, today, we’re not sharing that speci■c guidance, but we do expect 15–20% should be a reasonable target for bikes.

– Mr. Ajox Frederick – Sundaram Mutual Fund:

– Okay, okay.

Got it. So 30K per month is more driven by the industry its elf picking up, and the festive also helping us. Got it.

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Yes.

– Mr. Ajox Frederick – Sundaram Mutual Fund: – And secondly, sir, on the revenue front, 4,200 crores, how much of that is battery in that? Or do we not add battery in that guidance? – Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – That’s consolidated revenue, Ajox. So battery, since we are only selling

it
to
ourselves,
there’s
an
arm’s
length
transaction.
So
we’ve
consolidated
all
of
that.
–
Mr.
Ajox
Frederick
–
Sundaram
Mutual
Fund:
–
Got
it,
got
it
sir.
That’s
just
a
couple
of

clarifications from my side. Thank you.

– Moderator - Mr. Abhishek: – Thank you. We’ll take the next question from Mr. Udit Jaiswal. If you can unmute yourself and ask the question.

–

Mr. Udit Jaiswal – Participant: – Congratulations, Bhavish, on great results.

– Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd: – Were you the same guy who messaged me

on

social

media?

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Electric

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–

Mr.

Udit

Jaiswal

–

Participant:

–

I

think

so.

–

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Ltd:

–

Okay,

go

ahead,

ask

your

question.

–

Mr.

Udit

Jaiswal

–

Participant:

–

I

just

have

a

quick question about battery as a service, which your competitions have started to o■er. Is there any plan for Ola Electric on that front?

–

Mr. Bhavish Aggarwal - Chairman and Managing

Director, Ola Electric Mobility Ltd: – No, Udit. We have a product on the removable battery, which is the Gig and the Gig+. But as of now, we have not kicked o■ the

manufacturing

of

that.

We

will

do

that

as

the

market

matures.

–

Mr.

Udit

Jaiswal

–

Participant:

–

Okay,

that

was

my

question.

I

think

all

the

questions

already

covered.

Thank

you

so

much for taking my question.

– Moderator - Mr. Abhishek: – Thank you so much. With this, we will have to end our session here. We really appreciate your time and all of

your

questions

during

the

call

today.

Thank

you

so

much

for

joining

us,

and

we

look

forward

to

meeting

you

all

during

the

next

Earnings

Conference.

Have

a

good

day.

–

END

OF

TRANSCRIPT

22

Call: Nov 2025

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)
Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Bengaluru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
Date: November 07 , 2025
To,
National Stock Exchange of India Ltd.,
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225
SUBJECT: T RANSCRIPT OF EARNINGS CONFERENCE CALL WITH ANALYST S/INV ESTORS HELD ON NOVEMBER 06, 2025 PERTAINING TO THE UNAUDITED STANDAL ONE AND CONSOLIDATED FINANCIAL RESULTS FOR THE SECOND QUARTER AND HAL F YEAR ENDED SEPTEMBER 30, 2025.
Dear Sir/ Madam,
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, (“SEBI Listing Regulations ”), please find enclosed herewith the transcript of the e arnings conference call with analysts and investors held on Thursday, November 06, 2025.”
The said transcript is also being made available on the website of the Company and can be accessed at the following link: https://www.olaelectric.com/investor -relations/announcements .
We request you to take the above on your record.
Thanking You,
Yours faithfully,
For and on behalf of OLA ELECTRIC MOBILITY LIMITED
Abhishek Jain
Company Secretary and Compliance Officer
Membership No.: A62027
Place: Bengaluru
Encl: As above

Ola

Electric

Mobility

Limited

Q2

FY26

Earnings

Conference

Call

November 06, 2025

Management: Mr. Bhavish Aggarwal – Founder, Chairman and Managing Director, Ola Electric Mobility Limited

Mr. Harish Abichandani – Chief Financial O■cer, Ola Electric Mobility Limited

Mr. Abhishek

Chauhan

–

Director,

Corporate

Communications

&

PR,

Ola

Electric

Mobility

Limited

Ola

Electric

Mobility

Limited

November

06,

2025

-

Moderator:

-

Ladies

and

gentlemen,

good

day

and

welcome

to

Ola
Electric
Q2
FY26
Earnings
Conference
Call.
As
a
reminder,
all
participants
will
be
on
‘listen-only’
mode
and
there
will
be
an
opportunity
for
you
to
ask
questions
after
the
presentation
concludes.
Please

note that this conference is being recorded.

- Before we begin, a few quick announcements for the attendees. Anything said on this call which reflects our outlook for the future or which could be construed as a forward looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of future performance and actual results may di■er from those statements.

-

To

begin
with,
I
would
like
to
request
Bhavish
Aggarwal,
Chairman
and
Managing
Director
of
Ola
Electric,
and
Harish
Abichandani,
CFO
of
the
company,
to
take
you
through
the
results.

-
Mr.
Bhavish

Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Thank you, Abhishek, and good to meet everybody again after 3 months. Again, I am going to largely keep time for Q&A.

My
comments
are
going
to
be
very,
very
brief.
We
published
a
shareholder
letter
in
good
time
this
time
and
I
am
assuming
most
of
you
have
gone
through
it.

Highlights

-

Couple of highlights. It's been an important quarter for us. Our Auto business has continued its progress towards strong profitability. Specifically, I want to highlight our gross margin, 30.7% gross margin, much better than many ICE companies also. And this has been consistent with our strategic focus over the last 2-3 quarters.

- Auto business also turned cash-generative with underlying cash■ow from operations of ■ 15

crores.

- This quarter also commissioned our Gigafactory, 2.5 GWh capacity, and by March we will be scaling up to 5.9 GWh.

- In October, we launched, expanded into the energy segment with Ola Shakti. It's India's first residential BESS product and is built with our own in-house 4680 cells. This should drive new revenue streams and grow the Gigafactory utilization.

- So, I

am

going

to

pause

here.

I

am

going

to

open

up

for

questions

and

through

questions,

answer

many

of

your

queries.

Q&A

Session

-

Moderator:

-

Thank

you,

Bhavish.

We

will

now
begin
with
the
question
and
answer
session.
Anyone
who
wishes
to
ask
a
question
may
use
‘raise
hand’
option.
If
you
wish
to
remove
yourself
from
the
question
queue,
you
may
press

‘raise hand’ option once again. Participants are requested to unmute themselves before asking the questions. Before asking the questions, we request you to introduce yourself with your full name and your organization. Ladies and gentlemen, we will now wait for a moment while the question queue assembles.

- Thank you everyone. We will take the ■rst question

from
Mr.
Chandramouli
from
Goldman
Sachs.
Sir,
you
may
unmute
yourself
and
ask
your
question.

-
Mr.
Chandramouli
-
Goldman
Sachs:

-
Hi,
can
you
hear
me?

-
Moderator:

-

Yes,

we

can.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Hi,

Chandru.

-

Mr.

Chandramouli

-

Goldman

Sachs:

-

Hi,

Thank

you

for

taking

my questions. First question is just on the BESS business. So, I just want to understand what the building blocks of the assumptions are on your guidance for FY27 full year revenues there.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- See, Chandru, ■rstly, important point to highlight in the BESS business is that a lot of the

manufacturing
and
R&D
is
all
shared
between
our
Automotive
and
BESS
business.
It's
the
same
battery
pack
that
goes
into
our
Roadster.
The
same
4680
cells
go
into
our
Shakti
product
as
going

to
our
automotive.
Now,
if
you
look
at
the
opportunity,
and
we
launched
it
in
October,
we've
gotten
a
very
good
response.
So,
a
lot
of
reservations.
The
product
goes
into
the
market

in around mid-January and goes into market across all our 2,500-3,000 stores. So, in that sense, we have very strong distribution also.

- The current market that it addresses, it's a first of its

kind

product

which

is

built

in

India,

but

the

market

it

addresses

is

the

current

in
verter

market,

which

is

largely

lead

acid

or

even

the

diesel

generator

used

in

homes,

used

in
small
SME
or
small
commercial
establishments.
And
it
also
complements
the
rooftop
solar
market
growth
because
rooftop
solar,
as
it's
growing
with
the
government
push
behind
it,
most
of
those
installations
will

have
some
version
of
home
battery
storage
installed
with
it.
So,
those
are
the
market
directional
inputs
that
are
important
for
all
of
us
to
understand.

-
In
terms
of
numbers,
see,
the

average selling price for this product is at the upper end, a ■ 2 lakhs product, at the lower end, ■ 50,000 product. So, an average selling price of about, you know, ■ 1.25- ■

1.50 lakhs would be the average blended selling price. So, then if you just add that next quarter, we have said Q4, which is when it launches, we should do about a

■
100

crore revenue, which means about 7,000-8,000 products sold through the quarter, which we feel fairly con■dent in doing.

- And through FY27, a ■ 1,000 crore number to us seems to be a median guidance on what we can achieve. You know, that's about ■ 250- ■ 300 crores a quarter. So, the demand for this is fairly high and our distribution, our pricing, all is industry

leading
here.
And
also,
despite
the
pricing
that
we've
in
this
category
also
started
with
a
competitive
pricing,
despite
that
our
gross
margins
are
going
to
be
fairly
healthy.
Just
like
in
our

Auto business, as you've seen, our gross margins have continued to improve. Even here, our gross margins will start o■ in a very healthy way.

2025 - Mr. Chandramouli - Goldman Sachs:

- Got it. That's helpful. Second bit is just around the ASP reported this quarter. So, it looks like the two-wheeler business ASP has increased from sort of ■ 121,000 to ■ 131,000. Is most of that because of slightly better PLI realization or is there any other insight you can share with us on the mix of products? Maybe what

the

quarterly

average

on

motorcycle

mix

was?

Any

additional

color

you

can

share

there?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Chandru,

PLI

in

this

quarter

was

also

minimal

only

and

we

have

a

chart,

we

have

a

graph

towards

the

end

in

the

annexures

which

shows

you

a

gross

margin

without

PLI,

gross

margin

with

PLI.
So,
PLI
in
the
30.7%
gross
margin
was
only
two
points.
So,
PLI
on
our
Gen
3
came
in
only
towards
the
end
of
the
quarter.
So,
in
Q3,
which
is
this

quarter, we will see a further uptick in gross margin due to PLI.

- Now, the ASP is improving because we are able to increase the attachments of our add-ons like MoveOS+,

which

is

the

software

subscription,

as

well

as

to

some

extent

accessories,

etc.

We've

also,

you

know,

our

Gen

3

products

give

us

a

broader

range

of

pricing.

The

4680

products

are

priced

on the higher end, higher range. Even the Pro Plus products came into market in Q2. So, due to a broader range, our ASP also got a certain benefit due to that.

And
our
motorcycles
also
have
a
slightly
higher
average
pricing
than
the
scooter
given
the
higher
battery
pack
sizes
on
average.
So,
those
are
the
reasons
why
ASPs
went
up.

-
Important
point

to note also is our pricing in the market is still competitive. We are, compared to like-to-like to our competitors, still slightly lower on pricing index versus what they are. Despite that, our

gross

margins

are

very

healthy.

-

Now,

another

point

I

want

to

make

on

this

as

we

are

on

this

topic

is,

you

know,

the

Auto

two-wheeler

EV

industry

has

been

largely

That over the last few months, last 2-3 quarters especially, through this calendar year. And our strategy has been to use this time to consolidate our operations, focus on cost efficiencies, improve our gross margins, get the new product, which is our Gen 3 product, into the market, launch the motorcycles in a credible way and also ■x some of the frontend operational challenges that we

have
been
focusing
on
for
the
last
couple
of
quarters.
And
this
strategy,
you
know,
we
believe
is
setting
us
up
very
well
for
the
next
phase
of
growth
that
will
start
once

the mass sort of more value-conscious customer starts buying into EVs.

- So, in that sense, you know, the company, the products, the gross margin, the product differentiation, the business model, cost structure,

all
is
now
primed
for
the
next
wave
of
growth
coming
up.

-
Mr.
Chandramouli
-
Goldman
Sachs:

-
Got
it.
That's
helpful.
And
just
lastly,
if
you
could
just
help

us

with,

I

think

there's

a

comment

in

the

shareholder's

letter

that

the

exit

run

rate

for

motorcycles

was

about

15%

of

total

volume

but

just

the

quarterly

run

rate

for

the

entire

quarter, if you could just give us some more clarity on what the electric motorcycle mix was for the September quarter?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility

Limited:

-

See,

the

quarterly

run

rate

would

be

around

12%-15%

in

the

Q2

quarter,

overall

volume.

So,

obviously,

over

Q1

we

have

increased

and

we

are

seeing

increased

interest

and

traction

in our

motorcycle business. But like we said earlier, we're taking it in a more gradual sense, rolling it out across the country in a

more
gradual
step-by-step
way.

-
Mr.
Chandramouli
-
Goldman
Sachs:

-
Got
it.
Thank
you
very
much
and
all
the
best.

-
Moderator:

-
Thank
you.
We'll
take
the
next

question
from
Mr.
Arvind
Sharma.
Sir,
you
may
unmute
yourself
and
ask
your
question.

-
We'll
take
the
next
question.
We'll
take
the
next
question
from
Ms.
Nishita
Sankalesha.
If
you
can
just

unmute

yourself

and

ask

the

question.

-

Ms.

Nishita

Sankalesha

–

Participant:

-

Hello?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Hi,

Nishita.

-

Ms.

Nishita

Sankalesha

–

Participant:

-

Yes,

am

I

audible?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managi
ng

Director,

Ola

Electric

Mobility

Limited:

-

Yes.

-

Ms.

Nishita

Sankalesha – Participant:

- Yes. So, I just need a clarification. Did you mention that in FY27 we'll do ■250-■400 crores per quarter from our BESS unit?

- Mr. Bhavish Aggarwal

- Chairman and Managing Director, Ola Electric Mobility Limited:

- We have set an outlook of ■ 1,000- ■ 1,200 crores for the full year. So, we have not really given any speci■c number

for
a
quarterly
number.
I
just
divided
that
by
four
for
the
conversation.
But,
obviously,
it
will
not
be
seen
across
the
quarter,
it
will
scale
up
through
the
year.

-

Ms.

Nishita

Sankalesha

–

Participant:

-

Right.

But

this

is

just

from

the

BESS

unit,

right?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Yes,

this

is

just from the BESS products.

- Ms. Nishita Sankalesha – Participant:

- And the price per unit for BESS would be ■ 1.15 lakh to ■ 1.5 lakhs, if I heard it correctly?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- The upper end is ■ 2 lakhs. And you can

■nd
this
on
our
website,
Nishita

-
Ms.
Nishita
Sankalesha
–
Participant:

-
Okay-okay,
understood.
Thank
you
so
much.

-
Moderator:

-
Thank
you.
We'll
take
the
next
question
from

Ms.
Gunjan
Prithyani
of
Bank
of
America.
Please
unmute
yourself
and
ask
your
question.

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Yeah.
Gunjan,
you'll

have
to
be
a
little
louder
or
closer.

-
Ms.
Gunjan
Prithyani
-
Bank
of
America:

-
Okay.
Couple
of
questions
from
my
side.
Firstly,
follow
up
on
the
results.
Could
you

also
talk
about
what
was
the
progress
on
Gen
3
transition?
Are
we,
you
know,
what
part
of
the
portfolio
has
already
transitioned
fully?
And
any
reason
for
PLI
still
being
lower?
I

mean, what stage of PLI certi■cation we are for the current portfolio?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Gunjan, Q2 was almost all Gen

3.

And

now,

since

the

beginning

of

festive,

we've

stopped

Gen

2

completely.

So,

now

all

our

sales

are

completely

Gen

3.

Q2

was

almost

like

a

high

90%

Gen

3.

-

PLI,

the

Gen

3

scooter

portfolio

already

has

PLI

now.

That

PLI

came

through

towards

the

early

part

of

September.

That's

why

only

a

part

of

our

quarterly

revenue

has

PLI.

But

Q3

onwards,
all
of
our
scooters
have
PLI.
Bikes
PLI
will
come
in
January
or
February.
That's
our
expectation.

-
Ms.
Gunjan
Prithyani
-
Bank
of
America:

-
So,
this
2%
PLI
contribution

will essentially go up more closer to like 10% on a blended basis by next quarter? Is that correct?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- See, if all our revenue gets PLI, in gross margin it will re■ect at about 7-8 points extra. Because our revenue is not just product revenue, right, there is other revenue also.

So,

like

the

add-on

revenue

doesn't

get

PLI,

the

service

revenue

doesn't

get

PLI,

parts

revenue

doesn't

get

PLI,

so

it's

only

the

product

revenue.

So,

7-8

points

is

what

it

will

add

up

in

total

PLI

revenue

once

all

our

products

have

PLI.

-

But

if

I

help

you

draw

a

bit

of

a

margin

walk,

gross

margin

walk,

between

30.7

in

this

Q2.

So,
actually,
our
outlook
is
on
the
gross
margin
higher
than
what
we
thought
in
Q1.
We
do
expect
from
a
full
portfolio
PLI,
Q4
onwards
we
should
be
having
a
gross
margin

of
36%-37%,
which
is
that
extra
5-6
points
that
will
come.
Some
of
it
will
come
in
Q3,
some
of
it
will
come
in
Q4.
Then
on
top
of
that,
there
are
some

06,

further incremental improvements in attachments of our software subscriptions, other accessories which are going to increase. And then the whole parts business

which we

talk

about

in

our…the

whole

parts

business

so

far

was

only

restricted

through

my

own

network.

And,

as

you

know,

most

OEMs

make

about

10%-12%

revenue

and

50%-60%

gross

margin

on

that

from

parts.

So,

now

that's

a

revenue,

we've

just

set

up

a

business

unit

around

that

to

grow

our

parts

revenue.

-

And

we

have

a

very

large

deployed

vehicle

base,

more

than

a

million now, still almost 40%, 50% higher than our nearest competitor in EVs. So, we do expect the parts business to scale up significantly. So, in a couple of quarters if it gets

to

5%-6%

of

revenue,

that's

another

2-3

points

of

gross

margin.

So,

that's

the

rough

ladder

up

to,

let's

say,

high

30%

or

even

up

to

40%.

Some

of

this

we

might

invest

back into growth as the industry gets back into a growth phase over the next couple of quarters.

- Ms. Gunjan Prithyani - Bank of America:

- Got it.

- Mr.

Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- And I'll comment on industry growth also. See, our read of the market is that the market grew a lot

over
the
last
couple
of
years.
And
for
the
last
one
year,
it
has
stabilized
because
the
early
adopters
have
already
adopted
EVs.
Now,
it's
the
mass
market
customer
who
needs
to
get

convinced

about

the

EV

proposition.

The

commercial

proposition

they're

convinced

with

but

the

general

reliability

of

a

new

technology,

charging

network,

service

network,

etc.,

still

needs

some

work.

And

we

also

still

need

to

do

some

work

in

that

direction,

which

is

what

we

are

focused

on

with

our

Hyperservice

initiative,

where

we

are

expanding

the

network

beyond

company-owned

service

centers

as

well

as

opening

up

parts

for

open

purchase.

So,

as

the

next

set

of

customer

base

comes

into

the

EV

purchase

industry,

we

will

actually

be

well-poised

to

scale

that

up,

including

having

the

gross

margin

to

invest into surgical growth opportunities.

- Ms. Gunjan Prithyani - Bank of America:

- Okay, got it. My second question is on the warranty cost that was dragging for the last couple

of

quarters.

N
ow

that

we've

transitioned

to

Gen

3,

more

or

less

for

the

entire

portfolio,

can

you

share

a

little

bit

more

on

where

we

are

on

the

warranty

cost

and

what

are
the
initial
feedback
on
Gen
3
in
terms
of
how
should
we
think
as
a
sustainable
warranty
cost?

-
And,
Bhavish,
maybe
because
you
covered
industry
growth,
I
mean,
it
will

be

good

to

have

your

comments

on

the

market

share

as

well

because

that's

clearly

something

which

has

been

underwhelming.

So,

some

thoughts.

What

is

the

reason

for

it?

How

should

we

think

about
a
more
stable
market
share
for
Ola?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
See,
our
brand
proposition
to
the
customer
is
great
product,

competitive

product

in

terms

of

performance,

range,

technology,

superior

value

so

that

customer

gets

a

good

product

at

a

reasonable

price,

which

is

very

important

in

case

of

a

two-wheeler,

and

ownership

experience.

Now,
two
out
of
these
three
has
been
very
good
for
us.
We
are
working
on
the
ownership
experience,
which
is
a
service
network.
It
has
been
slightly
more
challenging.
And
some
of

the
challenges,
by
the
way,
are
not
just
company
linked.
Some
of
the
challenges
are
because
we're
the
largest
EV
company,
the
largest
deployed
vehicles
in
the
market,
we
actually
face
the
largest

challenge of trained technicians also. The industry does have a shortage of EV trained technicians, so it is in some way incumbent upon us to grow the pool of EV trained technicians, which

is

what

the

Hyperservice

initiative

is

looking

to

do.

-

Now,

in

terms

of

our

market

share,

Gunjan,

see,

fundamentally,

our

product

feedback,

especially the Gen 3 product, the quality of that product is much superior to our previous generations and even in our own benchmarks to the market. So, the customer is loving the product.

Bikes also have a good response. 4680 products, which are the higher range products, customers are quite excited about that. We have an order backlog we need to ful■ll on that.

-

So,

we

feel

we

have

all

the

fundamentals

lined

up.

As

of

now,

we

are

focused

on,

a

lot

more

of

our

energy

is

being

spent

on

just

getting

operational

costs

into

shape,

getting

our
operational
excellence
and
execution
excellence
on
our
frontend
in
shape.
Our
backend
and
manufacturing
supply
chain
works
really
smoothly
but
our
frontend,
which
is
where
a
lot
of
my
personal
time
is

also

going.

A

little

bit

of

market

share

up

and

down.

I

know

we're

also

focused

on

growth

but

in

this

interim

period

we

don't

mind

a

little

bit

of

market

share

loss

to

other

guys

who

are

actually

buying

market

share

and

it's

not

that

their

structural

business

model

delivers

them

higher

market

share.

Whereas

our

structural,

our

business

model

now,

our

product

leadership

is

all structural. The gross margin re■ects that and our operating margin also now re■ects that.

- Looking ahead, we do expect market share to increase as the Gen 3 product stabilizes. We do expect market share to increase as our service network further improves and scales up, especially as our parts ecosystem becomes more broader, customer con■dence on buying our vehicle because there is a

very
broad-based
service
ecosystem
also
improves.
So,
that
will
remain
a
focus
over
the
next
couple
of
quarters
going
ahead.
And
at
some
point
also,
we
do
feel
the
competitive
dynamic
of
people

kind

of

playing

for

the

same

market

share

amongst

each

other

will

plateau

and

the

industry

will

have

to

focus

on

getting

the

next

set

of

customers

into

the

industry

and

that's

where

we feel our fundamentals are well-positioned to get the next set of customers into the industry.

- Did I answer all your questions, Gunjan, or you have one or two? I think I answered your market share question but if I skipped anything, I'm happy to answer. You can repeat.

- Ms. Gunjan Prithyani - Bank of America:

- No-no, this is quite useful.

Maybe
if
I
can
just
add
one
more
and
then
I'll
join
back
the
queue.
I
also
wanted
to
get
your
thoughts
on
the
captive
usage
of
the
battery
cells.
When
do
we

expect
that?
Do
you
think
on
terms
of
cost,
we
are
at
parity
now?
What
is
the,
you
know,
what
is
the
yield
on
the
cell
business?
Some
of
those
metrics,
which
you

shared

last

time,

in

terms

of,

you

know,

when

do

we

get

the

parity

for

captive

usage.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

See,

the parity on cell cost will be around 3-5 GWh. That target remains the same. On the cell BOM cost, our cell business will actually make a good gross margin from the beginning because the BOM cost is better than our procurement cost from outside but definitely there will be some yield improvements we'll have to go through. Hence, there will be a journey. That's the

3-5 GWh threshold.

- The rollout of our own cell into our vehicles has started already. The ■rst products were delivered to customers last few days ago and now we are in

the
ramp
period.
If
you
see,
our
number
of
cells
produced
every
quarter
is
also
going
up.
It's
still
very
low
but
the
factory
is
in
a
ramp
period.
This
Q3
quarter,
you'll

see a much more aggressive ramp in the Gigafactory. All the cells right now produced will go into our own vehicles or on the Shakti plant.

November
06,
2025
-
Ms.
Gunjan
Prithyani
-
Bank
of
America:

-
All
right.
Thank
you
so
much.
I'll
join
back
the
queue.

-
Moderator:

-
Thank
you.
We'll
take
the

next
question
from
Mr.
Arvind
Sharma
of
Citibank.
Please
unmute
yourself
and
ask
your
question.

-
Mr.
Arvind
Sharma
-
Citibank:

-
Hi,
hi.
Can
you
hear
me
now?

-
Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Hi,

Arvind.

-

Mr.

Arvind

Sharma

-

Citibank:

-

Hi,

Sir.

How

are

you

doing?

Thank

you

so

much

for taking my questions. I will start with the delivery part. You've given guidance for second half but if we go to FY27, the next year, it's too early for that but still what would be your underlying assumptions for the industry as well as Ola's market share beyond just FY26?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

-

So,

Arvind,

the

guidance

we've

given

for

second

half

is

100,000

units.

We're

also

learning

how

to

give

some

kind

of

outlook.

And

also,

the

industry

is

still,

there

are

enough

moving

parts in the industry. I think what definitely is an important dynamic that we have considered now is the industry growth has slowed down. And this is also a global phenomenon. If you

look

at

Global

EV

industry,

except

for

China,

generally

there

is

a

consolidation

phase

in

the

Global

EV

industry.

And

the

strategy,

leading

companies

which

we

look

up

to,

are

following

also

is

largely
that
in
this
phase
try
and
consolidate
your
operations
and
improve
gross
margins
and
improve
product
quality,
bring
stability
to
the
product
portfolio.
That's
what
we
have
also
focused
on,
Arvind.

- In FY27, we do expect the industry to have an uptick on growth. Now, whether that'll be 20% a year or 30% a year or 15% a year, I think, hard for me to pinpoint a specific number but in that zone we do expect the industry to grow again. We are also focused on, both in the scooter EV segment, consolidating our market share

with
high
gross
margins.
Our
focus
has
been
on
margin
accretive
growth
and
margin
accretive
share
improvement
also.
And
motorcycle
is
a
completely
new
domain
and
motorcycle
domain
will
take
its
own
time

to

grow

but

we

are

the

leaders

there

from

the

start

itself.

-

So,

summary

is,

hard

for

me

to

have

a

guess

on

market

share

but

we

are

absolutely

targeting

a

market

share,

which

is

being

the

number

one

company.

If

you

look

right

now,

everybody's

market

share

has

broadly

become

the

same

at

the

top

and

our

market

share

is

moving

a

little

up

and
down.
But
as
the
industry
shakes
out
with
more
people
stabilizing
their
volumes,
having
a
higher
vehicle
park,
which
they
then
have
to
manage
servicing
of,
I
think
market
share
will
eventually

be 1-2 leading players and a bunch of Tier-II players. Our expectation is to be in that 1-2 leading players with a market share of 25% odd as a target.

Ola Electric Mobility Limited

November 06, 2025 - Mr. Arvind Sharma - Citibank:

- Got it. Thank you, Sir. On BESS, now the commentary on revenue for FY27, that makes it almost

a
third
of
your
revenue
that
you
would
end
up
FY26
with,
which
is
a
very
strong
number.
But
this
is
an
incremental
thing
way
beyond
just
the
vehicles.
Is
it
a
strategy

that

going

just

beyond

two-wheelers?

Could

we

see

Ola

launching

even

more

non-vehicle

products

because

BESS

would

be

a

big

contributor

to

revenue

if

things

are

to

go

the

way

you

have

guided

to?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Absolutely. If you look at a revenue of ■ 100 crore, that is about 6,000-7,000 units next quarter, which is not hard to do at all. 6,000-7,000 units is a very minimal number. And in FY27, a ■ 1,000 crore revenue means about 60,000-70,000 units through the year. Again, all these,

the

inverter

market

is

itself

much

bigger.

The

diesel

generator

market

for

residence

is

much

bigger

than

this.

And

the

solar

growth

is

accelerating.

Home

rooftop,

residential

rooftop

solar

growth

is

itself

accelerating.

-

By

the

way,

this

product

is

not

just

for

homes,

even

Telecom

towers

will

be

using

the

same

capacity

of

battery

storage

as

the

current

Shakti

products

have.

Small

nursing

homes,

hospitals, small commercial establishments, so the potential TAM is very high and we are pretty much by far the ■rst company to bring a fully Indian product. Also, our pricing is very competitive because of our vertical integration. So, we are very confident of this product and meeting those volumes, those revenues.

- And if you remember, even our EV volume and revenue also grew

with

a

similar

hockey

stick

in

the

beginning.

So,

there

is

always,

in

any

new

category,

early

adopter

journey,

which

we

expect

in

FY27,

our

Shakti

product

to

have.

Whether

it

contributes

one-third

of revenue, half of revenue, 25, that's just mathematical but our target as a company is to have a ■ 1,000 crore revenue minimum next year from our Shakti product.

- Mr. Arvind

Sharma - Citibank:

- All right. Thank you, Sir. And if I may just squeeze in a very quarter speci■c question. We see the employee cost has gone down signi■cantly, is it a

sustainable
rate?
And
similarly,
on
the
other
expenses
side,
it's
not
really
gone
down
versus
the
volume,
there
will
be
lots
of
contributors
to
it.
But
if
you
could
throw
a
quick
light

on

these

two

aspects

of

the

quarter?

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

See,

employee

cost,

when

it's

high,

people

ask

‘Why

it's

high?’

and
when
it's
low
they
ask
‘Why
it's
low?’.
But
jokes
apart,
see,
we
are
consolidating
our…You
know,
just
a
little
bit
of
history,
a
reminder
for
everybody.
This
is
a
4-year
old

company,
so
when
we
grew
like
crazy,
we
did
overbuild
some
organizations
because
that's
the
way
how
to
manage
crazy
growth.
You
cannot
have
growth
and
pro■tability
and
consolidation,
cost
consolidation
all
at

the

same

time.

But

we

have

used

the

last

6

months

to

really

consolidate

our

costs,

including

in

people.

And

this

is

completely

sustainable.

-

In

fact,

in

Q3

and

Q4

there'll

be

further

cost

optimizations,

both

on

people

but

more

so

in

the

non-people-linked

operational

costs.

You

know,

in

Q4

and

Q1

we

had

done

a

change

in

our

distribution

methodology,

removed

warehouses,

removed

our external registration partners, brought all of that in-house. That has contributed to pro■tability improvements, not all of which is yet fully baked into Q2. So, that'll bring some more pro■tability improv ements in

Q3 and Q4.

- And this is just the Auto segment, overall also we've given an outlook that our overall OpEx, by the way, in Q2 over Q1 has also come down from ■ 450 crores to ■ 416 crores. And this over the next couple of quarters also will just incrementally keep coming down.

- Mr.

Arvind Sharma - Citibank:

- All right, Sir. Thank you so much for answering my question. That's all from my side.

- Moderator:

- Thank you. We'll take the next question

from
Mr.
Shrenik
Mehta
from
TPG
NewQuest.
Please
unmute
yourself
and
ask
your
question.

-
Mr.
Shrenik
Mehta
-
TPG
NewQuest:

-
Hi,
can
you
hear
me?

-
Mr.
Bhavish
Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Hi,

Shrenik.

-

Mr.

Shrenik

Mehta

-

TPG

NewQuest:

-

Hi,

Bhavish.

Bhavish,

I

just

thought

of

asking

you

a

question

more

about

a

long-term

view

of

how

you

look

at

this

company

evolving.

Say

from

a

perspective

of

ROE,

in

how

many

years

do

you

see

that

we

will

get

over

the

threshold

of

the

cost

of

capital?

You

know,

many

developments

are

happening

which

are

really

strong

and

are

taking

us

towards

that

path

but

in

your

thought

process

when

do

you

see

this

turning

around?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Shrenik, the journey of return, if I start with the ■rst principle, which is linear, the ■rst subset in a manufacturing business is gross margin. Most important metric is product di■erentiation and linked to that gross margin, which is where the company is very, very strong. And it's strong horizontally across all products - scooters, motorbikes, even the BESS products. And the foundation of that is our technology, R&D, manufacturing scale. And that's where a lot of investment in the past few years

has
gone.
And
that's
where,
again,
like
we
mentioned
in
our
shareholder's
letter,
for
the
Auto
business
we
don't
foresee
any
major
investments
in
the
next
couple
of
quarters.
And
even
beyond
that,

the only investments will be new products that we bring in, limited R&D CapEx that will be needed for new products since the platform is shared. So, gross margin on a shared platform,

investment
is
already
behind
us.

-
Next
is
Operating
leverage.
Operating
leverage
is
a
function
of
volumes
and
volumes
are
a
function
of
both
market
dynamics
as
well
as
our
strategy
on

how
much
we're
going
to
play
in
that.
That
I
have
commented
on.
We
do
expect
market
volumes
and
our
volumes
to
increase
in
the
near
future
and
our
focus
remains
on
growing

but in a pro■table and margin-accretive way.

- Now, since for the Auto business capital investments in manufacturing are going to be minimal. We have a capacity of a million units a year

and
the
only
capital
investments
going
forward
are
going
to
be
R&D.
As
soon
as
we
hit
a
certain
volume
scale,
we
do
expect
returns
to
come.
And
because
the
fundamentals
of
this

business are linked to vertical integration, technology, etc., the returns will be much higher than cost of capital, whether it's equity or debt.

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November 06, 2025

-

Now,
if
you
look
at
industry,
you
know,
ICE
ROEs,
we
expect
EV
ROEs,
our
ROEs
and
in
general
EV
industry
ROEs
for
leading
EV
players
which
do
vertical
integration,
to
be
higher

than
ICE
industry
ROEs.
But,
you
know,
maybe
in
a
couple
of
quarters
you
should
ask
me
this
again
and
I
will
give
you
an
answer
with
some
performance
on
ROE.

-

Mr. Shrenik Mehta - TPG NewQuest:

- Yeah, that's fair. I know it's a gliding path but the way you're scaling up and especially the 20 Giga Watt factory, that scale up will also help in the same direction. Thank you so much.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Yeah.

- Moderator:

- Thank you.

We'll take the next question from Mr. Arun Kejriwal of Kejriwal Consultancy. Sir, please unmute yourself and ask your question.

- Mr. Arun Kejriwal - Kejriwal Consultancy:

- Thanks, Bhavish, for the

opportunity.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Hello,

Sir.

-

Mr.

Arun

Kejriwal

-

Kejriwal

Consultancy:

-

Hi,

hi.

So,

we

are

EBITDA

positive, as we have guided last time, but it appears to have come at a cost of sacrificing volume. Could you help us understand what gives you comfort that this trade-off, A, is sustainable and strategically sound going forward?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Sir, like I said in my responses, the reason this is strategically sound is that ■rst our objective in this consolidating market has been to build a structurally sound business model, both on product gross margins as well as on operating cost structure. And we have delivered that and it's not an overnight a■air that we achieved in this quarter. Now, we have 2 quarters of continuous improvements in this direction. And, in fact, those of you who are tracking us for the last 6 quarters of being a public company, you can see actually how every quarter generally gross margins have been going up. Operating costs also, specifically, in

the

last

2

quarters

have

been

improving.

-

So,

you

know,

long

term

the

company

that

will

win

or

that

will

really

dominate

EV

industry

will

be

the

ones

which

have

a

structural

business
model
and
a
sustainable
business
model
advantage.
And
that
in
EV
is
only
driven
through
vertical
integration
on
technology
and
manufacturing.
And
we,
by
far,
are
leading
the
industry.
In
fact,
you

know, internally my key focus always remains on ‘Are we continuing to expand our lead over competition on R&D, on product differentiation?’ and all of that translating into gross margin. And like I said, our gross margins are not driven by price increases. In fact, our price index is still competitive and lower than market for the similar product categories.

November 06, 2025 - Now, we have lost some market share. Some of it is because we have chosen to consolidate at this point instead of spend on marketing and discounting unlike the market.

See,

again,

if

I

give

commentary

overall

on

the

market,

1.5

years

ago

there

were

2

competitors

in

the

market,

us

and

TVS.

Now,

there

are

6

competitors

in

the

market

and

the
market
has
not
grown.
No
matter
what
others
have
also
done,
the
market
has
not
grown.
So,
it
is
not,
in
my
view,
the
right
strategy
to
buy
market
share
at
this

point.

The

right

strategy

is

there

is

a

reason

the

market

is

consolidating

because

the

customer

segment

which

had

to

buy

has

bought,

now

they

will

come

for

repeat

purchases

in

a

few

years.

But

the

next

set

of

customers

want

a

certain

extra

proposition

from

the

OEMs,

which

is

higher

reliability.

And

that

is

not

just

from

our

side

but

also

from

the

others.

It

is

not

like

other

products

are

meaningfully

better

than

mine

or

their

service

network

is

meaningfully

better.

They

are

not

growing

the

market.

-

So,

the

industry

has

gotten

into

a

phase

where
a
next
set
of
customer
segment
has
to
be
unlocked.
And
that
will
be
unlocked
when
a
next
set
of
proposition
is
presented
to
that
customer
base;
proposition
in
terms
of
ownership

experience,
how
much
value
there
is
in
the
product,
in
the
range,
etc.
And
we
believe
we
have
the
answer
to
all
of
that.
For
range,
we
have
4680
products
which
meaningfully
improve

range
of
the
product
in
the
city.
Let's
say
our
4680
scooter
has
a
5.2
kWh
battery
pack,
which
nobody
else
will
be
able
to
do
with
a
non-4680
cell.
And
that
range

is

required

for

the

next

set

of

users

in

the

city

for

scooters.

Bike

market

will

only

get

unlocked

once

you

have

a

bike

with

200-300

km

real

world

range,

which

is

again

what our Roadster X+ 9.1 kWh unlocks. It has a range of 500 km certi■ed, real world range will be above 250-300 km.

- So, these are the things which we have also

decided
that
let's
focus
on
rollout
of
our
Gen
3
products
which
bring
this
higher
range,
higher
value
proposition
experience
to
the
customer.
Let's
improve
our
service
experience,
let's
improve
our
parts
availability,

let's improve our third-party service network. Now, all of this is where our energy has gone. And in this period everybody else is ■ghting for the same set of market share, so we believe

it's

strategically

absolutely

sound

to

focus

on

what

will

drive

the

future

growth.

And

some

of

it

is

improving

our

own

operations,

some

of

it

is

actually

leveraging

our

strengths

already

on

the product and the manufacturing.

- Mr. Arun Kejriwal - Kejriwal Consultancy:

- Thanks, Bhavish, for that detailed answer and hope that with the continued progress that we are doing, quarters from now the questions we ask would be at a different level. Thanks.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Thank you, Sir.

-

Moderator:

-

Thank

you.

We'll

take

the

next

question

from

Chaitanya

Alluri

of

Invesco.

Please

unmute

yourself

and

ask

your

question.

-

Mr.

Chaitanya

Alluri

-

Invesco:

-

Thank

you.

In terms of battery yield, last quarter we have come up with, I believe, somewhere around 60. Just wanted to know where we are in terms of that.

- Mr. Bhavish Aggarwal

-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
In
terms
of
yield?

13
Ola
Electric
Mobility
Limited

November
06,
2025
-
Mr.
Chaitanya
Alluri
-
Invesco:

-
Battery
yield

percentage, yeah.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- So, Chaitanya, the Gigafactory has a ramp on two fronts - one is yield and

one

is

throughput,

right.

So,

the

way

this

goes

is,

you

take

a

yield

to

a

certain

level,

keep

the

yield

there

and

improve

throughput

and

then

keep

throughput

there,

improve

yield.

It

goes in lockstep. So, the metric to track is not just yield but throughput and yield and, hence, gross margins together. Now, Q3 is the first quarter where you will start seeing some sort

of

meaningful

volumes

and

revenue

in

the

cell

business.

And,

hence,

Q3

reporting

onwards

you'll

be

able

to

track

how

my

overall

yields

are

doing,

how

my

overall

throughput

is

scaling

up.

- So, as of now, I don't want to get into speci■c numbers yet. The volumes are low but my focus is to keep improving throughput over the next few quarters while improving yield over the next few quarters. And I hope you got the point about it is moving in lockstep.

- Mr. Chaitanya Alluri - Invesco:

- Got it, got it. And

in terms of our quality, in terms of Gen 3, how are we doing, like the product quality? Are we...

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility

Limited:

-

So, Chaitanya, product quality and product feedback, by the way, customer feedback is very, very strong on Gen 3. A lot of the service commentary that you see on social media, etc., is largely linked to Gen 2 products or before. Gen 3 products are almost half in terms of defect rates on any important metric whether it's 3 months defects, 1 month defect, etc., over our previous generations.

- Also, you know, the nature of defects are also very different. In Gen 3, the defects are easily fixable, if any, right, versus in Gen 2

and
all
we
had
some
extra
focus
on
battery
and
motor,
which
made
the
vehicle
immobile
for
the
customer
whereas
now
the
vehicle
actually
remains
usable
and
it's
much
more
easily
serviceable.
The

Gen 3 product is much more advanced in that dimension too.

- Mr. Chaitanya Alluri - Invesco:

- So, that includes the Roadster, right? We are seeing less…

- Mr. Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric

Mobility

Limited:

-

Absolutely,

Roadster

is

also

on

the

Gen

3

platform.

Yeah.

-

Mr.

Chaitanya

Alluri

-

Invesco:

-

All

right.

Thank

yo
u.
Thank
you.
That's
all.

-
Moderator:

-
Thank
you.
We'll
take
the
next
question
from
Mr.
Yogendra
Singh
of
Kotak.
Please
unmute
yourself
and
ask
your
question.

- Mr. Yogendra Singh - Kotak:

- Hello. Hi. Good afternoon. My question is, again, regarding this market share. Specifically from Karnataka and Maharashtra, if we see

numbers,
our
numbers
are
comparatively
very
less,
in
spite
of
we
are
having
4,000
stores
we
are
seeing,
I
think
these
numbers
are
less.
I
think,
Bhavish,
you
already
answered
what
is
happening

but
still
it
is
a
question.

-
And
the
second
question
I'm
having
is
regarding
the
service
centers
and
my
own
experience,
actually.
I
went
to
1-2
stores
and
I
see
that

our stores are not that professional in terms of service. So, what is your plan and how do you see these things? Thank you.

- Mr. Bhavish Aggarwal - Chairman and Managing Director,

Ola Electric Mobility Limited:

-

Yogendra, number of stores, etc., see, number of stores is less important in the current state of the industry where what is more important is to actually improve

the

experience

of

the

customer.

And

your

observation

is

absolutely

right,

we

have

to

work

more

in

our

service

network

and

we

are

focused

on

that.

We

are

focused

on

our

own

service network.

- Challenge, like I said, is the availability of trained EV technicians and we are also investing our energies into increasing the pool of trained EV technicians which we will benefit, whole industry will bene■t. We have also, hence, launched this initiative on Hyperservice which is making parts openly available. The initial response has been very strong actually. Already we are selling a lot

of

parts

direct

to

customers

on

a

daily

basis.

We

are

also

going

to

be

signing

up

a

few

third-party

organized

garage

chains

and

you

will

hear

more

about

it

in

the

immediate

near

future

actually.

-

So,

in

that

sense,

service

proposition

to

the

customer

is

going

to

meaningfully

improve.

Our

own

network's

operations

will

also

improve

but

we

are

also

broadening

the

base

in

the

near

term

to

third-parties

as

well

as

opening

up

the

parts

ecosystem

completely.

Now,

this

advantage

we

have

because

we

have

a

D2C

customer

network.

In

dealership

models,

there

is

always

a channel con■ict, the OEM cases when he wants to open up beyond the dealer, whereas we have our own network and we don't have that channel con■ict in that sense. So, that

is

a

focus.

You

will

hear

more

updates

on

it

and

you

will

hear

improved

customer

sentiment

also

on

service.

-

In

terms

of

market

share,

Yogendra,

like

I

said,

the

market

is

in

a

consolidation

phase.

And

this

is

important

for

all

those

who

are

tracking

the

EV

industry

to

understand

that

the

market

is

in

a

consolidation

phase,

there

are

6

competitiors.

Even

if

this
number
becomes
20,
still
we
have
to
share
the
market
share
because
in
the
market
the
customer
wants
something
else.
Now,
what
is
that
something
else?
The
customer
wants
a
higher
reliability

and a higher price value equation for the products, both of which we are very con■dent of with our Gen 3 products with our 4680 cell in the Gen 3 product and with

us
focusing
on
■xing
and
growing
our
service
experience
and
network.
It's
not
as
if
the
other
guys
are
growing
the
market
with
their
actions,
they
are
just
actually
competing
with
each
other

on price right now.

- So, we feel very strong con■dence that our strategy focused on product di■erentiation, product value proposition to the customer and our gross margins linked to that is the right strategy for the future.

- Mr. Yogendra Singh - Kotak:

- If you look at Karnataka and Maharashtra, these 2 States, there we are having a big difference in numbers.

But, anyway, I think you are already aware.

- One more thing, the experience of showrooms, when a customer enters into our stores, I

think

the

vibe

of

entering

into

a

two-wheeler

store

is

not

there.

So,

basically,

of

course,

you

said

that

we

will

train

our

people.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director, Ola Electric Mobility Limited:

- No, that point, Yogendra, is a valid point that experience in the service center has to go up and we are focused on that. Store and

all,
I
don't
fully
agree
that
there's
di■erentiation
between
our
experience
and
that
of
any
other
dealership.
But
in
service
it
is.
We
do
have
to
take
it
up
a
notch
and
we

are
focused
on
that.

-
Mr.
Yogendra
Singh
-
Kotak:

-
Okay.
Thank
you.

-
Moderator:

-
Thank
you.
We'll
take
the
last
question
from
Mr.
Kaustav
Bubna
of
BMPSL.
Please

unmute
yourself
and
ask
your
question.

-
Mr.
Kaustav
Bubna
-
BMPSL:

-
Hello.
Yeah,
thank
you
so
much
for
taking
my
question.
Just
wanted
to
understand,
Bhavish,
does
the
company

have

a

risk

mitigation

strategy

in

case

the

Bharat

4680

cells

don't

live

up

to

the

expectations

of

quality

for

all

the

new

electric

two-wheelers

which

are

going

into

the

market

with

these

cells?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Kaustav, good question. I'll answer it on two or three levels.

● Firstly, the company has

focused
a
lot
of
time
and
energy
in
making
sure
the
ramp-up
of
the
cells
is
gradual.
These
are
some
lessons
we've
learned
from
our
past
and
we
are
focused
on
making
sure

that all quality checks, all standard certi■cations, all absolute, extreme quality checks that any agency suggests, also not even enforces, all of those we have gone through. There's been a lot of testing done

of

our

own

cells.

That's

point

number

one.

And

we've

been

under

development

for

the

last

few

years

in

this.

That's

why

the

Gigafactory

also,

we're

scaling

a

little

gradually.

It's

not

like

in

one

quarter

you'll

see

a

big

spurt.

That's

point

number

one.

●

Point

number

two

is

that

we're

also

transitioning

our

product

portfolio

into

this

over

t
ime.

So,

we're

not

one

■ne

day

moving

all

our

automotive

products

into

our

4680

cell.

It

will

happen

over

the

course

of

from

now

almost

a

year.

It

will

take

us

3-4

quarters

to

fully

transition

our
products
from
the
cells
we
use
currently
to
our
own
cells.
And
that
gives
us
a
lot
of
runway
to
see
how
the
cells
do
in
the
market
with
customers.
So,
that's

the second point.

- Third, we've also, since we, through our software, can track products in the field real time, so we also have a little extra tracking of our own cell vehicles so that we can see early warning signals or anything, if any, of that sort.

- And, fourth, also from an accounting perspective, we will be making sure our warranty provisioning policy for our cells is slightly more conservative in the interim so that the ■nancials have room for any kind of risk.

November 06, 2025 - We have

10 minutes, we'll take a couple of more questions.

- Moderator:

- We'll take the next question from Mr. Atul Kedia. Please unmute yourself and ask your question.

- Mr. Atul

Kedia

–

Participant:

-

Hi,

Bhavish.

Congratulations

for

foraying

into

Battery

Energy

Storage

System.

So,

I

wanted

to

ask

you

that

our

competitors

are

entering

into

battery

as

a

service

model,

so

when

are
we
planning
to
enter
into
this
model?
Like
Ather
sale
is
skyrocketing
after
they
have
started
this
battery
as
a
service
model.

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,

Ola
Electric
Mobility
Limited:

-
Atul,
battery
as
a
service
is
not
really
what
is
selling
in
the
market
even
for
Ather
or
even
for
any
other
company.
Sales
for
other
companies

would

be

going

up

for

a

multitude

of

other

factors

but

not

battery

as

a

service.

We

don't

feel

battery

as

a

service

is

a

meaningful

area

to

focus

on.

It's

largely,

as

it exists today, as a ■nancing scheme. And if 60%-70% customers anyway ■nance their vehicles, then it doesn't matter to them if they have or don't have battery as a service.

-

So,

for
us
that's
not
one
of
our
key
focus
areas.
But
what
is
our
focus
area
is
to
increase
the
range
of
our
products
with
our
own
cells.
If
we
talk
about
battery,

the range with our 4680 products is more. That is what customers really want, which will open up penetration to the next segment.

- Mr. Atul Kedia – Participant:

- Okay. So,

second question is what is the breakeven unit after PLI like before it was 25,000 unit per month?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

-

Atul,

if

we

talk

about

breakeven,

then

we

have

achieved

that

in

this

quarter.

We

have

done

52,000

deliveries,

so

about

17,000-18,000

units.

So,

we

are

already

EBITDA

breakeven

but

I

know

that's total EBITDA. On operating EBITDA, we can add another 2,000-3,000. So, about 20,000 units a month and Auto business breakeven at that level.

- Mr. Atul Kedia – Participant:

- Okay,

so
we
have
reduced
it
from
25
,000
to
20,000
right?

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited
:

-
Yes.

-
Mr.
Atul
Kedia
–

Participant:

- Oh! And are we entering into container model that container enclosure thing of Battery Energy Storage System?

Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Absolutely. You will ■nd a very nice photograph in our Earnings letter where we have all the battery storage products from

a

small

one

to

a

medium

one

to

the

container

one.

-

Mr.

Atul

Kedia

–

Participant:

-

Okay,

last

question.

-

Mr.

Bhavish

Aggarwal

-

Chairman

and

Managing

Director,

Ola

Electric Mobility Limited:

- In Q1, our container will get launched. Whoever is wanting to buy a container, all are buying from China, so they can buy mine when it launches.

-

Mr. Atul Kedia – Participant:

- Okay. And last thing is, I did some channel check on service thing. So, in that, people are saying that for Hyperservice they are charging ■ 5,000

but

they

are

being

promised

that

they

will

get

the

chain

belt

for

free

and

after

every

2,000

km

they

will

change

the

brake

pad

for

free

but

that’s

not

being

delivered.

-
Mr.
Bhavish
Aggarwal
-
Chairman
and
Managing
Director,
Ola
Electric
Mobility
Limited:

-
Atul,
some
things
are
anecdotal
and
I
can't
make
a
policy
basis
anecdotes.
But
Hyperservice
is
not
about

promising

any

discounts

or

freebies,

in

fact

it

is

about

charging

for

parts.

So,

we

are

focused

on

making

parts

openly

available.

One

of

the

challenges

is

that

our

parts

are

only

available

in

our

network,

so

we

are

now

making

parts

completely

openly

available,

which

is

a

big,

you

know

can

imagine

the

kind

of

enabler

that

will

be

because

every

independent

garage

guy

is

also now buying my parts in the last 2 weeks that we have opened up.

- Mr. Atul Kedia – Participant:

- So, now we are converting that into pro■t center rather than cost center.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- Absolutely, Atul. And you will see part of that pro■t in Q3 but you will see

full

impact

in

Q4.

We

will

earn

considerable

revenue

in

that.

-

Mr.

Atul

Kedia

–

Participant:

-

Okay,

thank

you.

Thank

you.

Thank

you

so

much.

-

Moderator:

-

Thank you. We will take the next question from Mr. Pawan Kataria. Please unmute yourself and ask your question.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

-
This
will
be
the
last
question.
Yeah.

-
Moderator:

-
Yes.

-
Mr.
Pawan
Kataria
–
Participant:

-
Thank
you
for

the opportunity. I would just like to ask, despite multiple initiatives in Hyperservice and network expansion there continues to be a visible customer frustration and delayed repairs. Could you share the exact quantum

of

the

current

service

backlog

and

ho
w

many

vehicles

are

still

awaiting

service

or

resolution?

And

what

concrete

deadline

has

management

committed

for

fully

clearing

the

backlog

across

the

regions?

-

Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Limited:

- See, Pawan, seeing it from the lens of backlog is not the complete way. One important metric in which we

look

at

it

is

how

many

vehicles

are

serviced

in

one

day

or

two

days.

So,

almost

75%+

vehicles

are

serviced

in

a

couple

of

days.

There

is

a

certain

amount

of

backlog

and
to
some
extent
after
monsoon
every
OEM
has
a
backlog.
In
our
case,
it
is
a
bit
more.
To
some
extent
our
parts
availability
is
also
a
reason
for
that,
to
some

extent

technician

availability

is

a

reason

for

that.

So,

we

are

focused

and

once

monsoons

are

over

you

will

see

this

automatically

reduce.

But

structurally

what

we

are

doing

is

making

our

parts

openly available and opening third-party garages who actually will ■nd a business value in this. It will solve the pain of the customer and it would make pro■ts for us also. So, it's

a

win-win

situation,

you

know,

the

way

we

can

solve

for

this

in

a

structural

way.

-

Mr.

Pawan

Kataria

–

Participant:

-

All

right.

Thank

you,

Sir.

Okay.

Thank

you,

Sir,

that
answers
my
question.

-
Moderator:

-
Thank
you,
Bhavish.
Due
to
the
paucity
of
time
we
will
have
to
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session
here.
We
appreciate
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time
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your
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Thank
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so
much
for
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next
Earnings
Conference.
Thank
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END

OF

TRANSCRIPT

Call: Feb 2026

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)
Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Bengaluru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
February 18, 2026
To,
Nation al Stock Exchange of India Limited
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225
Subject: Transcript of Earnings Conference Call held on February 13, 2026, for the Unaudited Standalone and Consolidated Financial Results for the Quarter ended December 31, 2025 .
Dear Sir/ Madam,
Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure R equirements) Regulations, 2015, ("SEBI Listing Regulations "), please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Friday , February 13, 2026 , in respect of the Unaudited Standalone and Consolidated Financial Results for the quarter ended December 31, 2025.
The above intimation will also be hosted on the webs ite of the Company i.e., www.olaelectric.com .
We request you to take the above on your record.
Thanking You,
For Ola Electric Mobility Limited
Abhishek Jain
Company Secretary and Compliance Officer
Membership No.: A62027
Place: Bengaluru
Encl: As above
Ola Electric Mobility Limited
Q3 FY26 Earnings Conference Call
February 13th, 2026
Management:
Mr. Bhavish Aggarwal - Founder, Chairman and Managing Director,
Ola Electric Mobility Limited
Mr. Deepak Rastogi - Chief Financial O■cer,
Ola Electric Mobility Limited
Mr. Abhishek Chauhan - Director, Corporate Communications & PR,
Ola Electric Mobility Limited

- Moderator:

- Ladies and gentlemen, good day and welcome to Ola Electric Q3 FY26 earnings conference call. As a reminder, all participants will be on the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. Before we begin, a few quick announcements for the attendees. Anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement may involve risks and uncertainties. Such statements or comments are not guarantees of our future performance and actual results may differ from those statements.

- To begin with, I would like to request Bhavish Aggarwal, Chairman and Managing Director of Ola Electric to begin the conference.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Good evening everybody. It's a Friday evening but thank you so much for joining us.

Actually, I want to start by introducing our new CFO Deepak Rastogi. H e is also on the call with me. Welcome, Deepak, to the company. The news was made public about a month back. Deepak, I'll request you to make some opening remarks and then we will open it up to Q&A. Looking forward to the interaction today.

- Mr. Deepak Ra stogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Thank you, Bhavish. Good evening everyone and thank you for joining us for this call. So let me start with Q3. Q3, this quarter marks a structural reset for Ola Electric. As EV penetration grow th slows down and we identified gaps in service execution, we made a deliberate choice to realign our retail footprint, cost structure and operating model to a sustainable steady state. We chose to fix the fundamentals rather than optimize for short -term v o

lume. The result is a structurally lower breakeven business with significantly improved operating leverage.

- Now let me start with the key numbers. For Q3, we delivered ■470 crores of consolidated revenue. This is the highest ever gross margin, consolidated gross margin we have achieved, which is at 34.3%, which is 16% points higher on a year -on-year basis and 3.4 % points higher Q -on-Q. We have also delivered 32,6 80 deliveries during this quarter and we have produced ~72,500 cells . The performance reflects the strength of our vertically integrated model, Gen 3 platform economics and disciplined execution. We continue to see gross margins stabilizing in the range of 3 5% to 40% during the financial year 26 -27. Over the last few years, we have invested approximately ■5,300 crores across manufacturing, battery innovation and R&D. This has created full vertical integration across motors, batteries, cells, electronics, and software along with scalable manufacturing infrastructure and a strong product roadmap. The heavy Capex phase, which we have been investing so far, is behind us now. Our current footprint supports 1 million vehicles and 6 gigawatt hour of cell capacity and the focus now shifts to scaling into this capacity.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Actually Deepak, I want to highlight this point for everybody that the company has been in investment phase since pre tty much the inception about 4 -5 years ago and we have created capacity and this is covered in our shareholders letter in detail, about a million units a year in the automotive side and by March, which is next month, about 6 gigawatt hour will be installed . So now after that, our Capex cycle finishes and there will be no new Capex requirement until we grow into that and the revenue potential is about ■15,000 to ■20,000 crores. And on gross margins, like you said, for the last few quarters, we have been guid ing or forecasting that we will get to the 35% range and this quarter is more or less there. This also actually has been possible because of this vertically integrated business model of ours. The benefit in gross margin that we are seeing today is because of the step -by-step investments that we have been doing in Capex and R&D for the last 2 -3 years. And we still see through FY27, this gross margin going between that 35% to 40% range. And just for context for everybody, this is much higher than even ICE ind ustry where the gross margins are typically around high 20s or 30%. So this has been a meaningful advantage and even on our capital investments, if you see in the shareholders letter, we actually give you a comparison between us and others.

- There is no ot her Indian OEM who has invested this much into pure EV -centric technologies and EV -centric manufacturing. And this is a very important strength of ours and the good news is that the capital cycle is now, investment cycle is now largely behind. Now onwards, like Deepak mentioned, we are focused on doubling down into growing into this. And we will also cover, Deepak will cover and I will also give some commentary on the service challenges faced, which we want to be very clear and acknowledge that and then how sales recovery we see happening.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Thank you so much, Bhavish. So as Bhavish mentioned, you know, on services, we acknowledge that execution gaps impact brand t rust among prospect ive customers. However, this is a service scale issue and not a product quality issue. Independent survey indicates over 90% product satisfaction. And that is expected, to result in the warranty provisions for the current financial year are expected in a r ange of 2 -3%, which is among the lowest in the Indian EV industry. Through our hyper ser

vice
initiative, we have redesigned parts availability, expanded technician trainings, strengthened governance and deployed AI automation. As a result, service backlogs have reduced nearly 50% from 14 days to around 7 -8 days now , and we are now completing 80% of service tickets on the same day. As service metrics stabilize, we expect our underlying strength to reassert itself.

- Mr. Bhavish Aggarwal - Chairman and Managin g Director, Ola Electric Mobility Ltd.:

- I think on this topic also, Deepak, like you mentioned, many times we get asked, is there an issue in your product or in your service? And then firstly, like Deepak said, we do have a service challenge which we are working through that has impacted brand

trust and hence sales are down in the last couple of quarters. But the good news is that, firstly, we have improved our service operations meaningfully in the last 3 -4 months or so. Deepak mentioned the numbers. But more importantly, our engineering and product strength is very meaningfully real and much better than our competition. Most customers, when I meet them across stores and when I travel, they say, “Your product is very good. We want to buy your product. But please improve your service accessibility and service turnaround times.” That's what we've been focused on. And like Deepak mentioned, one of the things we've been telling the street is that, the way to assess product quality between us and competition is to just look at the warranty costs.

- Now, for our Gen 1 platform, because that was the first platform we had, was higher than industry averages. But now, actually, we are much better than our Indian OEM peers and actually in line with global benchmarks in terms of what kind of repeat rates or what kind of failure rates or warranty costs we are having to take in our P&L. And in the shareholders' data, you'll see that at about 2 -3%.

- So the headline here is, yes, there's a service challenge. We are fixing it. We are fixing it and it's meaningful ly improving. We do have some journey to cover and brand trust will take its time to recover. But as a result of our cost improvements and the structural operational model improvements, we've actually been able to create enough headroom and a lower breakev en point. So as we improve our service and as sales recover, we will see a faster roadmap to profitability.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Thank you, Bhavish. So during this quarter, we have executed a comprehe nsive operating model reset. Consolidated quarterly OPECs, including leases, reduced from ■840 crores at peak expansion to ■484 crores during this Q3 and we expect steady state between, give or take ■250 to ■300 crores over the next couple of quarters. At this level, our EBITDA breakeven reduces to approximately 15,000 units per month, with 85% or 90% of OPEX being fixed cost, which means we would have to just put in some incremental fixed cost, when we actually grow our business over time, which actually will drive a very, very strong margin through this.

- Mr. Bhavish Aggarwal - Chairman and Managing Dire ctor, Ola Electric Mobility Ltd.:

- Before that, Deepak, one more thing I want to just bring to everybody's notice is in the shareholders letter, page 5. We have given a very clear roadmap for sales recovery and growth. And basically it's three themes. Firs t, we have to fix our service and rebuild the brand trust with that, which the company is in the middle of doing. It will take us another quarter or so to fully institutionalize service. And this time, what we have done is, really taken the foundational bu ilding approach to fixing the front end operational challenges that we faced. And we are seeing good results in that, in terms of service improvement as well as cost structure improvements. So the roadmap to r

ecovery is fixing service. That will actually l et the product advantage shine. And I want to highlight a very interesting chart that we've put in here for all of you on page 6,

which is actually the, you know, I'm sure when you guys also do your channel checks and all, you'll see the customer, fundamen tally a two -wheeler customer wants range in his product. And our products deliver the best range by far in the industry. And you can see there, a chart where our range to price index. And this is real range, not certified range. Our real range to price ind ex is almost 50 percent higher than competition. It's a very meaningful benefit that our product has, which the customer acknowledges. Our existing customers definitely acknowledge it, but the prospective customers who are holding back due to the brand noi se around service, once that goes away, they will also start acknowledging it.

- Another important thing is, we have the largest customer base in the industry, given the fact that, you know, till date, whatever number of two -wheeler EVs have been sold, alm ost 30 percent are actually Ola vehicles. So 11 lakh customers use Ola, and they actually have always referred us well. And as service improves, we are very confident that they will start referencing Ola again.

- Another important point, which Deepak menti oned, is the structural cost reset that we have done and you see that in Page 7. You know, about a year ago, our cost, Op ex cost, was about ■850 crores. And, you know, one of the feedback we took on the street was that because we were talking about segment ed financials earlier, it confused the street. So this time what we've done is actually, focused all our commentary on consolidated financials, while we give segmented financials to the public for transparency. So all the numbers we talk about here are con solidated financials, which means even with the Gigafactory ramp, these costs are actually under control.

- And the second thing is, since our business model in the front end is a fully company - owned model, we've added lease expenses to our operational exp enses in the commentary. So one year ago, it was about ■844 crores. And now with our cost actions in Q3, we are reporting ■484 crores. But we've taken a lot of cost actions in Q3, which is in a couple of quarters going to take us to about a ■250-300 crores level in terms of Opex. So a very meaningful improvement. Now, this is a large change. And like Deepak said, a large part of it is actually fixed in nature. So as we increase volumes back up to the 20,000, 30,000 levels, the cost will not increase linearl y. That variable cost is only 10-15 percent. So what this does is actually, in a period where the industry penetration is growing slowly and where we've had our own service challenges, it actually lowers the threshold of breakeven and arrests the cash burn in the short term. But also as we improve ourselves, it gives us very strong operating leverage as we come back in our volumes.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Finally, on the Gigafactory, Q3 marked the key milestone wherein we doubled the cell production to ~72, 500 cells, achieved the first commercial deployment in -house, 4680 Bharat cells and launched Ola Shakti. We are currently at 2.5 gigawatt hour install capacity, scaling to 6 gigawatt hour by March 2026. This positions us uniquely as the only Indian company to operationalize a scaled Gigafactory and strengthen a long term cost and integration advantage.

- Mr. Bhavish Aggarwal - Chairman and Managing Directo r, Ola Electric Mobility Ltd.:

- I'm just going to add a little bit, Deepak, on the Gigafactory. So the Gigafactory, you know, we are the only Indian company, I want to underline that and write that in bold

letters, only Indian company to have operationaliz ed the Gigafactory. And actually outside of China, one of the very few companies which have operationalized the

Gigafactory. And it actually highlights the company's strong capabilities, talent and execution strength as far as manufacturing and R&D go. And the Gigafactory is ramping up and this quarter was a highlight because we put ourselves into commercial production in this quarter. Before that, it was all pilot production. This quarter Q3 was into commercial production. We gave our customers vehicles wi th the 4680 Bharat cell and the feedback has been quite amazing.

- And like I mentioned in the past, the range benefit that customers want, our 4680 cell enhances that meaningfully. And you cannot deliver the range that people want without this level of a c ell. And in addition, 4680 is not the end of it. In fact, it's the start of it. We give on page 9 a roadmap of our cell technology where we go from, in the next 12 to 24 months, 4680 goes to 4600 goes to 46120. Each next generation of cell actually gets us more energy density and more fast charging performance.

- And, you know, this is a kind of a technology R&D loop that we've already proven with our automotive business where over three generations, our gross margins went up from 10 percent to 35 percent no w and our product quality improved meaningfully. Similarly, on the cell, this will have a similar journey on gross margins as well as manufacturing scale and hence competitive advantage.

- So this is something which we believe is going to be a very signific ant lever for strategic strength as well as optionality in revenue in the future. I'm sure everybody is following how globally the energy storage industry is also growing. And the Gigafactory for us is going to obviously feed our own auto business, but als o really get revenue and growth into this energy storage opportunity, both in India and globally.

- That's the future optionality. And the first product we launched there was Shakti. Shakti has gotten a very good response. We are ramping it up in a step by step way as the Gigafactory ramps up. But this really improves the kind of optionality and I personally believe the energy storage business globally and even in India is going to be a much bigger business t han automotive. Although automotive is our current focus and our focus is to stabilize that business by solving the service challenges and by getting back into sales growth. But the Gigafactory, from the foundation of this company was a very core part of o ur vision to both build strategic control and margins in automotive, but as well as really grow into the larger energy storage opportunity.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- To conclude, Q3 was about strengthening the foundation, restoring service execution, resetting cost, deepening vertical integration and advancing our self -strategy. The

heavy build phase is behind us with a structurally lower breakeven and embedded operati ng leverage. We are well positioned to enter the next phase of growth with significantly improved economics.

- Thank you so much and I look forward to your questions now.

- Moderator:

- Thank you, Bhavish, and thank you, Deepak. We will now begin the questio n and answer session. Anyone who wishes to ask a question may use the ‘Raise hand’ option. If you wish to remove yourself from the question queue, you may press the raise hand option once again. Participants are requested to unmute themselves before asking the question. Before asking the question, we request you to introduce yourself with your full name and organization.

- Now, we will wait for a moment while the question queue assembles.

- Thank you, everyone. We will now take the first question from Mr. Arvind Sharma of Citi. Plea

se unmute yourself and ask a question. Mr. Arvind Sharma, you may ask the question now.

- Mr. Arvind Sharma - Citi:

- Yeah, hi. Hi. Can you hear me?

- Mr. Bhavish A ggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Yes, Arvind.

- Mr. Arvind Sharma - Citi:

- Hi. Hi, everyone. Thank you for taking my question. The first one would be more on your aspirations for the sales. The production you said has been around 32,600 deliveries and 15,000 is a break even. Given the enablers on the sales part, by when do you think that Ola would be closer to this breakeven at least?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Arvind, we will not be giving a time target of when we will get to either 15,000 a month or higher. But I want to say that we acknowledge the service challenges, we have to solve them, brand trust will take some time to recover. But the inherent strengths of the company in manufacturing, R&D and product are very well intact and they are so far ahead of competition that I don't feel it's so easy for anybody to catch up. So, in that sense, we don't worry about short -term market share. We are fixing the servic e challenges in a very structural institutional way. It will take some time but I do hope to give you guys some positive news.

- Actually, you don't even need to wait for the quarter. Sales numbers of our vehicle, you can track every week. I'm sure you guys do. So, we are seeing that goodness in regional sales metrics where we have solved service challenges more deeply. Like, for example, in the South, etc., maybe in some markets in the North, we see volumes have improved almost 2X -3X in some markets whereve r we have more meaningfully solved service challenges. So, we expect that to play out across the country as over the next few months we more meaningfully solve some of these challenges.

- Mr. Arvind Sharma - Citi:

- All right, thanks, Bhavish. The second que stion would be more on the accounting thing. There was a fairly sharp increase in the employee cost this quarter, even if one was to adjust for the one -off expenses, and from 550 million going to almost 920 million, what do you attribute this to because la st quarter you had said that it would structurally be going down given the optimization efforts that you have undertaken? It kind of nullifies the gross margin expansion at the EBITDA level.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- No. See, the one -off employee costs will be largely linked to the exits. Like I said, we have done a lot of this cost actions in this quarter and those costs are front -load ing and the scale of those cost actions actually you will start seeing in the OpEx benefit in the coming quarter.

- Deepak, do you want to add to that?

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- No, I think, Arvind, I will take this question offline because we do not see the way you are looking at the data right now. So, we can take this question offline and then obviously resolve the query , if there are any, which are basically there.

- Mr. Bhavi sh Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Because if anything, it will be linked to this one -time thing. But I also don't see the data like that.

- Mr. Arvind Sharma - Citi:

- Sure, Sir. Just one final question. Just a state ment that you made that Ola is past the big CapEx part. On the cell part, you are still expanding beyond 6 gigawatt hour, right? The one goal that you told about last time, that still remains?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola El ectric Mobility Ltd.:

- See, Arvind, we have a PLI allocation of 20 gigawatt hour.

- Mr. Arvind Sharma - Citi:

- Correct.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Our Phase -1 in that was 5 gigawatt hour, which will be done with this. Now, as you know, we are the only guy in the PLI scheme who has done anything, the other guys have not done anything. So, we are in talks with the government to either elongate the time lines of the PLI or if we need to do anything, we will think of capital in that case separately. But, hence, for our business priorities, we don't expect any more gigafactory expansion as far as the current roadmap goes.

- Mr. Arvind Sharma - Citi:

- So, th is would be enough to cater to both the automotive as well as the BESS needs?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Yeah. Just as a rule of thumb, Arvind, 6 gigawatt hour installed capacity means, let's say, practically you can get 5 out of it with the yields, etc. So, 5 gigawatt hour, if each product takes 3.5 -4 kilowatt hour, that's about 1.2 million products. So, between our Shakti business and our Auto business, that's the headroom we have in our own gigaf actory.

- Mr. Arvind Sharma - Citi:

- Got it, Sir. Thank you so much for taking my question, that's all from my side. Thanks.

- Moderator:

- Thank you. We'll take the next question from Mr. Ishan Bhargava of Bank of America. You may unmute yourself and please ask your question.

- Mr. Eshan Bhargava - Bank of America:

- Yeah, thank you for taking my question. The first one is more fundamental in nature. The EV industry has plateaued around 6% -7% adoption for a while now. As you've addressed in your Shareholder letter as well, the industry is entering a more mature phase now. So, what, in your opinion, would trigger this next leg of growth ahead?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Eshan, see, firstly, like any technology adoption industry, and EV is a technology adoption industry, there is actually this notion very well established in the valley cal led the ‘Crossing the Chasm’ in terms of market adoption. I'm sure some of you analysts would have read the book there. So, basically what happens is, the early adopters adopt and then the followers need more education and more stability in terms of produc t experiences to adopt. It's exactly what happened in the EV industry. We have been focused on penetration. The incumbent players don't really focus on penetration, they focus on just having a product just to play in the industry. So, as we have in the las t few quarters focused on our own operational view, focus of service, we've not communicated in a very meaningful way the benefits of EV to the customer. The reality is the benefits of EV are very strong. OpEx savings, 90% lower cost of operations and for the 2 -wheeler customer that matters in a meaningful way. So, this next level of a customer, which is a follower customer, needs more education and marketing of that. And you'll see the company, you'll see us do some meaningful steps in that direction very soon.

- Mr. Eshan Bhargava - Bank of America:

- Got that, thanks for that. Secondly, last quarter we had guided for OpEx stabilizing to around ■350 crores by Q1 FY27, while now our target is more aggressive at around ■250-■300 crores in the same time horizon . So, presuming that the structural drivers that are highlighted in the letter have been placed for a while, our OpEx has been range -bound over the last 3 quarters between ■470 -■500 crores. What particular measures provide us the confidence that we can att ain this revised and more aggressive reduced OpEx within the next 2 quarters?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- So, Eshan, the actions that we've taken

are written there, so I'll not go over that again.
But a lot of those actions have been taken towards the end of Q2 and Q3. So, in that direction these two quarters have some of these one -off costs, so you don't see the clean cost structure yet. You'll start seeing i t in Q4 and you'll see more of it in Q1.

- What we've also done is, in this last quarter and including in the last month, January and February, we've really gone deep into some structural changes across the board so that our operating leverage potential imp roves. So, you'll see that all things play out. I don't want to jump the gun here and give you too many micro details or give you any very sharp numbers for the coming quarter.

- But I also want to highlight, Eshan, I think the last one you were referencing was only the Auto segment, right, whereas now what we're seeing is actually consolidated. So, we've been able to now scale our gigafactory with a much lower cost, we've been able to optimize the productivity in the field of our service technicians, we've been able to optimize some of the corporate costs, we've used a lot of AI in our back office processes to really optimize the cost structure there. So, all of these things have actually converged at this time. Because, like I said in the beginning, we've u sed these operational challenges as an opportunity to really optimize the business model and position it right for the next phase of growth so that we hit profitability faster and the cash generation happens after that.

- Deepak, do you want to add anything to that?

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- No, I just wanted to just say that we are very confident of achieving these numbers. That's all I can tell you.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- If I can add, we've already done all the actions.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Yes.

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Deepak, now you just have to count the numbers.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Ltd.:

- Yes. So, Ishan, we are on course to deliver thi s.

- Mr. Eshan Bhargava - Bank of America:

- Got that. Those were my questions, thanks for taking.

- Moderator:

- Thank you, Ishan. We'll take the next question from Mr. Arun Kejriwal of Kejriwal Research & Investment Services . Sir, you may unmute yourself and ask questions .

- Mr. Arun Kejriwal - Kejriwal Research & Investment Services :

- Thanks, Bhav ish. During our last interaction, youinformed how the company would lower its breakeven point through a calibrated mix of cost rati onalization, improved operational efficiencies and resource optimization. With Ola now positioned as a lean and agile manufacturing hub for E2Ws and cells, how do you plan to leverage these structural efficiencies to further strengthen financial performanc e, enhance margins and drive long -term shareholder value creation?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- Arun Sir, good question. I think the fundamental answer is what's covered in the letter that because we are a vertically integrated operations, both on the backend and the front end, and our backend, which is the manufacturing and R&D and supply chain, is so efficient because for the last 4 -5 years we've been hammering away at it and we have three generations of our platform, we have 2 factories built out. So, the benefit

of that vertical integration is already seen in our gross margins and even in our OpEx , which is not as transparent to the street but are operating costs. So, basically, the cost to

manufacture per unit of our vehicle or, let's say our Shakti product, is actually fairly low and maybe in the future we will talk more about that.

- Same we are doing on the front end now because it's all company -owned. The efficiencies we can drive on repair per technician, sales per executive, sales per square feet, sales per store is fairly high. Now, in the last one year we had expanded our stores to 2,000 plu s but we've now come back to the same level of stores as we were in the first couple of quarters post -IPO, about a year or so back. And that is where largely the EV industry is and where we were also fairly deep in penetration. So, we do expect a higher op erating leverage even on the frontend of the business model.

- Now, the way this plays out is, if you look at our gross margin today, per product our gross margin is almost ■50,000 rupees per product. And, hence, breakeven is close to about 15,000 units on a consolidated EBITDA. And this consolidated EBITDA includes all lease costs, there is nothing below this now. So, we've started reporting adjusted EBITDA, which is actually adjusted for adding lease costs into the operational expenses so that the street c an get a very clear, fully loaded operating profitability lens.

- And at that level, we feel very confident of breaking even in this 15,000 odd volume level . Obviously, the focus is on the company to quickly get there by rebuilding service and brand trust and letting the product benefit shine in the customer, which already is there. It's there in the customer sentiment as well as in the product reality.

- Mr. Arun Kejriwal - Kejriwal Resear ch & Investment Services :

- So, Bhav ish, thanks for that really detailed answer. Just one small thing. Anything that keeps you worried?

- Mr. Bhavish Aggarwal - Chairman and Managing Director, Ola Electric Mobility Ltd.:

- You know, we have done a lot of goo d things in this company. We have built a lot of strengths, which is not going to be easy for industry to catch up on. So, you know, our competitive positioning is not really of concern or a risk to us. Today, the numbers are low but that is because of the fundamental loop of delivering good service and, hence, letting the product shine.

- So, the whole company, the leadership, me, we are super sharp focused on the consumer, on making sure we raise our service and quality and service quality levels for the c ustomer so that, you know, the honest truth of the product can shine through.

- Mr. Arun Kejriwal - Kejriwal Research & Investment Services :

- Thanks, Bhav ish, for taking my questions.

- Moderator:

- We'll take the next question from Mr. Chandramouli Muthiah of Goldman Sachs. You may unmute yourself and ask your question.

- Mr. Chandramouli Muthiah - Goldman Sachs:

- Sorry, no, I don't think I raised my hand. Sorry, I'll just step back into the queue.

- Moderator:

- Okay. We'll take the next question from Ms. Gayatri. You may unmute yourself and ask the question. Ms. Gayatri, you may unmute yourself and ask your question.

- If there are any final questions, we'll wait for that. If not, then we'll conclude the meeting post that.

- Participant:

- Hello? Am I audible? Hello? Hello?

- Moderator:

- Hello, we can hear you properly but due to a shortage of time we have to conclude the meeting now. We appreciate your time and all of your questions during the call today. Thank you so much for joining us and we look forward to meeting you all during our n ext Earnings conference. Thank you for joining us. You may logout from the conference call now. Thank you.

END OF TRANSCRIPT

Call: Feb 2026

(no extractable text — likely a scanned image PDF)

Call: May 2026

OLA ELECTRIC MOBILITY LIMITED
CIN - L74999KA2017PLC099619
(Formerly known as Ola Electric Mobility Private Limited)

Registered Address: Wing C, Prestige RMZ Startech, Hosur Road, Municipal Ward No.67, Municipal No. 140, Industrial Layout, Koramangala,
Benga luru – 560095, Karnataka, India | Landline: 080-35440050 | companysecretary@olaelectric.com | www.olaelectric.com
May 25 , 2026

To,
Nation al Stock Exchange of India Limited
Address: Exchange Plaza, C -1, Block G, Bandra
Kurla Complex, Bandra (E), Mumbai -400051,
Maharashtra, India. To,
BSE Limited
Address: Phiroze Jeejeebhoy Towers
Dalal Street Mumbai - 400001,
Maharashtra, India.
NSE Scrip Symbol: OLAELEC BSE Scrip Code: 544225

Subject: Submission of Transcript of Earnings Conference Call held on May 20, 2026 .

Dear Sir/ Madam,

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirement s) Regulations, 2015 (“ SEBI Listing Regulations ”), please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on May 20, 2026, in respect of the audited standalone and co nsolidated financial results of the Company for the fourth quarter and financial year ended March 31, 2026.

The above intimation will also be hosted on the website of the Company i.e., www.olaelectric.com .

We request you to take the above on your record.

Thanking y ou,
For Ola Electric Mobility Limited

Abhishek Jain
Company Secretary and Compliance Officer
Membership No.: A62027
Place: Bengaluru
Encl: As above
Ola Electric Mobility Limited
Q4 FY26 Earnings Conference Call
May 20, 2026
Managem ent:
Mr. Bhavish Aggarwal - Founder, Chairman and Managing Director,
Ola Electric Mobility Limited
Mr. Deepak Rastogi - Chie f Financia l Officer
Ola Electric Mobility Limited
Mr. A bhis hek Chau han - Director , Corporate Communications & PR
Ola Electric Mobility Limited

–Moderator:
–Hi everyone, good day and welcome to Ola Electric Q4 and FY26 Earnings Conference Call. As a reminder, all participants will be on the listen -only mode, and there will be an opportunity for you to ask questions after the opening remarks conclude. Please no te that this conference is being recorded.
–Before we begin, a few quick announcements for the attendees. Anything said on this call which reflects our outlook for the future or which could be construed as a forward -looking statement, may involve risks and uncertainties. Such statements or comments are not guarantees of future performance, and actual results may differ from those statements.
–Now, I would like to request Shri Bhavish Aggarwal, Chairman and Managing Director, and Shri

Deepak Rastogi, CFO, Ola Electric, to begin the conference. To begin, first I would request Deepak to start with opening remarks.
–Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :
–Before you start, Deepak, I just want to say welcome everybo dy. An important quarter for us. I hope everybody has had the chance to read our Shareholder's Letter. A bunch of nuances which we will cover through the Q&A. And definitely something we want to make sure we highlight some of the important turnarounds that the company has now gone through over the last couple of quarters. So, Deepak, you may carry on and then I'll add whatever I want to.
–Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :
–Yeah. Thank you so much, Bhavish. So, good eve ning, everyone, and thank you for joining us.
–Financial Year 2026 was a year in which volumes were lower than where we wanted to be, but it was also a year in which the fundamentals of Ola Electric became materially stronger. We exited the year with indus try-leading gross margins at 38.5%, a much lower cost

base, sharply improved execution
metrics, better product quality, our first operating cash flow positive quarter, and a Gigafactory which is now entering a scale -up.
–This progress comes at an important moment for India. The next few years will be defined by two structural shifts happening together, mobility moving from ICE to EV and energy moving from imported fuels to locally made batteries. Ola is building across both shifts, electric mobility, cell manufacturing, and energy storage on an integrated platform. So let me first start with the margins.
–In Q4 for 2025 -26, consolidated gross margins reached 38.5%, up from 34.3% in Q3 and 13.7% in Q4, similar quarter as last year. Excluding PLI gross margins was 33.5%. This is now an industry -leading margin profile ahead of most two -wheelers OEMs, including ICE incumbents. It reflects the structural advantages we have built over the last few years, vertical integration, Gen 3 maturity, rising architecture, do wnstream control, and increasing integration of our own cells.
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– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :
– On this point, Deepak, I'll just pause you. I think gross margins has been definitely one of the things we've been highlighting quarter -on-quarter, the last many quarters. And this actually shows the success of our vertically integrated approach on both, t he manufacturing supply chain as well as on the front end. And many people frequently ask us about the sustainability of these gross margins. And one of the potential misconceptions is that this is because of incentives. So you can see without PLI also, gr oss margins are fairly high. So, we believe very strongly that our gross margins will remain a very strong structural advantage for us going into the future as we rebound our volumes. And, we are actually now even higher, much higher than ICE industry gros s margins. So for EV competitors to catch up with us, it's going to take a lot of investments into technology and manufacturing, which is actually what has led to this meaningful strength.
– And over the longer term also, we can actually expect gross margins to incrementally keep going up. Obviously, in the short term, there will be commodity pressures, as well as some of this gross margin in the last month or two we've invested into aggressive growth. But still, gross margins will remain fairly healthy for u s in the short term also. And in the long term, we can actually expect even more incrementally higher gross margins as we go along.
– Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :
– Thank you, Bhavish. So for FY26, consolidated rev enue stood at 2,253 crores with 173,794 deliveries and consolidated gross margin improved to 30.6%. While volumes are impacted through the year, the improvement in margin shows the underlying strength of our product economics and operating model.
– I would now actually highlight the cash flows, this is the first time we actually have a positive cash flow. So I'll just talk about it and then I'll ask Bhavish to obviously add his comments.
– So Q4 was the first operating cash flow positive quarter. Consolidated CFO was 91 crores, supported by strong gross margins, PLI inflows, lower OpEx and tighter working capital discipline. The Auto business delivered 213 crores of CFO and 173 crores of free cash flow in Q4. This is an important milestone as Ola moves from a h eavy build -out phase to a disciplined scale -up.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :
– So I think, Deepak, you covered. I think the only point I will accentuate here is that Q4 revenues were low because d eliveries were low. But our gross margin leadership, as well as our OpEx reduction, both have actually now hit a new stride. And on OpEx, you can see there's a chart in the first few pages that from the same quarter last yea

r to this quarter, our OpEx is a ctually half. And that includes
all OpEx, including store lease rentals. And we are further saying that in the next couple of quarters, we'll actually get our OpEx down to about 100 -120 crores a month; so further down while business rebounds.
– And the good thing about our business is that because we are so vertically integrated on both the back end and the front end, almost 90% plus of our OpEx is actually fixed. That means operating leverage is very high. So as we have reduced our operating costs through e fficiencies and as now we

are rebounding sales, a lot of it is translating into net margin for us.
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– And this is specifically seen in the Auto business. So if you see segment financials, our Auto business like Deepak said… And we report different cash flows for both the segments because both segments are in very different stages of evolution. Auto is now very close to free cash flow generation. As soon as we get our volumes a little bit higher in this rebound period, we will generate meaningful, sustained fr ee cash flow. Cell is still in the investment phase, but that also through this financial year will get into sustained revenue growth, and over time cash flow generation. If you see annually also compare our Auto segment FY25 versus FY26 on page 15, you ca n see how our CFO has actually meaningfully improved over this period. And for our Auto business, there is no more CapEx needed as we scale up. So CFO to free cash flow conversion will also be fairly high.
– I also want to bring in here a little bit of the macro context. While so far we've covered our internal financials, but what we are also seeing in the market now is demand for EVs is actually gone up meaningfully in the last few weeks. And while other competitors will need to do more CapEx as well as new product rollouts, we have our capacity on both automotive and Gigafactory covered because all the CapEx is now behind us. So we can easily scale up to a million units a year. We are focused on somewhere in the north. You also find that we are actually rig ht now, not on 31st March, but right now in the current May period, running at a very low inventory level in our network. That’s because demand has increased so much that people are buying whatever they can find in the network from us. Our inventory, free inventory days is actually down to 3 -4 days and we have auto backlog now. So the company is highly focused on ramping up the supply chain quickly enough so that we can, we can fulfill these orders, the backlog also, and I actually expect as we improve our delivery timelines, volumes will go up another 10 -20% in the near term. So very, very good signals from the demand growth in the market for EVs. And we are well positioned to capture it without any incremental capital required.
– Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :
– Thank you, Bhavish. So the third highlight which Bhavish also touched upon is on the OpEx cost reset. Consolidated OpEx, including lease expenses, have meaningfully reduced from 844 crores in Q4 FY2024 -25, which is last year, to 428 crores during this Q4 FY2025 -26. This reflects network rationalization, tighter sales and service costs, lower fixed overheads and stronger operating governance. We expect OpEx to move towards approximatel y 350 crores. We actually spoke about in our last year Shareholders’ Letter also over the next couple of quarters, as the full benefit of 26 actions flow through.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :
– A couple of points on this also as on the rebound, I would like to add for everybody. If you see on page 6 and page 7, you can see how as we have improved service, the first chart on page 6, our service backlogs as they have gone down, our sales have rebound ed almost in a V -shaped recovery. And the chart below that shows y

ou week on week how our registration numbers are ramping up.
And on page 7, you see the recovery for us has been broad -based. We are very strong in the north and east, which is actually a gr owing EV market, and we are gaining back our position in the south and west. So the recovery in market share is fairly broad -based. Yeah, back to you Deepak.
– Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :
– Yeah, so this reset cre ates a stronger operating leverage. The core Auto CapEx is already in place for up to one million. Bhavish just spoke about it for the Auto business of annual capacity, and
4
Gigafactory phase 1 infrastructure is in place for 6 GWh of scale up. Together, the asset base can support approximately 15,000 to 20,000 crores of annual revenue scale across Auto and Cell without needing meaningful incremental CapEx.
– With the reset OpEx base and current gross margin structure, adjusted operating EBITDA breakeven is ach ievable at around 20,000 to 25,000 units per month, subject to pricing mix and commodity conditions.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dir ector, Ola Electric Mobility L imited.:
– I want to just underline this. I know many people on the street, investors have asked us the question on the breakeven. So if you do the rough math… and all the financials here that we talk about right now are consolidated. In the past segment, financials have created some level of confusion. So today we are just giving the communication on a consolidated financials’ breakeven. So if you see our gross margins of around 35% plus, 38% in this quarter, our average ASP is about 1.4 lakhs or so, thereabouts. So Rs. 50,000 gross profit per vehicle. And our consolidated OpEx co st, including lease rentals of about 300 - 350 crores in the next quarter or so. So, the adjusted EBITDA breakeven console comes to about 20,000 to 25,000 units a month.
– And in our rebound already, we are seeing us get there. You saw March, April registr ation numbers. May also, I’m sure most of you are tracking. Another thing we've added in this sheet for everybody now is, we are also going to show deliveries as well as registration, as well as orders. Because the Auto industry, the street tracks, wholesa le and retail, typically for us, those are very different. We don't have a dealer model, so there's no wholesale -retail concept. Registration is what you guys

consider as retail. Deliveries is what we book as revenue. Orders are what we get when the custom er comes into the store and pays. And because of our unique B2C business model, these three metrics also we will publish for future clarity.
– Another point I want to add here is on page 8, you see how while this period had service challenges and we were fo cused on solving them, brand has actually held well. That’s because our brand has a lot of fundamental strength from the quality and the performance of our product and the proposition of price value equation of our product, which is unparalleled in the EV two-wheeler industry. So you can see here a very reputed third -party survey on brand strength. Our brand recall is industry leading and our NPS is also above industry averages. And specifically, NPS where there are no service delays, is actually very, very healthy. So we remain very confident about the customer thinking and the customer sentiment on our business. And that's why we are seeing volumes ramp up quickly. As we have now largely solved service and as we are now ramping up our manufacturing and bac k end, the demand is growing along with it.
– We also have put that on page 9, a chart of Google searches. It's the Google brand dashboard itself. So you can see Ola is by far the highest search brand in the EV space in India. And all these are advantages a nd you know our business model does not have any spends on marketing, etc., so that also benefits when we think of operating costs

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– Mr. Deepak Rastogi - Chief Financial Off icer, Ola Electric Mobility L imited:
– Thank you. So on execution improvement, which Bha vish just talked abo ut, I'll just add some more flavour to that. So execution improved meaningfully through the year. Product quality is improving with Gen 3, with warranty cost is 70% lower than Gen 2. Service metrics have also improved sharply, with serv ice stats down 88%, same day closures at approximately 87% and part dependency down

69%. Execution improves, sales have started responding. April registrations were up 20% month -on-month, while the broader E two -wheeler industry declined by more than 22%.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:
– On warranty, Deepak, I would like to highlight for the team, for everybody on the call here, on page 6 of the Shareholders Letter, in the second paragraph, you can s ee how year -on-year our warranty costs have actually come down in a very material way. In FY25, we had a 500 plus crore of warranty costs, in FY26, it's only 60 crores, 59 crores to be accurate. So what we've been sharing with you guys on our Gen 3 platfor m being by far the industry leader, is validated by our warranty costs in FY26.
– And that also kind of tells you that some of the service challenges that we had, were largely linked to service network operations, which also in the KPIs, again, you can see t hat we have meaningfully improved. So looking at it, we feel very optimistic about our sales as well as customer sentiment.
– Mr. Deepak Rastogi - Chief Financial Off icer, Ola Electric Mobility Limited:
– Looking ahead to Q1 FY27, we expect 40,000 to 45,000 orders and consolidated revenue of 500 to 550 crores, nearly double of the Q4 level. As volumes recover, we expect the Auto business to move towards adjusted operating EBITDA and cash flow positivity thr ough FY27.
– You know, there are a lot of questions on the bike, Bhavish. I wanted to make sure that we actually address this as part of our narration.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:
– Let me give the headline here, Deepak. So we launched the bike about a year ago and we've been very consistent about our communication in the earnings calls that we are scaling it step -by-step. So now we are very, very happy to say, actually that we are seeing good tract ion, both on the EV bike industry, bike industry itself in the last six months or so, has more than tripled (of a very small base right now), but the trend is very aggressively growing. You know, think of it as where EV scooters were five years ago before Ola really entered the market in a big way and scaled it up. Bikes are also there and our market share in bikes is 50% plus. And bikes are a little different than scooters in terms of product. The customer expects more range in the bikes. And that's why ou r bike portfolio has slightly higher range than scooters for the customers. And specifically, at the top end, actually, only because of our own Bharat Cell, the 4680 cell, we can offer almost a 500 km certified range product. So there's very strong interes t in the bike in customers. Again, we are constrained not by demand there, but by supply. We are seeing significant uptick in the Roadster product in the northern belt of India, which is the heartland of the bike market of India and I actually feel now, es pecially with the petrol prices in the macro, bike EV movement is here through the next couple of quarters, and we are fully ready to take best advantage of that.
– Mr. Deepak Rastogi - Chief Financial Off icer, Ola Electric Mob ility Limited:
– So Roadster is bec oming our second auto growth engine. Motorcycles are India's largest two -wheeler category and EV penetration remains very low. Ola now has 50% market share in electric motorcycles, and bikes contributed 15% of April gross order

s. With products going up to 9.1 kWh battery capacity
and 500 plus kms certified range, Roadster is built around the core motorcycle customer needs of range, performance and reliability.

– The Gigafactory is now entering the scale phase. We currently have 2.5 GWh operational capacity. Installation up to 6 GWh is largely complete with commercialization expected to be completed by the end of this quarter.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:
– Deepak, before we go into operational updates, macro commentary is also very important here because the way the country's energy security requirements and narrative is shaping up, Ola Electric is the only company which is actually straddling both of the critical domains: One is EVs and one is batterie s. Now it's very clear from both customer sentiment as well as government sentiment that EV has to be encouraged. All of you have seen how EV policy today, there were some media articles that for buses, etc. there will be incentives, etc. So EV encourageme nt is from the government, as well as consumer side, going up.
– But also, along with EV growth, two other things are happening. One is the clarity in the policy stakeholders is very clear, that we will have to very quickly accelerate domestication of the ba ttery supply chain, and your company there is the best positioned to do that. Then in the power grid itself, it's very clear that our solar rollout has kind of maxed out, unless we start deploying batteries along with it. And that's why you can see already some announcement on floating solar along with batteries. So the government sentiment as well as policy sentiment, whatever we read from media, seems like there will be more… just like ALMM in solar, there will be ALBM, ALCM. There will be hopefully some extension in the ACC PLI. There will be domestic procurement for BESS deployments mandates coming soon. And our battery business is actually right in the centre of that potential for growth.
– Now in our battery business, we have built our own domestic IP. And that's actually the reason why we have been able to create and productionize and scale up the Gigafactory and get commercially viable yields and prices. And we have 6 GWh already installed. 2.5 GWh is already done, the remaining 3.5 GWh is getting done this quarter. It was supposed to be done a month back, but due to the Iran war, some containers got delayed. But it's getting done in June. And we are actually going to be expanding that 6 to 20 GWh by next year, but only by raising capital separately at the cell entity, which also we have a lot of inbound interest from private equity players, given the leadership of this asset that we have created.
– So that's it. I just want to underline this important point on the macro side that our company is very well in position to really leverage the tide and really come, create this energy security stack for our country in a meaningful way and monetize it.
– And there is some commentary here on our technology. You know, we will probably skip that in our commentary. Bu t another point I want to make in our Gigafactory business is that we have actually… Deepak gave you quick operating metrics. You can find that in page 12 and 13 also. But now we are focused on ramping up production to get revenue in the Gigafactory. And t here are three engines of revenue built in this. If you go to page 13, you will see the chart there. We have our cells. The 46 series is already out there. We are also working on a prismatic cell, which will be out soon. We haven't yet released details of that.
– But there are three revenue engines now. First is Mobility, which is EVs. Obviously, our captive demand will eat up about 1.5 to 2 GWh by the end of this financial year. But we are also now in

conversations with external companies, Indian and global , who want to buy our cells, given that th

ey
are world -class and industry leading specs.
– The second demand engine, which is already built, is Shakti. Shakti, we had launched last quarter and we have already delivered some to customers. We are constrained by supply of our cells because we are prioritizing our own Auto business moving to our cells, in general, over Shakti production. But as Gigafactory ramps up through the next few months, Shakti will also meaningfully ramp up. And there we have a very stron g demand from both retail as well as B2B customers, telecom towers, petrol stations, dark stores, and other organized retail chains. Everybody today has diesel generators and lead acid batteries, and all of them want to replace that with lithium.
– The thir d big pillar which we are now creating is the grid storage. So this product is called Mahashakti, which is bigger Shakti, more energy. So Mahashakti will be built on our Prismatic LFP platform. We are right now in product development. We have had conversat ions with many platforms there. We have shared specs. People are excited about our product there. And more details will follow through the next couple of quarters.
– Mr. Deepak Rastogi - Chief Financial Off icer, Ola Electric Mobility Limited:
– Okay. So I just w anted to emphasize that around 15% of the orders are already on our product using Bharat Cells. And we plan to transition the full vehicle portfolio to our own cells by September 2026.
– Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Elect ric Mobility Limited:
– I think I would underline that Deepak. This is a meaningful transition. Already 15% on our own 4680 cells in the market. Very good feedback from customers. And by end of next quarter, we plan to transition everything. So it's a meaningfu l ramp up of our Gigafactory happening as we speak.
– Mr. Deepak Rastogi - Chief Financial Off icer, Ola Electric Mobility Limited:
– So to summarize, Ola is positioned across the two important pillars of India's energy future. Electric

mobility and batteries, ve hicles create captive demand for the Gigafactory. Cells improve our vehicles through range, cost and supply chain control, and the same platform opens up energy storage through Shakti and Mahashakti.
– Our Financial Year 2026 -27 priorities are clear: Recove r volumes, hold margin leadership, reduce OpEx, ramp up the Gigafactory, improve auto cash generation and scale Shakti and Mahashakti.
– Thank you so much. Now I will open the floor for questions and answers to the participants.
– Question & Answer Session:
– Moderator:
– Thank you, Bhavish and Deepak. Now we begin the Question & Answer session. Anyone who wishes to ask a question may use the raise -hand option. If you wish to remove yourself from the question queue, you will get the raise -hand option once again. P articipants are requested to unmute themselves before asking the questions. Before asking the question, we request you to introduce

yourself with your full name and your organization. Now, we'll wait for a moment while the question queue assembles and then we'll begin with the Q&A.
– Thank you, everyone. We'll take the first question from Mr. Meet Doshi from White Oak Capital. Please unmute yourself and ask your question.
– Mr. Meet Doshi – White Oak Capital:
– Hello, am I audible?
– Moderator:
– Yes, you are.
– Mr. Meet Doshi – White Oak Capital:
- Thank you for giving me the opportunity to ask the question and first of all, congratulations to have a good number in terms of margins. So just I want to know that are we planning in last quarter, you told that in Quar ter 4, we are going to have good revenue, but still it is not reflecting. Also, your team has given the data at the end of March and you have a very good number of sales, why is it not reflecting in terms of the number? That is my question.

- Mr. Bhavish A ggarwal - Founder, Chairman & Managing Director, Ola El

ectric Mobility Limited :

- Okay. Meet, I don't know what exactly you're referring to but, see, our registrations are public data, right. So, in March we did 10,000, in April we did 12,000 and May is trending towards 14,000 -15,000. So, we are growing registrations. Our orders are gro wing ahead of registrations but, like I said, we have a production backlog now. So, some of that will come through in this quarter in terms of registrations.
- In terms of revenue, see, Q4 was lower revenue because Q4 was also, like we said, a quarter where we focused a lot on our operations, to fix the operations, and then scale again, both on cost as well as customer experience. And we started scaling volumes again in the middle of March onwards. And, you know, the good thing about our business is that you can publicly track our volumes daily, weekly and monthly, in terms of registrations. The cost and the gross margin improvement is what is once a quarter you guys are able to track over a period of time. So, what I can say now is our volume forecast for Q1 we have given in this is 40,000 -45,000. These are orders, registrations might be a little up or down. Hopefully, it'll be in the same range. But orders, we're seeing good, healthy pull -in in terms of demand.

- Mr. Meet Doshi - White Oak Capital:

- Thank you, Bhavish Sir. And with regards of follow -up question, just I want to know that are we still focusing on electric two -wheeler? How you are thinking to main focus like for the new products of Shakti and that kind of UPS systems or two -wheeler will still rema in in the focus for the business?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:

- Our company has two segments, two business segments, right. So, two -wheeler is the core business because that generates 100% revenue today. But our Gigafactory was also always built with the vision of building cells and ESS, Battery Energy Storage Solution , right. So, the Shakti product is already built. It has actually a lot of carryover and platform from the two -wheeler platform. So, in that sense, very low cost of CapEx and R&D to build the Shakti product. We will be ramping that up over the next couple of quarters.

- But, like I said, our priority is to make our own cells go into our automotive business first and then as the Gigafactory ramp becomes beyond our automotive requirement then we start scaling up Shakti next. But demand for Shakti also is very high, given that battery storage is a very, very fast -growing thing.

- Mr. Meet Doshi - White Oak Capital:

- Okay. Thank you, Bhavish Sir. And last time you said that you trust your business, so we also have the same amount of trust on your business. Thank you so much.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:

- Thank you, Meet Bhai. On our shareholder letter, on top we have written Gita shloka, some of you may have read that, that means we ourselves have to correct our mistakes and we ourselves have to make our future.

- Mr. Meet Doshi - White Oak Capital:

- Wishin g you all the best. All the best, Sir ji. Thank you so much.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobil ity Limited:

- Thank you.

- Moderator:

- Thank you, Mr. Doshi. We'll take the next question from Mr. Arvind Sharma of Citi. Please unmute yourself and ask a question.

- Mr. Arvind Sharma - Citi:

- Hi, Sir, good evening. I hope you can hear me.

- Moderator:

- Yes, we can.

- Mr. Bhavish Aggarwal - Found er, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:

- Hi, Arvind. Hi.

- Mr. Arvind Sharma - Citi:

- Hi, Bhavish. Hi, good evening. Thank you for taking my question. On the demand front, since you said the breakeven is around 20,000 odd a month, what is a bridge from the current levels to that? Is it driven by motorcycles or driven more by service? What would be the key drivers for the volume? That would be the first question.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Dire ctor, Ola Electric Mobility Limited:

- So, Arvind, firstly, we are still in our rebound phase in terms of volumes because what v olumes in Q4 were not our steady -state volumes, right. It was impacted by our internal operations. But you have seen the recovery since that, now it's the third month of recovery. And we are actually not just recovering, we are growing month on month on to p of that rebound, right. So, I believe another couple of months, most likely June, July also, we will see a continuing rebound of our volumes. The rebound itself should get us to about 17,000 -18,000 units a month. Now, that'll be a mix of both scooter and bike. Bike is about 15% of our volumes now. Beyond that, like I said, now we're running a production backlog. As we are ramping up our supply chain, the factory anyways has capacity, so we don't need to do CapEx. But as we are ramping up our suppliers, as our suppliers are getting production scaling up again for us, demand is also, you know, ramping up. So, I do expect just better stability on service and improved inventory availability will lead us to closer to that 20,000 -22,000 number over the course of next quarter.

- Mr. Arvind Sharma - Citi:

- Got it, thank you. And if you may just give us some more granularity in terms of your own cells versus what you import. If you can share even directionally what is the cost advantage that you are getting right now and would it increase further when you move to 6 GWh?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Good question, Arvind. So, actually, all of you know that lithium has entered an upcycle in the industry. So, our advantage of our own cells is actually improved. So, even at this low volume production, where we are today, it is cheaper for us to make our own cell versus buy a cell from outside, as far as BOM cost is concerned. Obviously, the overheads on the Gigafactory right now, with more scale will get factored in but on just pure BOM cost alone it is cheaper for us to build versus import. And that's at these low volumes. I do expect, as we scale up our Gigafactory towards the 6 GWh over the course of this year, we will get a 10% -15% advantage on building our own cell, including the operational overheads of the Gigafactory. So, the advantages of making i n India are actually coming out to be very true already in our business model.

- Mr. Arvind Sharma - Citi:

- Got it. Thank you so much for answering the questions, that's all from my side. Thanks so much.

- Moderator:

- Thank you. We'll take the next question from Mr. Venkatesh of Motilal Oswal. You may unmute yourself and ask a question.

- Mr. Venkatesh - Motilal Oswal:

- (Audio unclear 33.39 -33.42), Bhavish Sir. Sir, you told you will be scaling up to 6 GWh wherein we see there is (Audio unclear 33.49 -33.50), talk about this.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Venkatesh, we didn't hear you clearly, it got garbled up. Can you please repeat your question? Or if you're not here, you can even type it into the chat box. Oh! There's no chat box, so you can please repeat your question. Could you please repeat your ques tion?

- Mr. Venkatesh - Motilal Oswal:

- Yeah. Sir, what I said is when you are in the battery segment, Yeah, when you…(Audio lost 34.22 - 34.32)

- Moderator:

- Okay, I think we'll move on to the next question which is from Mr. Amod Khano rkar of CRISIL. Please unmute yourself and ask a question.

- Mr. Amod Khanorkar - CRISIL:

- Yeah, hi. Congratulations on the margin expansion, Bhavish. My question is twofold –

- One, is the battery capacity currently that you have and currently that is operational, is it now 100% being consumed in the scooter segment itself and you do not have anything for Shakti? That was my first question.
- Second is about marketing and advertisi ng. Any specific reason as to why you do not advertise big time in a print media?

- Thanks, these are the two questions.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Okay, Amod, I'll answer the second one first. See, as a philosophy, we believe that our product speaks for itself and all along in our journey, we have been able to succeed with that philosophy and as a result our costs are also controlled. So, it's not li ke we have anything against print media, we don't even do TV actually. You will not see us sponsor any IPL team or any boardings or anything because our product is so far ahead of competitor products, it delivers great word of mouth. Now, that doesn't mean we will not do advertising. You know, we might do some advertising in the coming months as we see opportunity for including a larger mass of customers on the benefits of EV as well as about how our brand has turned around from some service challenges in t he past. So, we might do something. As of now, we don't see the need to do anything immediately.

- On your first question, see the 6 GWh, out of this roughly rule of thumb, you can assume 3 is already commissioned, 3 is getting commissioned by end of next month. Now, the 3 that is commissioned already is in a ramp -up phase. So, the way Gigafactory and G igafactories are very complex, you have to commission…First, you have to install the equipment then you commission the equipment and

then you ramp up with improving yields. So, the 3 GWh that we have already commissioned is in a ramp -up phase with good yie lds. So, as we are ramping up, and we also have to ramp up supply chains, people who send us the cathode powder, anode powder, electrolyte in India, all of that. So, as our whole supply chain is ramping up, we are increasing our productivity and our output of the Gigafactory.
- So, by end of next quarter, which is September, we expect our Gigafactory to be producing about 2+ GWh already. And, for the whole year, the allocation of capacity is 2 GWh to our in -house business, maybe 1+ GWh to external auto sales and the remaining is focused on Shakti and Mahashakti.

- Mr. Amod Khanorkar - CRISIL:

- Yeah, thanks for that. And one last quick question. In terms of monetizing, if you may want to call it that way, the cell business, I mean, there were media articles in between that about ■2,000 crore monetization and money should flow into the company and so on. I understand you cannot speak much about it unless you make a public disclosure on that but are things moving on that direction?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Amod, I can't share too much but we have a lot of interest from people on that front and, like I said, our ambition in our cell business is to be the largest in the country. Today, we are the first and the largest but that space is going to expand fast and we will be absolutely focused on leading that space being the largest in capacity and revenue. And for that, we will have to expand beyond 6 GWh. But we will do that when w e raise capital in the subsidiary and that will be in due course. We will let you know.
- Mr. Amod Khanorkar - CRISIL:

- Great, Bhavish, thanks a lot. Congrats on the increasing delivery numbers. Best luck.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Thank you.

- Moderator:

- Thank you. We'll take the next question from Apurva Desai of Kotak. Please unmute yourself and ask the question.

- Mr. Apurva Desai - Kotak:

- So, hi, Bhavis

h. So, two quick questions from me, okay. So, the first question is in regards to the ASP calculation that you have given, okay. So, what you've mentioned is that there's a one -time change in the revenue recognition policy.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes.

- Mr. Apurva Desai - Kotak:

- So, coul d you maybe elaborate on that?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yeah. So, Apurva, what we did was we sell some, let's call it, care packages or extended warranty packages which is a, let's say, 3 -year product, 5 -year product but we were recognizing the revenue up front. So, this time with our auditors we decided that w e will not recognize it upfront. So, that's about a ■20 -■30 crores hit in this product.

- Is that correct?

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :

- Yes. Yes, Bhavish.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited:

- Yeah, I'm not the financial expert but this is what it is. So, hence, you see the ASP has come down but actually that revenue will come every quarter, right, because we have already done the sale.

- Mr. Apurva Desai - Kotak:

- Okay, so this was more of a one -time thing, is that correct?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- It'll be a one -time correction. So, every q uarter now you will see this revised approach.

- Mr. Apurva Desai - Kotak:

- Okay. So, would that be the case for the earlier quarters as well? Would the numbers be revised or would that not be the case?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- No, or maybe, Deepak, you can answer.

- Mr. Deepak Rastogi - Chief Financial Officer, Ola Electric Mobility Limited :

- No, so, you know, whatever was the impact, we've a lready taken, baked in already in these numbers. And, hence, there is no one -time effect which you would see. It will be already baked in the number, so whatever numbers we publish, we'll continue with the same numbers.

- Mr. Apurva Desai - Kotak:

- Okay, ok ay. So, coming to my second question, okay. So, it's regarding the Gigafactory. So, from what your shareholder's report told, so I understand that you want to ramp it up to 20 GWh. So, I want to understand two things, okay.

- So, first is I want to understand the rationale behind going for a ramp -up pretty quickly.
- And the second question is if you could maybe shed more light on the order pipeline or something.

- I think, you know, that is all from my end.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Sure, Apurva. So, like we said in the report, in the letter also, we will not be ramping up beyond 6 right now from a capital allocation perspective, right. We will first grow into the 6 GWh capacity. But the industry demand in India is growing faster, so just to be able to lead the industry, we will expand capacity, especially around the prismatic cell capacity. Today, our capacity is the cylindrical cell. We will ex pand capacities into the prismatic cell capacity but only when we raise capital at a subsidiary level. And that is in our plans for this financial year.

- Mr. Apurva Desai - Kotak:

- Sure.

- Moderator:

- We'll take the next question, from Mr. Vipul Agrawal of HSBC. Please unmute yourself and ask your question.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Hi, Vipul, good to see you.
- Mr. Vipul Agrawal - HSBC:

- Yeah, hi, Bhavish. Thank you, thank you for taking my question. Typically, three questions. First is, you talked about lower CapEx

, like how should we see the total CapEx for the next 2 -3 years
perspective? Like we see that you already have 1 million capac ity in vehicle and, I guess, you will be having just couple of quarters remaining for the CapEx in battery plant.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes.

- Mr. Vipul Agrawal - HSBC:

- So, how should we see our CapEx in next 2 -3 years?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Good question. Vipul, in Auto, on an annual basis you should expect very incremental CapEx, maybe ■50-odd crores that's about it. Just maintenance CapEx because we have a very large capacity already built out. So, that means the conversion of EBITDA to free cashflow will be fairly high.
- On Cell business also, like I said, we have done all the CapEx for 6 GWh. Payouts are happening in this current Q1 and a little bit in Q2. Beyond that, you will not see any more CapEx till we get some capital
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into the cell company separately. So, from that sense, actually the business's CapEx cycle is behind it and now focus is on scali ng up, utilization and monetization.
- Mr. Vipul Agrawal - HSBC:

- So, if you can quantify, if it is possible to quantify, like what kind of outflow we are looking in FY27? And what kind of maintenance CapEx we are looking in FY28? if possible, if you can qu antify?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Vipul, again, I will tell you rule of thumb maintenance CapEx will be some ■50 crores annually. I'll just add one more nuance. We do have some R&D which we capitalize, about 20% -30% of our overall R&D expenses. That will keep coming in. But in terms of PPE CapEx, that'll be below ■50 crores a year.

- Mr. Vipul Agrawal - HSBC:

- Okay, yeah. My next ques tion was on R&D only. So, how should we like you are largely done with your product development as well and your Gen 3 is also doing pretty well, so, how should we see the R&D expense as well in coming years?

- Mr. Bhavish Aggarwal - Founder, Chairman & Man aging Director, Ola Electric Mobility Limited :

- See, Vipul, we are a technology company and we've always maintained that our competitive advantage comes from both our manufacturing depth of vertical integration as well as our technology depth of owning all ke y technologies in -house. And you can see how that has played out in terms of gross margin, product proposition, all of that stuff. So, we will continue to invest in R&D across both auto as well as cell business. Right now, obviously, as a percentage of rev enue, it is high because revenue was subdued in Q4 but generally it should be in the mid -single digits of revenue going ahead as revenue ramps up.

- Mr. Vipul Agrawal - HSBC:

- That makes sense, thank you. My second question is on the cash position right now. Basically, since you talked about lower CapEx right now and your OpEx is pretty low, so are we looking at any major cash burn in FY27 or we should be maybe be at par? How sh ould we look at that part of the business?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yeah. See, on 31st March we had about ■1,550 -■1,600 crores of gross cash and about ■2,500 crores of debt. So, we had a ne t debt of about ■950 -odd crores. We don't expect any…So, there will be about ■300 -■500 crores of operating cashflow burn over the course of this year as the volumes go up. It could be lower if volumes rise faster. But, generally, operating cash burn, like I said, after 20,000 -25,000 orders a month will be positive. We'll be making operating cashflow. And on free cashflow, the CapEx is minimal going forward.

- We do have some debt servicing and debt repayments coming up. I think through this ye

ar, we'll
have about ■400 plus crores of debt repayments and we might also choose to accelerate some because right now our cost of debt is slightly higher.

- Mr. Vipul Agra wal - HSBC:

- Thank you, that was a pretty detailed answer. Just last one on, the qualitative aspect of the business. So, like what we have seen in the last 3 years, when you started your new stores, the store experience was pretty very good and eventually deteriorated. But what we are seeing right now, it has improved but again not to the extent what we have seen 2 years back.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes.

- Mr. Vipul Agrawal - HSBC:

- So, maybe if you can talk a bit on your store strategies. Like do you plan to get new dealers or maybe it will be like company -owned company -driven? How do you plan to improve the whole experience for the customers?

- Mr. Bhavish Aggarwal - Founder, Chairma n & Managing Director, Ola Electric Mobility Limited :

- So, Vipul, our experience has improved from, let's say, 2 quarters or 1 quarter ago. And we expect in the next 1 -2 quarters it will be ahead of industry standards in all key metrics that matter, be it ser vice turnaround time, be it the quality of the people we have there, the sales process, etc. We are focused on improving experience. We've spent a lot of time building the right backend processes to make the frontend experience better.

- We don't plan to have any dealerships in our auto business, we believe our strategy is correct. We had some execution slip -ups through last year but now the company has meaningfully overcome that. That said, there is still some work to be done, like you co rrectly pointed out, and the good thing is our volumes are ramping up in parallel. So, as we work through all the improvements in the frontend of the business over the next quarter or two, further you will see customer sentiment and sales ramp up.

- Mr. Vip ul Agrawal - HSBC:

- Thank you for that answer. That's all from my side.

- Moderator:

- Thank you. We'll take the next question from Mr. Tribhuwan Singh Sonalika Family Office. Please unmute yourself and ask your question.

- Mr. Tribhuwan Singh - Sonalika Family Office:

- Hi guys, thank you for taking my question and very congratulations on the solid results you guys have. I just want to understand the research and development part of Ola's battery business. Like I read somewhe re that you guys are focusing on solid -state batteries and sodium ion batteries. So, how are we progressing on these long -term initiatives, I would say?

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- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes, very, very good question. I never thought I'd be asked a technical question in an investors meet. But, actually, you read it in our letter itself, on Page 12, the cell technology roadmap shows you that our roadmap ladders, on the performance side, sol id state, and on the cost side, sodium. So, we have these technologies already at a lab scale, already working. We are not focused on spending a lot of capital on getting them manufacturing ready right now. Our focus is to ramp up our 46 series NMC. We hav e, though, brought in our LFP cell also. Through the next quarter, it'll start ramping up in our factory. But we are ready and as the industry matures for solid state and sodium, we will be bringing those products to market also.
- Moderator:

- Sorry, is the re a follow -up question or does that answer your question?
- All right, we'll move to the next question from Mr. Jaineel Jhaveri of JNJ Holdings. Please unmute yourself and ask your question.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- Yeah, hi, Bhavish. Thank you for taking my question. I had a couple of questions. One was relating to the service issues. Of many videos that I've watched

online, the service issue seems to be with part unavailability.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- So, I just wanted to understand that why is that happening? Like even if it is Gen 1 or Gen 2 scooter, how is it that part s are unavailable?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- So, you caught it well, Jaineel. See, firstly, some of the videos on social, obviously, are old videos and they keep recirculating online due to competitive pressures. But, you're right, one of the challenges we did face was parts supply chain. See, as we had ramped up our network, because in a dealer model the dealer buys the parts and the OEM distributes it through traditional distributor chains. Now, we don't do that. We send our parts directly to a service centre. So, earlier we were not stocking any parts in our service center that led to, even for a brake pad replacement, the guy had to wait 10 days. And our parts procurement from our suppliers was also after a part requirement came, so actually it led to a 20 -30 day fulfillment time -wise.
- So, now we'v e streamlined a lot of that. So, now parts are stocked in the service center as well as part procurement is done basis forecasts. So, all of this is just execution fixes that we have done and now parts have improved. There's still some work to be done , some parts we still have to because, like I said, we are still ramping up our supply chain, some parts are common between our production and service, so we are prioritizing production but we are ramping up the supply chain so that we can fulfill part requirem ents better in service also.

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- Mr. Jaineel Jhaveri - JNJ Holdings:

- Okay, thanks. And one question regarding BESS, why have we selected NMC to go into BESS when we have LFP? And also, like mostly around the world it has only been LFP, so anyone getting LFP cells from China and putting into a BESS product in India would
- start off much cheaper than our Shakti products, so why would we ?

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- So, Jaineel, we haven't selected NMC. The Shakti product will move to LFP once our LFP product comes out next quarter. We had started with NMC for our Auto business and that's why, you know, even now we have decided to ramp up Shakti slower because we're f ocusing our NMC 46 series into our Auto business through next quarter. But we wanted to be in the market with Shakti, so many customers actually are okay with paying the price of Shakti with the NMC product today. So, we are starting to take that business. But by next quarter, Shakti will have LF P so that we can ramp it up faster.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- Okay. And my last question, I've noticed that there has been a slipup in terms of some products moving into future quarters or maybe even fut ure years like the Gig product and…

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Jaineel, yeah, I understood your question. See, we decided, and I think we made a public statement of this also, maybe you missed that, that we have a product roadmap and in our shareholder's letter also you can see it somewhere in the slide pages, but we decided we will not launch new products till our volumes get back up because we wanted to be more disciplined on new capital allocation for new products. Now, as we have stabilized our frontend operations, as volumes are ramping up again we will actually g o back to some new product launches over the course of this year.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- Okay. And just one last comment. I mean,.

- Moderator:

- Jaineel, I think, in the interest of time we will…

- Mr. Jaineel Jh

averi - JNJ Holdings:

- No-no, it's a positive comment.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Okay.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- I just wanted to say that there was a video from some Gareeb Scientist or some Twitter h andle in terms of the technology that goes into your batteries and I was very pleasantly surprised at the

amount of work that you all have done. But just would like to say that I think you'll need to even show the investors maybe, you know, in terms of may be some kind of an Analyst Meet over there and stuff like that.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- Because it seems like you'll are doing the hard work but in terms of the market it's not coming even through analyst notes.

- Mr. Bhavish Aggarwal - Founder, Chairman & Managing Director, Ola Electric Mobility Limited :

- Yes. Very fair point, Jaineel. We are pl anning an Analyst and Investor Day in our Gigafactory sometime maybe in a month or two. That's on our agenda. So, thank you so much for seeing that technical video and appreciating it.

- Mr. Jaineel Jhaveri - JNJ Holdings:

- Thank you.

- Moderator:

- Thank you.
- All right, I think with this, we come to the conclusion of the session here. We appreciate your time and all of your questions during the call today. Thank you so much for joining us and we look forward to meeting you all during our next Earning s Conference. Thank you for joining us. You may now log out from the conference call. Good evening.

END OF TRANSCRIPT